

MAKING
— AN —
IMPACT

CAPITALAND MALAYSIA MALL TRUST
ANNUAL REPORT
2019

MAKING AN IMPACT

CapitaLand Malaysia Mall Trust is making an encouraging impact by leveraging on proactive asset management and asset enhancement initiatives, which enable the Trust's portfolio of income-producing properties to continually respond to the changing needs of shoppers.

The radial patterns found in this report are symbolic of our focus and passion to build on our assets located in strategic and key urban cities in Malaysia as we continuously strive to deliver sustainable returns for our Unitholders in the long-term.

CORPORATE PROFILE

CapitaLand Malaysia Mall Trust (CMMT), listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010, is a shopping mall-focused real estate investment trust (REIT) in Malaysia with an income-producing and geographically-diversified portfolio of five shopping malls and a complementary office block. With a market capitalisation of approximately RM2.1 billion as at 31 December 2019, the total asset size of CMMT is about RM4.1 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes in Malaysia. CMMT's portfolio of quality assets is strategically located in key urban centres across Malaysia: Gurney Plaza in Penang; three in Klang Valley – a majority interest in Sungei Wang¹ in Kuala Lumpur; 3 Damansara and Tropicana City Office Tower in Petaling Jaya; and The Mines in Seri Kembangan; and East Coast Mall in Kuantan, Pahang.

CMMT is managed by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. – a joint venture between Singapore-listed CapitaLand Limited, one of Asia's largest diversified real estate groups, and Malaysian Industrial Development Finance Berhad (MIDF). MTrustee Berhad (the Trustee) is the trustee for CMMT.

1 CMMT's interest in Sungei Wang comprises
(i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and
(ii) 100.0% of the car park bays in Sungei Wang.

OUR VISION

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.

OUR MISSION

To deliver long-term and sustainable distribution of income and potential capital growth to Unitholders

FOR INVESTORS

Deliver sustainable total returns

FOR TENANTS

Create profitable opportunities

FOR SHOPPERS

Create delightful shopping and lifestyle experiences

FOR EMPLOYEES

Provide opportunities to realise personal potential and achieve professional growth

FOR THE COMMUNITY

Promote social responsibility and environmental sustainability

CONTENTS

FEATURES



2019 INITIATIVES

2019 was a significant year for Sungei Wang where we completed the 16-month long asset enhancement initiative for Jumpa @ Sungei Wang lifestyle annex block.



PROPERTY PORTFOLIO

CMMT's portfolio provides both income and geographical diversification to Unitholders, comprising strategically located shopping malls and a complementary office block in Klang Valley, Penang and Kuantan.

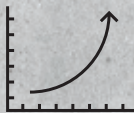
SUSTAINABILITY MANAGEMENT

CapitaLand Malaysia Mall Trust is committed to sustainability and incorporates the key principles of environment, social and governance in setting our business strategies and operations.

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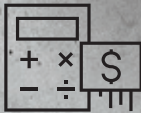
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2019
HIGHLIGHTS



GROSS
REVENUE

RM342.3
million
RM350.1 million
in 2018



NET PROPERTY
INCOME

RM202.1
million
RM215.0 million
in 2018



PORTFOLIO
OCCUPANCY RATE
93.8%
93.2% in 2018



NO. OF
COMMITTED LEASES
1,303
leases
1,292 leases in 2018



NET LETTABLE
AREA
3.0
million sq ft
2.9 million sq ft
in 2018



PROPERTY
VALUATION
RM4.0
billion
RM4.0 billion
in 2018



ANNUAL SHOPPER
TRAFFIC
56.7
million
57.5 million in 2018



DISTRIBUTION
PER UNIT
6.25 sen
7.90 sen in 2018



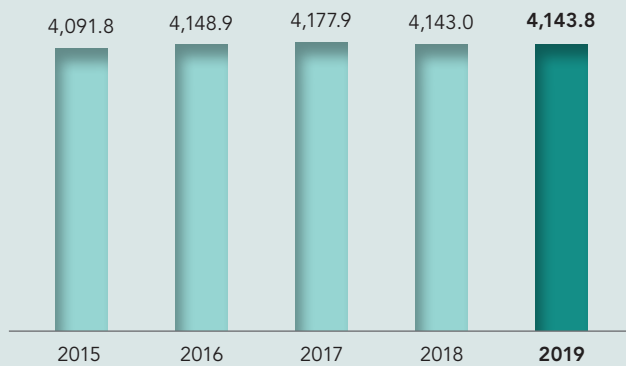
DISTRIBUTION
YIELD
6.25%
7.82% in 2018



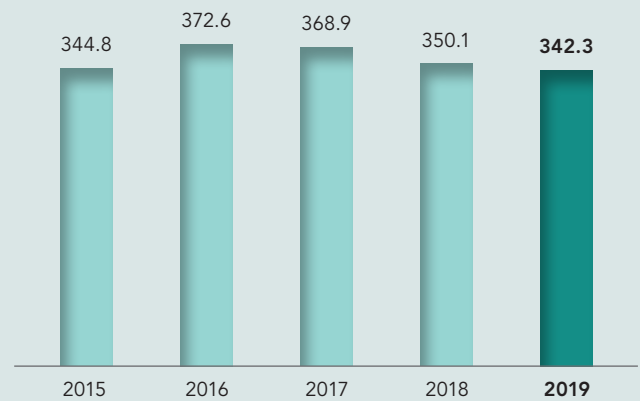
MARKET
CAPITALISATION
RM2.1
billion
RM2.1 billion in 2018

FINANCIAL HIGHLIGHTS

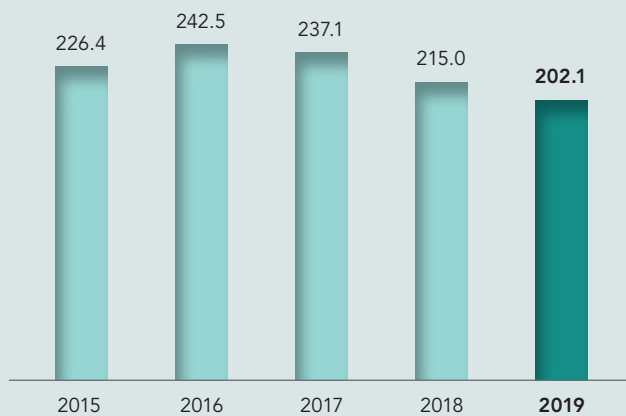
Total Assets
(RM million)



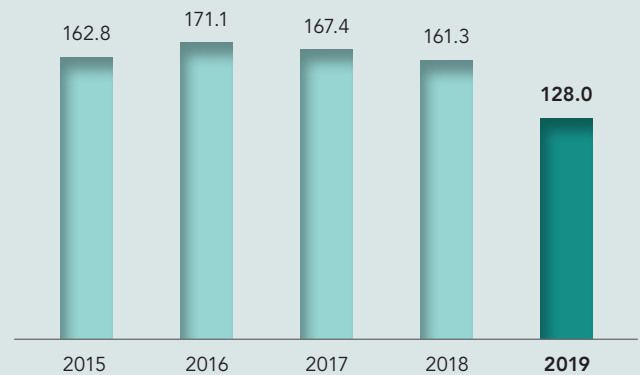
Gross Revenue
(RM million)



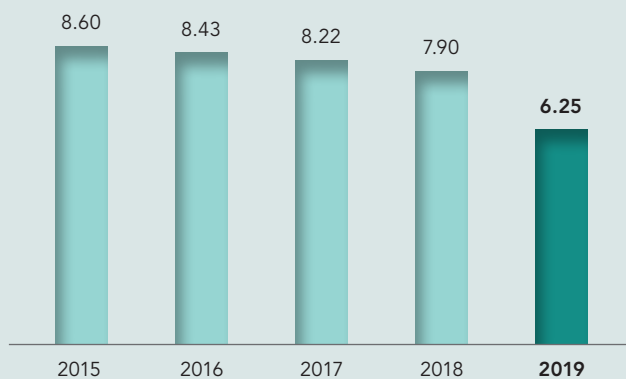
Net Property Income
(RM million)



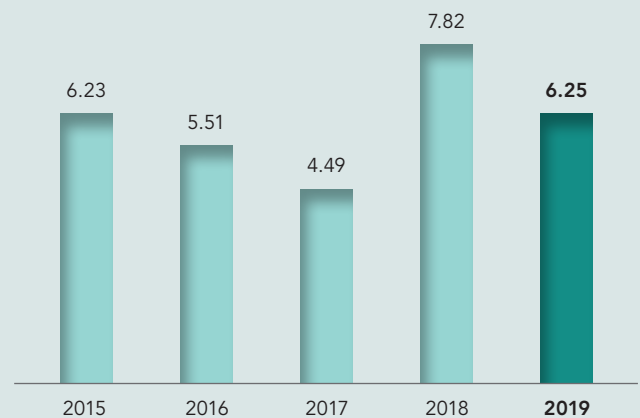
Distributable Income
(RM million)



Distribution Per Unit
(sen)



Distribution Yield¹
(%)



¹ Based on the closing unit price of RM1.38 on 31 December 2015, RM1.53 on 30 December 2016, RM1.83 on 29 December 2017, RM1.01 on 31 December 2018 and RM1.00 on 31 December 2019.

We are committed to

DELIVER SUSTAINABLE INCOME DISTRIBUTIONS

through Proactive
Asset Management & Asset
Enhancement Initiatives





Jumpa

@ Sungai Wang

PARKSON
百盛

Giant

Jumpa
in Q3 2016
Mall - Fashion - Active Lifestyle



Nando's

2019 INITIATIVES

JUMPA @ SUNGEI WANG

Jumpa is a new place to gather, to meet, to see and to be seen. A new retail experience that is curated for the young, active and energetic target shoppers. Jumpa's trade mix includes curated retail space, unique F&B concepts, athleisure fashion, urban active sport and entertainment.

The completed asset enhancement initiative works of approximately RM52.2 million included:

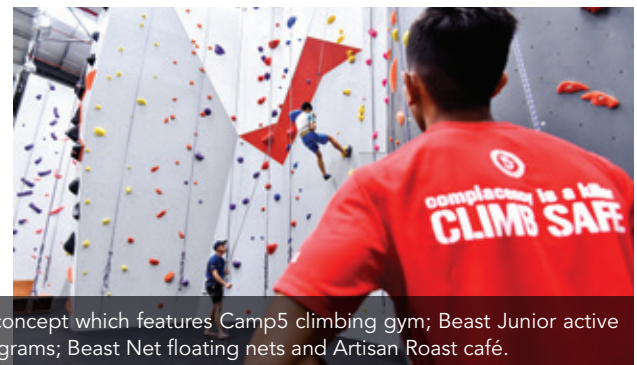
- > New façade;
- > Aesthetic interior design;
- > Upgraded mechanical and engineering facilities to support new food and beverage outlets;
- > Improved circulation and visibility with new escalators and void space; and
- > Multiple access points from Sungei Wang into Jumpa.



Modern shopping environment and seamless accessibility.



New-to-market Beast Park climbing-cum-adventure park offers 5-in-1 concept which features Camp5 climbing gym; Beast Junior active playground with parkour and ninja course; Beast Academy training programs; Beast Net floating nets and Artisan Roast café.



Jumpa's anchor tenants include MinNature, Malaysia's largest 3D printed miniature exhibition.



JUMPA @ SUNGEI WANG



2019 INITIATIVES

MAINTAINING CLOSE TIES WITH TENANTS

At Gurney Plaza, we continue to work closely with our anchor tenants to refresh our mall's offerings to delight shoppers. We also introduced new brands to the Northern region.



Hugo Boss and Stuart Weitzman's first boutiques in the Northern region.



Anchor tenants Parkson Elite and Mercato – the first Parkson Elite departmental store and premium grocer outside the Klang Valley.



The first Longines boutique in the Northern region.



REFRESHING NEW OFFERINGS



Shoppers welcomed new cosmetics offerings such as Chanel Beaute and YSL Beaute, as well as fashion offering JD Sports, in Gurney Plaza.



East Coast Mall's new fashion offerings include Fossil and BritishIndia.



Mr. D.I.Y. and Pet Lovers Centre are the new services-related offerings at East Coast Mall.

2019
INITIATIVES

REFRESHING NEW OFFERINGS



New F&B additions in Gurney Plaza include Ho Min San which offers Chinese noodles and Asian cuisine as well as the first Starbucks Reserve outlet in the Northern region.



Increase in food and beverage (F&B) trade to provide a more sustainable performance



Various new F&B outlets were introduced to East Coast Mall such as 4Fingers Crispy Chicken, bubble tea brand Daboba, Old Town White Coffee and Oiso Korean Traditional Cuisine and Café.



3 Damansara's new dining options include Burger King and Mu Tong Yu Steamboat – a Chinese hotpot cuisine operator from China and its first outlet in Malaysia.

PROPERTY PORTFOLIO

CMMT's portfolio provides both income and geographical diversification to Unitholders, comprising strategically located shopping malls and a complementary office block in the Klang Valley, Penang and Kuantan.



1 GURNEY PLAZA, PENANG



2 EAST COAST MALL, KUANTAN, PAHANG



4 3 DAMANSARA & TROPICANA CITY OFFICE TOWER, PETALING JAYA



3 SUNGEI WANG, KUALA LUMPUR



5 THE MINES, SERI KEMBANGAN, SELANGOR

BOARD OF
DIRECTORS



DAVID WONG CHIN HUAT
Chairman
Non-Executive Independent Director



LOW PECK CHEN
Chief Executive Officer
Executive Non-Independent Director



TUAN HAJI ROSLI BIN ABDULLAH
Non-Executive Independent Director



NG CHIH KAYE
Non-Executive Independent Director



**DATO' MOHAMMED BIN HAJI
CHE HUSSEIN**
Non-Executive Independent Director



TAN BOON PENG
Non-Executive Independent Director



RONALD TAY BOON HWEE
Non-Executive Non-Independent Director



LIM CHO PIN ANDREW GEOFFREY
Non-Executive Non-Independent Director

LETTER TO UNITHOLDERS

Dear Unitholders,

Echoing the challenging operating sentiments in 2018, it proved to be another challenging year for the Malaysian retail sector in 2019 as cautious business and consumer sentiments persist. The slow down in macroeconomic growth indicators, is in line with the uncertainties surrounding the recovery of the global economy, was further exacerbated by the weak ringgit which cast a damper on domestic consumption.

For the financial year ended 31 December 2019 (FY 2019), CapitaLand Malaysia Mall Trust (CMMT) recorded a net property income (NPI) of RM202.1 million, 6.0% lower than the RM215.0 million in FY 2018, mainly due to lower NPI contribution from the Klang Valley¹ malls, which continued to face pressure from competition in the area and downtime from asset enhancement works at Sungei Wang and The Mines. However, this was mitigated by the steady growth of the outstation malls Gurney Plaza and East Coast Mall, which collectively accounted for about 75% of CMMT's NPI, as well as the fully occupied Tropicana City Office Tower.

CMMT's portfolio, comprising strategically located shopping malls and a complementary office block in Klang Valley, Penang and Kuantan, provides both income and geographical diversification to Unitholders. As at 31 December 2019, CMMT had 1,303 committed leases. With a total market capitalisation of approximately RM2.1 billion, total assets of RM4.0 billion and a free float²

of approximately 63%, CMMT has sufficient scale to provide its investors with stable cash flow and focused exposure to Malaysia's resilient retail sector. CMMT also benefits from the scale which its sponsor CapitaLand, one of Asia's largest diversified real estate groups, brings in terms of access to its extensive tenant network and proven integrated retail and capital management platforms. CapitaLand is the largest Unitholder of CMMT and the majority shareholder of CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (CMRM), the Manager of CMMT. Malaysian Industrial Development Finance Berhad (MIDF), part of the Permodalan Nasional Berhad group of companies and a leading financial services provider in Malaysia, is the other shareholder of the Manager.

RESULTS PERFORMANCE

For the year under review, CMMT recorded a gross revenue of RM342.3 million. Total comprehensive income was RM72.6 million, after accounting for an unrealised fair value loss on investment properties of RM30.7 million and a deferred tax charge of RM19.5 million. CMMT's distributable income of RM128.0 million for FY 2019 was 20.7% lower than FY 2018 due to lower NPI as well as lower tax and other adjustments. This led to the corresponding decline in DPU by 20.9% to 6.25 sen. Based on CMMT's closing price of RM1.00 on 31 December 2019, it translated to a distribution yield of 6.25%.

CMMT's distribution policy is to pay out at least 90.0% of distributable income in each financial year on a half-yearly basis. Similar to preceding years, we will pay out approximately

100% of our distributable income for FY 2019. During the financial year, CMMT made two income distributions to Unitholders, totalling RM145.1 million or 7.10 sen per unit, which comprised (i) a final income distribution for FY 2018 of 3.88 sen per unit for the period from 1 July 2018 to 31 December 2018, which was paid on 8 March 2019; and (ii) the first income distribution for FY 2019 of 3.22 sen per unit for the period from 1 January 2019 to 30 June 2019, which was paid on 3 September 2019. CMMT's final income distribution for FY 2019 of 3.03 sen per unit for the period from 1 July 2019 to 31 December 2019 will be distributed to its Unitholders on 28 February 2020.

As at 31 December 2019, CMMT's total borrowings stood at RM1,376.7 million³, translating to a healthy gearing level of 33.7% and provides it with a comfortable debt headroom to fund potential acquisitions and asset enhancement initiatives (AEI). Both Sungei Wang and East Coast Mall are currently unencumbered, providing CMMT with further financial flexibility. As part of proactive debt capital management, CMMT has successfully refinanced the RM300.0 million outstanding Medium Term Notes (MTN), in December 2019, with the issuance of 3.5-year unrated and secured MTN at a lower coupon rate of 4.07% per annum for the first two years. At the end of 2019, approximately 83% of CMMT's debt was at fixed interest rates. The average cost of debt for FY 2019 was 4.4% per annum (FY 2018: 4.5% per annum).

1 Comprising Sungei Wang, 3 Damansara and The Mines.

2 Free float is the proportion of units that are held by investors excluding units held by CMMT's sponsor, CapitaLand. It is a measure of the market liquidity of CMMT.

3 Before deducting unamortised transaction costs.

LETTER TO UNITHOLDERS

In November 2019, we entered into a new easement agreement with Zurah Permai Sdn. Bhd., the party that will be undertaking the redevelopment of BB Plaza (BBP). This agreement provides CMMT a legal right to access Sungei Wang's roof top car parks and basement loading bay through the new BBP ramp after the completion of the redevelopment of BBP in the future. This will bode well for Sungei Wang in the long-term because of the expected improvement in shopper traffic spill over to Sungei Wang from the new BBP which will have a direct link to the underground Bukit Bintang Mass Rapid Transit station.

CMMT's shopping malls registered an annual shopper traffic of 56.7 million for FY 2019, a slight decline from the 57.5 million in FY 2018. This was mainly due to downtime from asset enhancement works at Sungei Wang and The Mines. Although occupancy rate remained healthy at 93.8% as at 31 December 2019, rental reversion for the portfolio eased by 5.7%, reflecting the ongoing pressures facing the retail real estate industry particularly the increasingly competitive environment in the Klang Valley.

PROACTIVE ASSET MANAGEMENT

The Manager proactively undertakes retail and asset management initiatives to continually refresh and introduce new experiences in CMMT's malls to enhance their attractiveness. AEI is one of CMMT's growth strategies to unlock and create value from our properties. During the year under review, CMMT invested approximately RM46.7 million in capital expenditure to

refresh and revitalise our portfolio of shopping malls to stay ahead of competition.

2019 was a significant year for Sungei Wang where we completed the AEI for Jumba @ Sungei Wang (Jumba) lifestyle annex block. In May 2018, the mall had embarked on a 16-month-long facelift, costing approximately RM52.2 million, to convert the previous anchor tenant space into specialty stores and update the façade and interior design of the annex block, as part of efforts to revitalise and enhance the appeal of Sungei Wang. The AEI works included seven new sets of escalators and enhanced visibility between floors through the creation of void space. Sporting a new glistening façade, Jumba, which opened at end-September 2019, reimagines the everyday retail experience with a focus on catering to the young and young-at-heart who seek a modern and vibrant retail experience. Offering a wide range of retail, food and beverage (F&B), and family entertainment options, the six-storey Jumba has a net lettable area of 155,845 sq ft. Since its opening, we have experienced encouraging growth in shopper traffic and are confident that the opening of anchor tenants – Beast Park, a new-to-market climbing-cum-adventure park, in December 2019 and MinNature's 3D printed miniature exhibition – the largest of its kind in Malaysia, by end-February will draw more shoppers including tourists to Sungei Wang. We expect the completion of Jumba will contribute positively to CMMT's future performance and remain positive about Sungei Wang's long-term prospects as it is an established asset located in

the prime shopping district of Bukit Bintang, well connected by strategic transportation nodes.

At Gurney Plaza, we continued our efforts with upgrading and refreshing our anchor tenants' offerings to further strengthen its position as Penang's premier lifestyle destination and improve shoppers' experience. Following the completion of Parkson Elite's renovation, supermarket operator Cold Storage has been upgraded to a premium groceries and fresh ingredients retailer, Mercato. Both Parkson Elite and Mercato's outlet at Gurney Plaza are their first outside the Klang Valley. As part of the tenant remixing on the Ground Floor, we introduced several new fashion offerings such as designer brand Hugo Boss and affordable luxury brand Stuart Weitzman. Timepiece brand Longines also opened their first boutique in the Northern region in Gurney Plaza. Other new offerings include cosmetics and skincare brands such as Chanel Beaute and YSL Beaute, as well as popular cafes and restaurants which are new to the Northern region such as Starbucks Reserve, Ho Min San Chinese noodles, Thailand's MeMelon Desserts House and Singapore's Lao Huo Tang. In December 2019, we commenced asset enhancement works to reconfigure the space on Level 4 into a premium food hall to bring more quality F&B to shoppers.

At East Coast Mall, we completed the reconfiguration of a 1,800 sq ft space at the Basement to house more service-related offerings to fulfill shoppers' needs. We also expanded the range of fashion brands with the introduction of

homegrown labels and international brand such as BritishIndia and Fossil, as well as added more dining options to the mall.

Both 3 Damansara and The Mines are located in established residential neighbourhoods and we continued to focus our efforts on bringing in more relevant tenant mix across F&B, supermarket and entertainment trades. At 3 Damansara, shoppers are able to enjoy a greater variety of new dining options and we have also relocated a popular Chinese eatery to the internal alfresco dining area on the Ground Floor and this has been well-received by shoppers. There are also more service-related offerings at the mall. At The Mines, there are more new eateries that opened their doors during the year. Shoppers can soon look forward to the opening of Tesco and another new family entertainment offering and we believe these tenants will be well-received.

CONNECTING WITH SHOPPERS

We continued to connect with our shoppers, making shopping more rewarding through innovative marketing activities and CapitaStar – CapitaLand's rewards programme. During the year under review, we extended CapitaStar to Sungei Wang⁴ and shoppers can earn rewards whenever they shop in all seven CapitaLand malls⁵ in Malaysia. As at 31 December 2019, CapitaStar has signed up more than 161,000 members since launching in 2015.

MAKING AN IMPACT

Malaysia's annual gross domestic product growth moderated to

4.3%⁶ in 2019 and looking ahead, the domestic operating landscape remains challenging on the back of global economic uncertainty and the recent global outbreak of the coronavirus disease (COVID-19) in January. Should this outbreak prolong, this could adversely impact the economy and further dampen business and consumer sentiments. At CMMT, we have stepped up precautionary measures at our properties in accordance with guidelines from the local authorities. We have also in place business continuity plans to minimise impact to operations and are ready to support our business partners ride through the challenges brought on by the COVID-19.

Notwithstanding these challenges, we remain focused on delivering our priorities for 2020 which includes the timely completion of the premium food hall AEI at Gurney Plaza, upgrading and replacement of anchor tenants at 3 Damansara and Tropicana City Office Tower, as well as The Mines. Our ongoing strategy for the Klang Valley malls is to strengthen the trade and tenant mix as well as introducing new retail concepts.

In line with our digital marketing strategy to enhance shopper engagement, the CapitaStar mobile application will be further enhanced and members can look forward to more attractive eDeals and electronic vouchers for redemption. We are also exploring with electronic wallet solution providers to further enhance the cashless parking facilities to offer greater convenience to shoppers.

We will continue to proactively look for opportunities for acquisitions as part of our efforts to create value for our Unitholders.

ACKNOWLEDGEMENTS

We would like to extend our gratitude to CMMT's Unitholders, tenants, shoppers and business partners for their continued support in 2019.

On behalf of the Board members, we would like to take this opportunity to record our gratitude to Ms Tan Siew Bee and Dr Peter Tay Buan Huat who retired from the Board during the year. We wish to express our deepest appreciation to Ms Tan and Dr Tay for their valued guidance as non-executive independent directors with CMMT from its listing in 2010.

We are also pleased to welcome Dato' Mohammed Bin Haji Che Hussein and Mr Tan Boon Peng to the Board. We look forward to tapping on their experience in real estate and capital markets and believe their experience will be invaluable to the Board.

We remain committed to delivering sustainable income distributions for Unitholders in the long-term and look forward to all our stakeholders' continued support as we strive to forge ahead to propel CMMT to an even stronger position.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

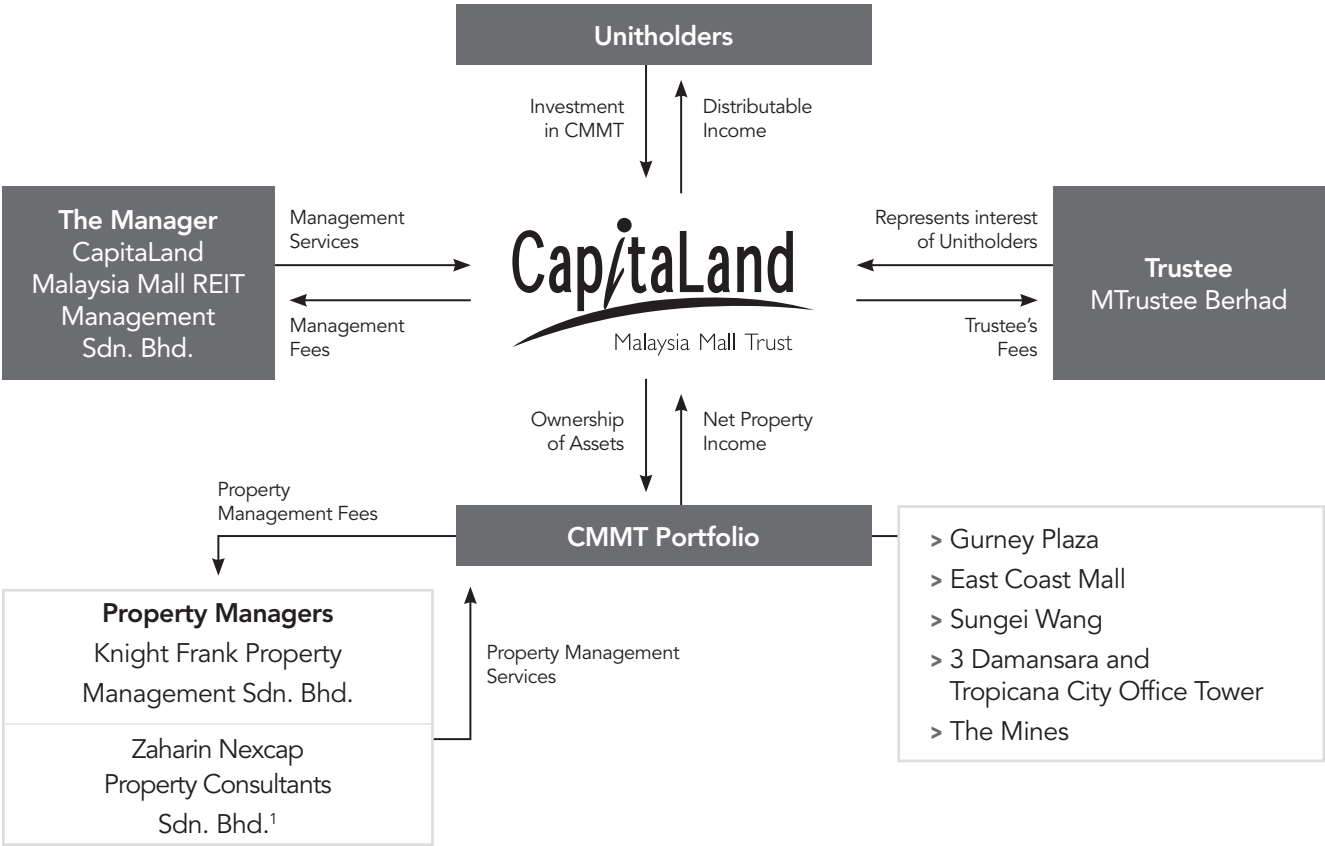
14 February 2020

⁴ Participating stores in CMMT parcels only.

⁵ The seven malls comprise four in Klang Valley – Sungei Wang in Kuala Lumpur, 3 Damansara in Petaling Jaya, The Mines in Seri Kembangan, Melawati Mall in Taman Melawati; two in Penang – Gurney Plaza and Queensbay Mall; and East Coast Mall in Kuantan, Pahang.

⁶ Source: Bank Negara Malaysia, Fourth Quarter 2019 Bulletin.

TRUST STRUCTURE



ORGANISATION STRUCTURE



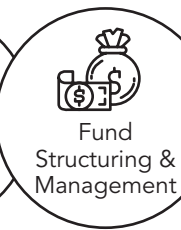
1 Zaharin Nexcap Property Consultants Sdn. Bhd. only manages CMMT's interest in Sungei Wang.

VALUE CREATION

INTEGRATED RETAIL AND CAPITAL MANAGEMENT PLATFORMS

CMMT enjoys access to CapitaLand’s unique integrated retail real estate platform, combining the best of retail real estate management and capital management capabilities.

RETAIL REAL ESTATE MANAGEMENT

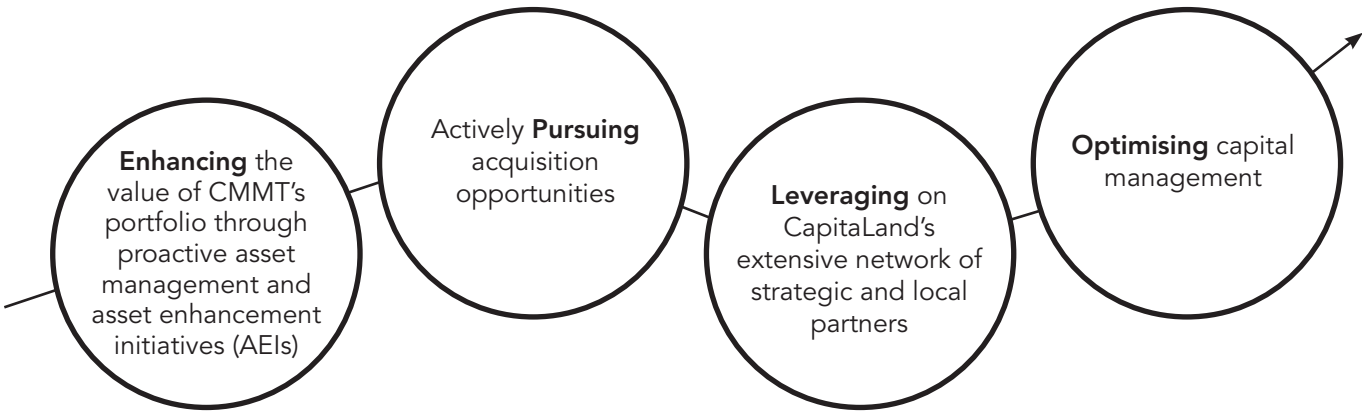


RETAIL REAL ESTATE CAPITAL MANAGEMENT

INVESTMENT STRATEGIES

The key financial objective is to provide Unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to

seek the increase of cash flow, income and the value of CMMT’s properties and consequently, continued growth through the following strategies:



INVESTMENT OBJECTIVE

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed¹, the REITs Guidelines² and/or by the Securities Commission Malaysia (SC), with a view to providing Unitholders with long-term and sustainable distribution of income and potential capital growth.

The Manager believes that CMMT has achieved its investment objective for the financial year ended 31 December 2019 (FY 2019).

Future Prospects of the Market

The Manager views the Malaysian retail sector to be resilient and will continue to pursue the abovementioned investment strategies. For more information on the markets in which CMMT invests in, refer to the section ‘Independent Retail Market Overview’ in CMMT’s Annual Report 2019.

1 The trust deed dated 7 June 2010 (as amended and restated on 5 October 2018) entered into between the Manager and the Trustee.
 2 Guidelines on Listed Real Estate Investment Trusts.

FINANCIAL AND TRADING HIGHLIGHTS

Trading Highlights	FY 2019	FY 2018	FY 2017	FY 2016	FY 2015
Opening Market Price (RM per unit)	1.01	1.830	1.530	1.380	1.430
Closing Market Price (RM per unit)	1.00	1.010	1.830	1.530	1.380
Highest Traded Price (RM per unit)	1.13	1.470	1.830	1.610	1.660
Lowest Traded Price (RM per unit)	1.00	0.990	1.390	1.350	1.240
Average Closing Price (RM per unit)	1.064	1.160	1.520	1.550	1.414
Total Trading Volume (million units)	181.5	257.3	326.9	427.8	279.5
Average Daily Trading Volume (million units)	0.744	1.059	1.351	1.135	1.136
Capital Appreciation ¹ (%)	(1.0)	(44.8)	19.6	10.9	(3.5)
Market Capitalisation ² (RM mil)	2,051.8	2,064.6	3,729.1	3,108.1	2,794.2
Units in Circulation ³ ('000)	2,051,753	2,044,176	2,037,753	2,031,458	2,024,799

CMMT Group Performance Highlights (RM mil)	FY 2019	FY 2018	FY 2017	FY 2016	FY 2015
Gross Rental Income	266.9	271.2	289.4	292.9	272.8
Car Park Income	23.1	24.2	24.5	24.6	21.5
Other Revenue	52.3	54.7	55.0	55.1	50.5
Gross Revenue	342.3	350.1	368.9	372.6	344.8
Net Property Income	202.1	215.0	237.1	242.5	226.4
Distributable Income	128.0	161.3	167.4	171.1	162.8
Distribution Per Unit (sen)	6.25	7.90	8.22	8.43	8.60
Distribution Yield ² (%)	6.25	7.82	4.49	5.51	6.23
Annual Total Return ⁴ (%)	5.2	(40.5)	25.0	17.0	2.5
Earnings Per Unit (sen)	3.55	6.64	7.97	8.27	11.92
Management Expense Ratio ⁵ (%)	0.9	0.9	0.9	0.9	1.0

1 Based on the opening market price and closing market price of the respective financial year.

2 Based on the closing market price of the respective financial year.

3 Units in circulation at the end of the financial year.

4 Annual total return is equal to the DPU plus capital appreciation (in sen) during the year divided by the opening unit price at the beginning of the financial year.

5 Refers to the expenses of CMMT excluding property operating expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets.

CMMT Group Financial Position Highlights (RM mil)	As at 31 Dec 2019	As at 31 Dec 2018	As at 31 Dec 2017	As at 31 Dec 2016	As at 31 Dec 2015
Portfolio Property Valuation	4,035.0	4,019.0	3,966.0	3,938.0	3,886.0
Total Assets	4,143.8	4,143.0	4,177.9	4,148.9	4,091.8
Total Borrowings ¹	1,376.7	1,321.9	1,341.0	1,316.7	1,264.1
Unitholders' Funds	2,601.9	2,666.6	2,687.2	2,685.6	2,674.8
Net Asset Value (NAV) (Before Income Distribution)	2,601.9	2,666.6	2,687.2	2,685.6	2,674.8
Net Asset Value (NAV) (After Income Distribution)	2,539.8	2,587.3	2,604.1	2,599.7	2,594.0
NAV Per Unit (Before Income Distribution) (RM)	1.2681	1.3045	1.3187	1.3220	1.3210
NAV Per Unit (After Income Distribution) (RM)	1.2378	1.2657	1.2779	1.2797	1.2811

CMMT Group Capital Management Highlights	As at 31 Dec 2019	As at 31 Dec 2018	As at 31 Dec 2017	As at 31 Dec 2016	As at 31 Dec 2015
Gearing Ratio (%)	33.7	32.5	32.8	32.4	31.5
Unencumbered Assets as % of Total Assets	28.3	28.0	29.7	30.4	34.1
Average Term to Maturity (years)	4.4	4.8	5.7	6.8	7.3

	FY 2019	FY 2018	FY 2017	FY 2016	FY 2015
Interest Coverage (times)	3.0	3.2	3.7	3.8	4.0
Net Debt/EBITDA ² (times)	7.5	6.9	6.3	6.0	6.2
Average Cost of Debt (%)	4.4	4.5	4.4	4.5	4.5

CMMT Group refers to the consolidation of CMMT and its wholly owned subsidiary, CMMT MTN Berhad. Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

¹ Before deducting unamortised transaction costs.

² Net debt comprises gross debt less temporary cash intended for refinancing, if any, and EBITDA refers to earnings before interest, tax, depreciation and amortisation.

SALIENT FEATURES OF CMMT

Fund Name	CapitaLand Malaysia Mall Trust (CMMT)
Fund Category	Real Estate Investment Trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: > the occurrence of any of events listed in Clause 25.2 of the Deed¹; or > the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of His Majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Authorised Investments	Real estate, non-real estate assets, cash, deposits and money market instruments in accordance with the REITs Guidelines ² and the Deed.
Authorised Investments Limits	> At least 75% of CMMT's total asset value must be invested in real estate that generates recurrent rental income at all times; and > Such other investments or limits as may be permitted by SC and/or the REITs Guidelines.
Distribution Policy	Payout policy ratio: > At least 90.0% of CMMT's distributable income of each financial year. Distribution payment: > Semi-annual basis for each six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50.0% of CMMT's total asset value at the time the borrowings or financing facilities or deferred payment arrangements are incurred.
Performance Benchmarks	> FTSE Bursa Malaysia Kuala Lumpur Composite Index > Bursa Malaysia REIT Index
Revaluation Policy	Valuation of investment properties are carried out: > Annually based on independent professional valuation; and > When a real estate is to be acquired or disposed by CMMT.
Management Fee	> Base Fee: up to 1.0% per annum of the value of Deposited Property³ (FY 2019 actual: 0.29%) > Performance Fee: up to 5.0% per annum of NPI (before Management Fee) (FY 2019 actual: 4.75%) > Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CMMT > Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CMMT.
Financial Year	1 January 2019 – 31 December 2019
Listing Market	Main Market of Bursa Malaysia Securities Berhad
Minimum Investment	100 units per board lot
Bursa Securities Stock Name/Code	CMMT 5180

¹ The Deed dated 7 June 2010 (as amended and restated on 5 October 2018) entered into between the Manager and the Trustee.

² Guidelines on Listed Real Estate Investment Trusts.

³ As defined in the Deed, the value of Deposited Property is equal to all the assets of CMMT (total asset value).

YEAR IN BRIEF

FEBRUARY

- > A distribution of 3.88 sen per unit for the period from 1 July 2018 to 31 December 2018 was paid to Unitholders.

MARCH

- > During the Annual General Meeting, Unitholders approved the proposed authority to allot and issue up to 408,835,240 new units of CMMT.

JULY

- > Completed retail interior and exterior rejuvenation, and space reconfiguration works at Jumpa @ Sungei Wang.
- > Completion of anchor upgrading at Gurney Plaza – Parkson Elite.



Exterior of Jumpa @ Sungei Wang

SEPTEMBER

- > A distribution of 3.22 sen per unit which pertained to the period from 1 January 2019 to 30 June 2019 was paid to Unitholders.
- > Soft opening of Jumpa @ Sungei Wang.



Interior of Jumpa @ Sungei Wang

OCTOBER

- > The MRMA-APREA REIT Forum 2019 organised by the Malaysian REIT Managers Association was held. Themed Opportunities in the New Malaysia, CMMT participated in the inaugural forum and also served as a part of the organising committee.

NOVEMBER

- > CMMT and CapitaLand jointly held CapitaLand Volunteer Day in Malaysia in conjunction with the annual signature corporate social responsibility programme My Schoolbag.
- > Completion of anchor upgrading at Gurney Plaza – Mercato.



My Schoolbag 2019

DECEMBER

- > CMMT MTN Berhad issued a 3.5-year RM300.0 million unrated and secured Medium Term Notes (MTN) at a coupon rate of 4.07% per annum for the first two years to redeem the outstanding 3-year RM300.0 million MTN.
- > Commenced asset enhancements works at Gurney Plaza.

BOARD OF DIRECTORS' PROFILE

DAVID WONG CHIN HUAT, 71, SINGAPOREAN (MALE)

Chairman

Non-Executive Independent Director

- > Bachelor of Laws, University of Singapore
- > Master of Laws, University of London

Date of first appointment as a Director and Deputy Chairman

6 July 2012

Date of appointment as Chairman

1 November 2012

Length of service as a Director

(as at 31 December 2019)

7 years 5 months

Board committees served on

- > Nil

Present directorship of public company and listed issuer

- > Nil

Present principal commitments

- > Ramdas and Wong, Singapore (Consultant)
- > National Trades Union Congress (NTUC) U Care Fund, Singapore (Chairman of the Board of Trustees)
- > NTUC Endowment Fund Management Committee (Chairman)
- > Justice of the Peace Singapore

Background and working experience

- > Director of Singapore Labour Foundation (From 2001 to 2010)
- > Chairman of Bedok Citizen's Consultative Committees (From 1989 to 2007)
- > Member of Public Service Commission, Singapore (From 17 August 1998 to 16 August 2015)

Award

- > Public Service Star (BBM) in 1991 and BBM(L) in 2005 awarded in conjunction with the Singapore National Day

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- > Nil

LOW PECK CHEN, 45, MALAYSIAN (FEMALE)

Chief Executive Officer

Executive Non-Independent Director

- > Bachelor of Accounting (First Class Honours), University of Malaya
- > Member of the Malaysian Institute of Accountants
- > Chartered Financial Analyst, CFA Institute

Date of first appointment as an Alternate Director and Deputy Chief Executive Officer

19 September 2014

Date of appointment as a Director and Chief Executive Officer

1 November 2014

Length of service as a Director

(as at 31 December 2019)

5 years 2 months

Board committees served on

- > Executive Committee (Member)

Present directorship of public companies and listed issuers

- > CMMT MTN Berhad
- > Milky Way Properties Berhad

Background and working experience

- > Head of Finance of CapitaMalls Malaysia REIT Management Sdn. Bhd. (now known as CapitaLand Malaysia Mall REIT Management Sdn. Bhd.) (From June 2010 to September 2014)
- > Finance Manager of CapitaLand Retail Malaysia Sdn. Bhd. (From September 2008 to June 2010)
- > Finance Manager/Accountant of Halim Mazmin Berhad (From February 2004 to August 2008)
- > Finance Executive of UEM World Berhad (From August 2002 to February 2004)
- > Finance Officer of AmFinance Berhad (From May 2000 to July 2002)
- > Auditor of Moores Rowland (From August 1999 to May 2000)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- > Nil

**TUAN HAJI ROSLI BIN ABDULLAH, 66,
MALAYSIAN (MALE)**

Non-Executive Independent Director

- > Post-Graduate, Diploma in Accounting, Universiti Malaya
 - > Bachelor in Economics (Honours), Universiti Malaya
 - > Master in Business Administration, Universiti Kebangsaan Malaysia
 - > Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
-

Date of first appointment as a Director

6 July 2012

Length of service as a Director

(as at 31 December 2019)

7 years 5 months

Board committees served on

- > Audit Committee (Chairman)

**Present directorship of public companies
and listed issuers**

- > Dagang NeXchange Berhad
- > I-VCAP Management Sdn. Bhd.
- > Malaysia Airports Holdings Berhad and Group

Background and working experience

- > Chief Executive Officer and Registrar of Malaysian Institute of Accountants (From 2009 to 2012)
- > Adviser to Economic Planning Unit of Government of Malaysia (2008)
- > Senior General Manager of Putrajaya Holdings Sdn. Bhd. (From 1996 to 2007)
- > Financial Controller/General Manager of Finance of Kuala Lumpur International Airport Berhad (From 1994 to 1996)
- > Director of Corporate Services at the Accountant General Department of Ministry of Finance (From 1993 to 1994)
- > Bursar of Universiti Putra Malaysia (From 1991 to 1993)
- > Chief Accountant at the Government Pension Department of Public Service Department (From 1989 to 1991)
- > Chief Accountant in the Ministry of Education of Government of Malaysia (From 1983 to 1987)
- > Chief Accountant in the Ministry of Works of Government of Malaysia (From 1981 to 1983)
- > State Treasurer of the State of Kelantan (From 1978 to 1980)
- > Accountant, Accountant General's office, Federal Treasury in the Ministry of Finance of Government of Malaysia (From 1976 to 1977)

Awards

- > Johan Setia Mahkota (J.S.M.), awarded by His Majesty Yang DiPertuan Agong on 1 June 2002

**Other than traffic offences, the list of convictions
for offences within the past 5 years and particulars
of any public sanction or penalty imposed by the
relevant regulatory bodies during the financial year**

- > Nil

**NG CHIH KAYE, 64,
MALAYSIAN (MALE)**

Non-Executive Independent Director

- > Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
 - > Fellow of the Association of Chartered Certified Accountants, United Kingdom
-

Date of first appointment as Director

6 July 2012

Length of service as a Director

(as at 31 December 2019)

7 years 5 months

Board committees served on

- > Audit Committee (Member)

**Present directorship of public companies
and listed issuers**

- > Ambank (M) Berhad
- > Malaysia Debt Ventures Berhad
- > Shangri-La Hotels (Malaysia) Berhad

Background and working experience

- > Independent Non-Executive Director at Agrobank (From 2011 to 2017)
- > Various positions, Executive Vice President being the last position of Malayan Banking Berhad (From 1985 to 2010)
- > Audit and Due Diligence at a Chartered Accounting firm, London and KPMG KL (From 1978 to 1984)

**Other than traffic offences, the list of convictions
for offences within the past 5 years and particulars
of any public sanction or penalty imposed by the
relevant regulatory bodies during the financial year**

- > Nil

BOARD OF DIRECTORS' PROFILE

DATO' MOHAMMED BIN HAJI CHE HUSSEIN, 69, MALAYSIAN (MALE)

Non-Executive Independent Director

- > Alumnus of the Advanced Management Program, Harvard Business School, Boston, USA
- > Fellow of the Asian Institute of Chartered Bankers
- > Bachelor of Commerce (Accounting), University of Newcastle, New South Wales, Australia

Date of first appointment as a Director

1 April 2019

Length of service as a Director

(as at 31 December 2019)

9 months

Board committees served on

- > Audit Committee (Member)

Present directorship of public companies and listed issuers

- > Gamuda Berhad
- > Hap Seng Plantations Holdings Berhad
- > Tasek Corporation Berhad
- > Bank of America Malaysia Berhad

Background and working experience

- > Senior Advisor of RSM Strategic Business Advisors Sdn Bhd (From 2008 to 2009)
- > Various senior management positions with the Malayan Banking Berhad (Maybank) Group, including Head of Corporate Banking, Head of Commercial Banking, Head of Malaysian Operations, Managing Director of Aseambankers Malaysia Berhad (now known as Maybank Investment Bank Berhad) and Executive Director (Business Group). His last position held prior to his retirement from the Maybank Group was Deputy President/Executive Director/Chief Financial Officer (From 1987 to 2008)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- > Nil

TAN BOON PENG, 53, MALAYSIAN (MALE)

Non-Executive Independent Director

- > Master of Arts and Bachelor of Arts, University of Cambridge, United Kingdom

Date of first appointment as a Director

1 April 2019

Length of service as a Director

(as at 31 December 2019)

9 months

Board committees served on

- > Nil

Present directorship of public company and listed issuer

- > Nil

Background and working experience

- > Various positions, Regional Head of Equity Capital Markets being the last position at CIMB Group (From 2003 to 2016)
- > Head of Singapore Research and Coordinator of the Singapore/Malaysian Research Product of Indosuez W.I. Carr Securities (S) Pte Ltd (From 2000 to 2001)
- > General Manager - Research of RHB Institute Sdn. Bhd. (From 1999 to 2000)

Other than traffic offences, the list of convictions for offences within the past 5 years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

- > Nil

**RONALD TAY BOON HWEE, 51,
SINGAPOREAN (MALE)**

Non-Executive Non-Independent Director

- > Bachelor of Business (Honours), Nanyang Technological University of Singapore

Date of first appointment as a Director

1 January 2018

Length of service as a Director

(as at 31 December 2019)

2 years

Board committees served on

- > Executive Committee (Chairman)

**Present directorship of public company
and listed issuer**

- > Nil

Present principal commitment

- > CapitaLand, Singapore Malaysia & Indonesia (CEO, Residential & Retail)

Background and working experience

- > Chief Executive Officer of Ascott Residence Trust Management Limited (manager of Ascott Residence Trust) (From February 2012 to April 2017)
- > Chief Investment Officer and Managing Director of India and GCC Sector of The Ascott Limited (From January 2007 to February 2012)
- > Head of Business Development and Asset Management of Ascott Residence Trust Management Limited (manager of Ascott Residence Trust) (From January 2007 to February 2012)
- > Head and Senior Vice President, Investment of CapitaLand Residential Limited (From January 2005 to December 2006)

**Other than traffic offences, the list of convictions
for offences within the past 5 years and particulars
of any public sanction or penalty imposed by the
relevant regulatory bodies during the financial year**

- > Nil

**LIM CHO PIN ANDREW GEOFFREY, 50,
SINGAPOREAN (MALE)**

Non-Executive Non-Independent Director

- > Bachelor of Commerce (Economics), University of Toronto, Canada
- > Master in Business Administration, Rotman School of Business, University of Toronto, Canada
- > Chartered Financial Analyst® and Member, CFA Institute

Date of first appointment as a Director

15 April 2018

Length of service as a Director

(as at 31 December 2019)

1 year 8 months

Board committees served on

- > Audit Committee (Member)
- > Executive Committee (Member)

**Present directorship of public company
and listed issuer**

- > Nil

Present principal commitments

- > Accounting for Sustainability Circle of Practice (Member)
- > Accounting Standards Council (Member)
- > CapitaLand Group (Group Chief Financial Officer)
- > Institute of Singapore Chartered Accountants' CFO Committee (Member)
- > Real Estate Investment Trust Association of Singapore (REITAS) (President)

Background and working experience

- > Group Chief Financial Officer (Designate) of CapitaLand Limited (From 25 November 2016 to 31 December 2016)
- > Managing Director and Head of SEA Coverage Advisory of HSBC Global Banking (From January 2016 to December 2016)
- > Managing Director and Head of SEA Real Estate of HSBC Global Banking (From January 2015 to December 2015)
- > Managing Director, SEA Investment Banking of HSBC Global Banking (From April 2013 to December 2014)
- > Director, SEA Investment Banking of HSBC Global Banking (From April 2010 to March 2013)
- > Associate Director, Investment Banking of HSBC Global Banking (From April 2007 to March 2010)
- > Associate, Investment Banking of HSBC Global Banking (From July 2004 to March 2007)

**Other than traffic offences, the list of convictions
for offences within the past 5 years and particulars
of any public sanction or penalty imposed by the
relevant regulatory bodies during the financial year**

- > Nil

TRUST MANAGEMENT

LOW PECK CHEN Chief Executive Officer

Please refer to the description under the section on 'Board of Directors' Profile.

SOON YEONG CHYAN, 50, **MALAYSIAN (MALE)** Chief Financial Officer

Yeong Chyan leads the finance team and is responsible for CMMT's financial management functions including the preparation of statutory accounts, budgeting, sourcing and management of funds, management of treasury and tax affairs, compliance, liaison with external audit, and all other finance-related matters.

He started his career with Price Waterhouse, currently known as PricewaterhouseCoopers. He has more than 20 years of working experience in the field of auditing as well as in leading and managing the full spectrum of finance functions of companies involved in various industries including plantation & integrated palm oil manufacturing, property development & investment and investment holdings.

Yeong Chyan holds a Bachelor of Accounting degree from University of Malaya. He is a member of the Malaysian Institute of Certified Public Accountants (MICPA) and the Malaysian Institute of Accountants (MIA).

MATTHEW LOH WOEI LIEH, 37, **MALAYSIAN (MALE)** Deputy Head, Investment & Asset Management

Matthew heads the investment and asset management function at the Manager and is responsible for the overall acquisition and divestment strategies, and the formulation and implementation of asset management strategies which includes maximisation of returns and asset enhancement initiatives. He has more than 15 years of experience in real estate. In his role for Investment and Asset Management, he was actively involved in the acquisition of East Coast Mall, 3 Damansara and Tropicana City Office Tower. Additionally, he has led and executed multiple AEs and provided financial leadership in valuation.

Prior to joining the Manager, Matthew gained exposure in real estate industry in Malaysia, Singapore and China. He holds a Bachelor of Commerce degree from Deakin University, Australia.

FERN TAN FENG CHING, 47, **MALAYSIAN (FEMALE)** General Manager, Retail Management

With more than 20 years of experience in the retail property industry covering leasing, leasing administration, advertising and promotions, human resources and mall operations, Fern was with CapitaLand Malaysia and responsible for the financial and operational performance of The Mines prior to joining the Manager. She also gained regional experience through her leasing responsibilities with CapitaLand China and CapitaLand Singapore.

With the Manager, she is responsible for group leasing, group marketing communications, group operations and tenancy design management departments. Fern holds a Bachelor of Science (Travel Industry Management) from Hawaii Pacific University, USA.

LAWRENCE TEH CHENG POH, 56, **MALAYSIAN (MALE)** General Manager, Mall Management

With close to 30 years of retail real estate experience, Lawrence has vast exposure in retail operations, centre management and mall management functions. Previously the Centre Manager of Gurney Plaza, he has since been re-designated as the General Manager, Mall Management of the Manager.

Prior to joining the Manager, Lawrence was involved in shopping mall operations with various reputable conglomerates as well as international hypermarket and food and beverage companies. With a Bachelor of Commerce (Accounting, Finance & System) degree from the University of New South Wales, Australia, Lawrence was also an Associate of Australian Society of Practicing Accountants from 1988 till 1991.

GRACE YAP MEI WAN, 52, **MALAYSIAN (FEMALE)** Compliance Officer Head, Legal, Secretariat & Compliance

With more than 20 years of work experience, Grace served as a practicing lawyer for seven years and was involved in concessions/privatisation; management buy-outs; public listing; due diligence exercises; joint ventures, and mergers and acquisitions practices. As an in-house legal counsel in both public listed and private limited companies thereafter, she was instrumental in assisting large and diversified corporations with

asset acquisitions; corporate finance; property development; conveyancing; project management as well as corporate advisory matters.

Grace holds an LLB (Honours) degree from the University of Nottingham, England and was admitted to the English Bar and Malaysian Bar in 1991 and 1993 respectively.

MAH KOK FOON, 47,
MALAYSIAN (MALE)
Head, Human Resource

With 20 years of experience in human resource management, Kok Foon is highly experienced in Manpower Planning and Recruitment, Training and Development, Compensation and Benefit, Performance Management, Industrial Relations & Employee Relations, Employee Engagement, Talent Management & Succession Planning, HR Technology Integration, Change Management, Compliance and Risk Management.

Prior to joining the Manager, Kok Foon led the Human Resource department of CapitaLand Malaysia where he had successfully rolled out series of enhanced employees' benefit programmes, implemented human resources-related policies and procedures in Malaysia, and also coordinated the rationalisation of salary and benefits packages for new staff during acquisition-related due diligence exercises and initiated several campaigns for cultural enhancement. Kok Foon holds a Master of Business Administration and a Bachelor of Economics (Hons) from Northern University of Malaysia.

STEPHANIE CHANG SOOK YEN, 54,
MALAYSIAN (FEMALE)
Head, Leasing

With more than three decades of retail experience, Stephanie has held senior management roles with established retailers ranging from sportswear, department store, global and local telecommunications players. In her current role, Stephanie oversees the Group Leasing function which supports CMMT's malls in all aspects of leasing activities and works closely with them to ensure greater synergies and unlock greater value for CMMT.

IBRAHIM AHMAD, 59,
SINGAPOREAN (MALE)
Head, Operations

Ibrahim devises the strategic direction of the engineering and operational aspects of CMMT's malls. He is responsible for developing operational guidelines as well as implementing

facility management policies, which include the establishment of standard operating procedures and emergency response procedures for the malls to run smoothly.

With more than 25 years of experience in real estate specialising in project and property management, Ibrahim was the Head of Engineering and Technical Services of CapitaLand Malaysia. He was also critical in the preparation of operations and maintenance budgets, review of equipment performance, and procurement of service contracts. In addition to the above, he led the implementation of systems that resulted in the award of ISO9000, ISO14000 and ISO18000, as well as Singapore's Building and Construction Authority Green Mark certification, for malls within the portfolio. Ibrahim graduated with a Bachelor of Science (Real Estate Management) from Oxford Brookes University, United Kingdom and is a qualified Fire Safety Manager registered with the Fire Safety Bureau of Singapore.

ELIZA KOW SHUK HAN, 42,
MALAYSIAN (FEMALE)
Head, Marketing & Communications

Eliza is responsible to formulate the strategic direction and initiatives to actively engage shoppers, tenants and the communities of CMMT's malls. Prior to joining the Manager, Eliza was involved in various signature marketing campaigns for several reputable companies where she gained more than 15 years of experience in handling of sales and marketing, advertising and branding, digital marketing and retailer partner marketing with both local and regional exposure.

Eliza holds a Master of Business Administration (Strategic Management) from International Islamic University of Malaysia and a Bachelor of Arts (Communications) from Charles Sturt University of Australia.

JASMINE LOO PIK KWAN ABDULLAH, 41,
MALAYSIAN (FEMALE)
Senior Manager, Investor Relations & Corporate Communications

Jasmine is responsible for building rapport and facilitating transparent communications with CMMT's Unitholders, potential and existing investors, analysts and media through various communication channels, as well as collating feedback from the investment community.

Jasmine has worked in the media and real estate industry for more than 15 years of experience in investor relations, corporate communications and media relations. She holds a Bachelor of Arts (English Language) from University Putra of Malaysia.

CORPORATE GOVERNANCE

THE MANAGER

The primary role as the Manager of CMMT is to set the strategic direction of CMMT and make recommendations to the Trustee on the acquisition of new assets and divestment or enhancement of CMMT's assets in accordance with its stated investment strategy. The research, evaluation and analysis required for this purpose are coordinated and carried out by the Manager. The Manager is also responsible for the system of risk management and internal controls for CMMT.

The Manager has general powers of management over the assets of CMMT. The Manager's primary responsibility is to manage the assets and liabilities of CMMT for the benefit of the Unitholders of CMMT. This is done with a focus on generating rental income and enhancing asset values over time to maximise returns from the investments and ultimately, the distribution and total returns to Unitholders.

Other functions and responsibilities of the Manager include:

- (a) Using its best endeavours to conduct CMMT's business in a proper and efficient manner and to conduct all transactions on behalf of CMMT at arm's length;
- (b) Preparing annual property plans for review by the Manager's Directors, including forecasts on revenue, net income and capital expenditure, reasons for major variances in previous years' numbers, written commentaries on key issues and underlying assumptions for rental rates, operating expenses and other relevant assumptions;
- (c) Ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act 2016, the Capital Markets and Services Act 2007 (CMSA), the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Malaysia) (Listing Requirements), the Securities Commission's (SC) Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), Licensing Handbook, written directions, notices, codes and other applicable guidelines issued by SC and/or Bursa Malaysia and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders as well as any updates and amendments to such relevant laws and regulations;
- (d) Attending to all regular communications with Unitholders; and
- (e) Supervising Knight Frank Property Management Sdn. Bhd. and Zaharin Nexcap Property Consultants Sdn. Bhd. (the Property Managers), which pursuant to the property management agreements, perform the day-to-day property management functions (including leasing, accounting, marketing, promotion, operations coordination and other property management activities) for CMMT's properties namely Gurney Plaza, Sungei Wang¹, 3 Damansara and Tropicana City Office Tower, The Mines and East Coast Mall.

The Manager also considers sustainability issues (including environmental and social factors) as part of its responsibility. Please refer to the Sustainability Management section of CMMT's Annual Report 2019.

The Manager administers the enterprise risk management and ensures that internal controls are in place to mitigate and manage the risks as set out in the Enterprise Risk Management section of CMMT's Annual Report 2019.

CMMT, constituted as a trust, is externally managed by the Manager. The Manager appoints experienced and well qualified individuals to run its day-to-day operations. All Directors and employees of the Manager are remunerated by the Manager and not CMMT.

¹ CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

The Manager was appointed in accordance with the terms of the deed dated 7 June 2010 (as amended and restated on 5 October 2018) (the Deed). The Deed outlines certain circumstances under which the Manager can be removed; through an ordinary resolution at a meeting of Unitholders duly convened and held in accordance with the provisions of the Deed, on grounds of a breach of its obligations under the Deed which the Manager failed to remedy despite the request to remedy from the Trustee.

The Manager is a subsidiary of CapitaLand Limited (CapitaLand or CL) and CL holds a significant unitholding interest in CMMT. CapitaLand is a long-term real estate developer and investor, and has strong inherent interests in the performance of CMMT. CL's retention of a significant unitholding interest in CMMT ensures its commitment to CMMT and aligns its interests with other Unitholders. The Manager's association with CapitaLand provides the following benefits to CMMT, amongst others;

- (a) a stable pipeline of property assets through CapitaLand's development activities;
- (b) wider and better access to banking and capital markets;
- (c) fund raising and treasury support; and
- (d) access to a bench of experienced management talent.

Our Corporate Governance Culture

The Manager aspires to the highest standards of corporate governance, including accountability, transparency and sustainability. It is committed to enhancing long-term unitholder value and has appropriate people, processes and structure to direct and manage the business and affairs of the Manager. The policies and practices it has developed to meet the specific business needs of CMMT provide a firm foundation for a trusted and respected business enterprise. The Manager remains focused on complying with the substance and spirit of the principles of the Malaysian Code on Corporate Governance (Code) while achieving operational excellence and delivering CMMT's long-term strategic objectives. The Board of Directors (Board) is responsible for the Manager's corporate governance standards and policies, underscoring their importance to the Manager.

This Corporate Governance Report (Report) sets out the corporate governance practices for financial year (FY) 2019 with reference to the principles of the Code. For FY 2019, save as stated in this Report, CMMT has complied in all material aspects with the principles and guidelines in the Code. Where there are deviations from any of the guidelines of the Code, an explanation has been provided within this Report.

Intended Outcome 1.0

Every company is headed by a board, which assumes responsibility for the company's leadership and is collectively responsible for meeting the objectives and goals of the company.

Practice 1.1: The board should set the company's strategic aims, ensures that the necessary resources are in place for the company to meet its objectives and review management performance. The board should set the company's values and standards and ensure that its obligations to its shareholders and other stakeholders are understood and met.

The Board oversees the strategic direction, performance and affairs of the Manager, in furtherance to the Manager's primary responsibility to manage the assets and liabilities of CMMT for the benefit of Unitholders. The Board provides leadership to the Chief Executive Officer (CEO) and the management team (Management) of the Manager. The CEO, assisted by Management, is responsible for the execution of the strategy for CMMT and the day-to-day operation of CMMT's business.

CORPORATE GOVERNANCE

The Board establishes goals for Management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risks and compliance with requirements under the Listing Requirements, REITs Guidelines as well as any other applicable guidelines prescribed by Bursa Malaysia, SC or other relevant authorities and such other applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to Unitholders and other stakeholders are understood and met. The goals and achievements of CMMT are set in the Balance Scorecard approved by the Board and measured at the end of each financial year. The Board also receives periodic reports on the risks, compliance, conflicts of interest and internal controls managed and applied by Management for CMMT and the Manager.

The Board has established various committees to assist in the discharge of its functions. These Committees are the Audit Committee (AC), the Corporate Disclosure Committee (which was dissolved on 1 February 2020) and the Executive Committee (Exco) (collectively, AC and Exco; Committees). The composition of the various Committees are set out under the Corporate Information section of CMMT's Annual Report 2019.

Each of these Committees operates under delegated authority from the Board and is governed by its own terms of reference, with the Board retaining overall oversight. The Board may form other committees as dictated by business imperatives. Membership in the various Committees is managed to ensure an equitable distribution of responsibilities among Board members, to maximise the effectiveness of the Board and to foster active participation and contribution from Board members. Diversity of experience and appropriate skills are considered in the composition of the respective Committees.

The Board has adopted a set of internal controls which establishes approval limits for capital expenditure, investments, divestments, bank borrowings and issuance of debt instruments. Apart from matters that specifically require the Board's approval, the Board delegates authority for transactions below those limits to the respective Committees and Management. Approval sub-limits are also provided at Management level to optimise operational efficiency.

The Board meets at least once every quarter, and as and when required by business imperatives. The Board and the Committee meetings are scheduled prior to the start of each financial year, to facilitate the deliberation of matters of strategic significance for CMMT, including any significant acquisitions and disposals, the annual budget, CMMT's and the Manager's business and financial performance reviews and approval for release of the quarterly and full-year results. Where exigencies prevent a Director from attending a Board meeting in person, the Constitution of the Manager permits the Director to participate via audio conferencing or video conferencing. The Board and the Committees may also make decisions by way of resolutions in writing. In each meeting which discusses matters requiring the Board's approval, all members of the Board participate in the discussions and deliberations; resolutions in writing are circulated to all Directors and are subject to the approval of the Directors. This principle of collective decisions adopted by the Board ensures that no individual unduly influences or dominates the decision-making process.

A total of four Board meetings were held in FY 2019. A table showing the attendance record of the Directors at meetings of the Board and Committees in FY 2019 is set out on page 55 of the Corporate Governance section of CMMT's Annual Report 2019. The Manager believes in the manifest contribution of its Directors beyond attendance at formal Board and Committee meetings. To judge a Director's contributions based on his attendance at formal meetings alone would not do justice to his overall contributions, which include being accessible to Management for guidance or exchange of views outside the formal environment of Board and Committee meetings. In addition to the formal meetings held in FY 2019, Management has received and benefitted from the strategic guidance of the Board through the Directors having had many interactive sessions with Management in person and also through electronic means.

In view of the increasingly demanding, complex and multi-dimensional roles of a director, the Board recognises the importance of continuous training and development for its Directors to maintain their professional standards. The Manager also maintains a training record to track the Directors' attendance for training and professional development courses. The costs of training are borne by the Manager. Once appointed, each Director is provided with a copy of the Directors' Manual (which includes information on a broad range of matters relating to the role and responsibilities of a director). All Directors, upon appointment, also undergo an induction programme which focuses on orientating the Director to CMMT's business, operations, strategy, organisational structure, responsibilities of key management personnel, and financial and governance practices.

Following their appointment, Directors are provided with opportunities for continuing education in areas such as directors' duties and responsibilities, changes to regulations and accounting standards and industry-related matters, to enable them to be updated on matters that affect or which may enhance their performance as Directors or Committee members. Directors are also encouraged to undertake self-learning by reading relevant reports and journals.

All Directors attended the Mandatory Accreditation Programme (MAP) as prescribed by Bursa Malaysia, within four months of their appointments. As a new director being appointed to a listed issuer's board, Mr Tan Boon Peng completed the MAP within four months after his appointment. Training programmes, seminars and conferences attended by the Directors during FY 2019 are set out on pages 56 to 57 of the Corporate Governance section of CMMT's Annual Report 2019.

Practice 1.2: A Chairman of the board who is responsible for instilling good corporate governance practices, leadership and effectiveness of the board is appointed.

The Board presently comprises eight Directors, five of whom are independent directors. The Chairman of the Board is an Independent Director. Profiles of the Chairman and the Directors are provided in the Board of Directors' Profile section of CMMT's Annual Report 2019.

During FY 2019, the non-executive independent Chairman, Mr David Wong Chin Huat, has been responsible for:

- (a) Providing leadership to the Board so that the Board can perform its responsibilities effectively;
- (b) Overseeing the Board agenda and interfacing between Management and Board members for delivery of information required at each Board meeting;
- (c) Leading all Board meetings and discussions;
- (d) Encouraging active participation and allowing dissenting views to be freely expressed by the Directors;
- (e) Managing the interface between Board and Management on all other matters;
- (f) Ensuring appropriate steps are taken to provide effective communication with stakeholders and that their views are communicated to the Board; and
- (g) Leading the Board in establishing and monitoring good corporate governance practices in the Manager.

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Practice 1.3: The positions of Chairman and CEO are held by different individuals.

The roles and responsibilities of the Chairman and the CEO are held by separate individuals, in keeping with the principles that there be a clear division of responsibilities between the leadership of the Board with the Management and that no one individual has unfettered powers in decision making. The Chairman and the CEO are not related to each other and the Chairman is a Non-Executive Independent Director.

The Chairman plays a significant leadership role by providing clear oversight, advice and guidance to the CEO and Management on strategies and business operations.

The Chairman leads the Board to ensure the effectiveness on all aspects of its role and sets its agenda. He ensures that members of the Board receive accurate, clear and timely information, facilitates the contribution of Non- Executive Directors, encourages constructive relationships between the Executive Directors, Non-Executive Directors and Management, ensures effective communication with Unitholders and promotes a high standard of corporate governance.

The Chairman also ensures that the Board works together with Management with integrity, competency and moral authority, and that the Board engages Management in deliberations on strategy, business operations and enterprise risks.

The CEO is a Board member and has full executive responsibilities over the business directions and operational decisions of CMMT and is also responsible for implementing CMMT's strategies and policies in the conduct of CMMT's business.

The separation of roles between the Chairman and the CEO and the resulting clarity of roles provide a healthy professional relationship between Board and Management and facilitates robust deliberations on the business activities of CMMT with the exchange of ideas and views to help shape CMMT's strategic process.

Practice 1.4: The board is supported by a suitably qualified and competent Company Secretary to provide sound governance advice, ensure adherence to rules and procedures, and advocate adoption of corporate governance best practices.

The Board is supported by a suitably qualified and competent Company Secretary (the Secretary). The Secretary of the Manager works with the Chairman and Management to ensure that Board papers and agendas are provided to each Director at least five working days in advance of the Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. The Board is entitled to have separate and independent access to the Management and the Secretary, and vice versa at all times. The Secretary provides the Board with the necessary assistance and is also responsible for assisting the Chairman in ensuring adherence to Board procedures and compliance with applicable laws and regulations. Under the direction of the Chairman, the Secretary's responsibilities include ensuring good information flow within the Board and its Committees and between Management and Independent Directors, as well as facilitating orientation of new directors and assisting with the professional development of the Directors as and when required. The Secretary attends all Board meetings and Committee meetings to take minutes. She is the corporate governance advisor on corporate matters to the Board and Management and will also attend to corporate secretarial administration matters.

Where necessary, the Manager will, upon request of the Directors (whether as a group or individually), provide them with independent professional advice, at the Manager's expense, to enable them to discharge their duties. The Secretary assists the Directors in obtaining such advice.

During FY 2019, the Secretary has provided updates on amendments to the Companies Act 2016, REITs Guidelines, Listing Requirements and other related laws for the Manager's and Board's information.

Practice 1.5: Directors receive meeting materials, which are complete and accurate within a reasonable period prior to the meeting. Upon conclusion of the meeting, the minutes are circulated in a timely manner.

The Manager recognises the importance of providing the Board with complete, adequate and timely information prior to Board meetings and on an on-going basis, to enable the Directors to make informed decisions to discharge their duties and responsibilities.

The Board meets regularly and at each Board meeting, the CEO provides updates on CMMT's business and operations as well as its financial performance. Presentations in relation to specific businesses areas are also made by key executives and external consultants or experts. This allows the Board to develop a good understanding of the progress of CMMT's business as well as the issues and challenges facing CMMT, and also promotes active engagement between the Board and the key executives of the Manager.

As a general rule, Board papers are sent to Board members at least five working days prior to each meeting, to allow the Board members to prepare for the meetings and to enable discussions to focus on any questions that they may have.

In line with the Manager's ongoing commitment to limit paper wastage and reduce its carbon footprint, the Manager no longer provides printed copies of Board papers and Directors are instead provided with tablet devices to enable them to access and read Board and Committee papers electronically prior to and at meetings. This initiative also enhances information security as the papers are downloaded to the tablet devices through an encrypted channel. Directors are also able to sign Board papers through the tablet devices.

The Manager practices timely circulation of the minutes of the Board and Committee meetings after each meeting. Minutes are complete and accurately reflect the deliberations and decisions of the Board and Committees, including whether any Director abstained from voting or deliberating on any matter.

Intended Outcome 2.0

There is demarcation of responsibilities between the board, board committees and management. There is clarity in the authority of the board, its committees and individual directors.

Practice 2.1: The board has a board charter which is periodically reviewed and published on the company's website. The board charter clearly identifies: -

- > The respective roles and responsibilities of the board, board committees, individual directors and management; and***
- > Issues and decisions reserved for the board.***

The Board's duties and responsibilities have been guided by a Board Charter and in FY 2019 include:

- (a) approving CMMT's broad policies, strategies and objectives;
- (b) approving annual budgets, major funding including capital management proposals, investment and divestment proposals;

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- (c) reviewing at least annually the adequacy and effectiveness of the risk management and internal control systems including financial, operational, compliance and information technology controls of CMMT and the Manager;
- (d) reviewing and approving succession plans for Directors;
- (e) reviewing and approving the appointment of and succession plans for the CEO; and
- (f) reviewing and approving the Board's compensation.

The Board Charter is periodically reviewed to reflect changes to the Board's policies, procedures and processes as well as any development in statutes and regulations that may have an impact on the discharge of the Board's duties and responsibilities.

The Board has reserved authority to approve certain matters and these include:

- (a) material acquisition, investments and divestments;
- (b) issue of new units in CMMT (Units);
- (c) income distributions and other returns to Unitholders; and
- (d) matters which involve a conflict of interest for a controlling Unitholder or a Director.

Intended Outcome 3.0

The board is committed to promoting good business conduct and maintaining a healthy corporate culture that engenders integrity, transparency and fairness.

The board, management, employees and other stakeholders are clear on what is considered acceptable behaviour and practice in the company.

Practice 3.1: The board establishes a Code of Conduct and Ethics for the company, and together with management implements its policies and procedures, which include managing conflicts of interest, preventing the abuse of power, corruption, insider trading and money laundering. The Code of Conduct and Ethics is published on the company's website.

The Manager adheres to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle work place harassment and grievances are also in place.

The policies and guidelines are published on CapitalLand's Intranet which is accessible by all employees of the Manager. The policies that the Manager has implemented aim to help to detect and prevent occupational fraud mainly in three ways.

First, the Manager offers fair compensation packages, based on practices of pay-for-performance and promotion based on merit to its employees. The Manager also provides various healthcare subsidies and financial assistance schemes to alleviate the common financial pressures its employees face.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

Finally, the Manager seeks to build and maintain the right organisational culture through its core values, educating its employees on good business conduct and ethical values. This is achieved through orientation training of new employees and periodic training updates for existing employees.

The Manager has also established a policy that its Directors recuse themselves from voting on or participating in any discussions concerning a transaction in which they may be in a conflict of interest situation. The Directors have complied with this policy and recused himself/herself from voting on or participating in any Board deliberations on any transaction which might potentially give rise to a conflict of interest.

Bribery and Corruption Prevention Policy

The Manager adopts a strong stance against corruption and bribery. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, all employees of the Manager are required to make a declaration on an annual basis where they pledge to uphold the Manager's core values and not to engage in any corrupt or unethical practices. This serves as a reminder to all employees to maintain the highest standards of integrity in their work and business dealings.

The Manager's zero tolerance policy towards corruption and bribery extends to its business dealings with third parties. Pursuant to this policy, the Manager requires that certain agreements incorporate anti-bribery and anti-corruption provisions.

The Board was apprised and updated on the Malaysian Anti-Corruption Commission (Amendment) Act 2018 (MACC 2018) especially Section 17A. CL Group's Fraud, Bribery & Corruption Risk Management Policy was reviewed by the Board in FY 2019 and the Manager has put in place the policies and procedures required for inter alia, internal controls for anti-bribery and anti-corruption, being guided by the recommended principles under the Guidelines on Adequate Procedures issued pursuant to Section 17A(5) of the MACC 2018 (Guidelines). Internally, Management has conducted the necessary awareness training for its employees and implemented additional internal controls to reflect the principles under the said Guidelines in FY 2019.

Anti-Money Laundering and Countering the Financing of Terrorism Measures

The Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 (AMLATFA) lays down various activities which AMLATFA views as unlawful activities and which the Manager must be aware of. The Manager has applied a policy on the prevention of money laundering and terrorism financing and is alert at all times to suspicious transactions. As part of its business operational practices, the Manager performs due diligence checks on its counterparties in order to ensure that it is able to detect any suspicious money laundering and terrorist financing activities and it does not enter into business transactions with terrorist suspects or other high-risk persons or entities.

Under this policy, the Manager must retain all relevant records or documents relating to business relations with its customers or transactions entered into for a period of at least seven years following the termination of such business relations or the completion of such transactions.

All prospective employees, officers and representatives of the Manager are also screened against various lists of terrorist suspects issued by SC. Periodic training has been provided by the Manager to its Directors, employees and representatives during FY 2019 to ensure that they are updated and aware of applicable anti-money laundering and terrorist financing regulations and amendments thereto, the prevailing techniques and trends in money laundering and terrorism financing and the measures adopted by the Manager to combat money laundering and terrorism financing.

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Practice 3.2: The board establishes, reviews and together with management implements policies and procedures on whistleblowing.

A whistle-blowing policy and other procedures are put in place to provide employees of the Manager and parties having official dealings with the Manager with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other improprieties in the workplace, and for the independent investigation of any reported incidents and appropriate follow up action.

The objective of the whistle-blowing policy is to encourage the reporting of such matters so that employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly, and to the fullest extent possible, be protected from reprisal. The whistle-blowing policy was reviewed by the Board periodically at least once in every three years. Section 17A of the MACC 2018 also includes as part of its list of adequate procedures the establishment of a whistle-blowing policy being part of its internal controls.

Intended Outcome 4.0

Board decisions are made objectively in the best interests of the company taking into account diverse perspectives and insights.

Practice 4.1: At least half of the board comprises independent directors. For Large Companies¹, the board comprises a majority independent directors

The Board reviews from time to time the size and composition of the Board with a view of ensuring that the size of the Board is appropriate in facilitating effective decision making, taking into account the scope and nature of the operations of CMMT and its wholly owned subsidiary, CMMT MTN Berhad (CMMT Group), and that the Board has a strong independent element and diversity of thought and background in its composition.

The Board has a strong independent element: it presently comprises eight Directors, five of whom (including the Chairman) are independent directors. Profiles of the Directors are provided in the Board of Directors' Profile section of CMMT's Annual Report 2019 reflecting that there is a majority of independent directors on the Board of the Manager being manager of CMMT.

Practice 4.2: The tenure of an independent director does not exceed a cumulative term limit of nine years. Upon completion of the nine years, an independent director may continue to serve on the board as a non-independent director. If the board intends to retain an independent director beyond nine years, it should justify and seek annual shareholders' approval. If the board continues to retain the independent director after the twelfth year, the board should seek annual shareholders' approval through a two-tier voting process

Practice 4.3: The board has a policy which limits the tenure of its independent directors to nine years (Step Up)

An Independent Director is one who has no relationship with the Manager, its related parties, its shareholders who hold 10% or more of the voting shares in the Manager or Unitholders who hold 10% or more units in issue of CMMT or its officers that could interfere, or be reasonably perceived to interfere with the exercise of independent judgement; and has not served on the Board for a continuous period of nine years or longer.

¹ Large Companies refers to (1) Companies on the FTSE Bursa Malaysia Top 100 Index; or (2) Companies with market capitalisation of RM2 billion and above, at the start of the companies' financial year.

The Board has established a process for assessing the independence of its Directors. As part of the process:

- (a) each relevant non-executive Director provides information on his business interests and confirms, upon appointment, as well as on an annual basis, that there are no relationships which interfere with the exercise of his independent business judgement in the best interests of Unitholders; and thereafter such information is reviewed by the Board; and
- (b) the Board also reflects on the respective Directors' conduct and contributions to the Board and the Committee meetings, specifically, if they have exercised independent judgement in discharging their responsibilities.

The Board has carried out the assessment of each of its Directors for FY 2019 and the paragraphs below set out the outcome of the assessment.

Mr David Wong Chin Huat, Tuan Haji Rosli bin Abdullah, Mr Ng Chih Kaye, Dato' Mohammed bin Haji Che Hussein and Mr Tan Boon Peng do not have any relationships which interfere with the exercise of their independence and have therefore demonstrated independence of character and judgement in the discharge of his/her responsibilities as a Director of the Manager in FY 2019. The Board was satisfied that each relevant non-executive Director had acted with independent judgement.

On the bases of the declarations of independence provided by the relevant non-executive Director and the guidance in the Code, REITs Guidelines and the Listing Requirements, the Board determined that each of Mr David Wong Chin Huat, Tuan Haji Rosli bin Abdullah, Mr Ng Chih Kaye, Dato' Mohammed bin Haji Che Hussein and Mr Tan Boon Peng is an independent director. Each of the above Directors had recused himself from the Board's deliberations on his independence.

The Manager believes that Board renewal is a necessary and continual process, for good governance and ensuring that the Board has the skills, expertise and experience which are relevant to the evolving needs of CMMT's business; renewal or replacement of a Director therefore does not necessarily reflect his/her performance or contributions to date. The Board has established the guideline that an Independent Director will serve for an initial two three-year terms and any extension of term up to a maximum period of nine years (inclusive of the initial two terms served) will be individually considered by the Board.

Practice 4.4: Appointment of board and senior management are based on objective criteria, merit and with due regard for diversity in skills, experience, age, cultural background and gender.

Practice 4.5: The board discloses in its annual report the company's policies on gender diversity, its targets and measures to meet those targets. For Large Companies, the board must have at least 30% women directors.

The Board undertakes the function of a nominating committee and therefore, the Manager does not have a nominating committee. The Board performs the functions that such a committee would otherwise perform, namely, it administers nominations to the Board, reviews the structure, size and composition of the Board, and reviews the performance and independence of Board members. The Board seeks to ensure that the Board is comprised of talented and dedicated directors with a diverse mix of expertise, experience, perspectives, skills and backgrounds. Due consideration is also given to other diversity factors including but not limited to tenure, age and gender.

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The current Board comprises individuals who are business leaders and professionals with financial, real estate, legal, investment and accounting backgrounds. The Board believes in diversity and values the benefits diversity can bring to the Board. Diversity enhances decision making capability and ensures that the Manager has the opportunity to benefit from all available talent and perspectives. The Board is committed to diversity and will continue to consider the differences in skillsets and educational, business and professional backgrounds in determining the optimal composition of the Board in its Board renewal process. On 22 January 2020, the Board adopted a Board Diversity Policy which supports and encourages the Board to embrace these diversity factors. The Manager is also committed to encouraging diversity and inclusion in the workplace.

Practice 4.6: In identifying candidates for appointment of directors, the board does not solely rely on recommendations from existing board members, management or major shareholders. The board utilizes independent sources to identify suitably qualified candidates.

Practice 4.7: The Nominating Committee is chaired by an Independent Director or the Senior Independent Director.

The Board is able to undertake the functions of a nominating committee because:

- (a) The Manager does not manage any other REIT and in general, REITs (including CMMT) have a more focused scope and scale of business compared to those of listed companies. For this reason, the Board's capacity would not be unduly stretched if the responsibilities of a nominating committee were also undertaken by the Board as the Board would be able to give adequate attention to such issues;
- (b) The focused scope of the business of CMMT also means a manageable competency requirement for the Board such that the Board is able to manage the duties of a nominating committee; and
- (c) The Independent Directors form a majority of the Board and the Chairman as an Independent Director which demonstrate that the Independent Directors play a substantive role and assure that there is objectivity and independence in the decision-making process concerning nomination. This also mitigates any concerns of conflict which can be managed by having the conflicted directors abstain from the decision-making process. Further, conflict situations are less likely to arise in matters of nomination.

The Board has adopted the following criteria and process for selecting, appointing and reappointing Directors and for reviewing the performance of Directors:

- (a) The Board carries out a proactive review of the Board composition on an annual basis as well as on each occasion when an existing Independent Director gives notice of his intention to retire or resign. The review includes assessing the collective skills, knowledge and experience of the Directors represented on the Board to determine whether the Board, as a whole, has the skills, knowledge and experience required to achieve the Manager's objectives for CMMT. In carrying out this review, the Board considers the need for the Board composition to reflect balance in matters such as skills representation, tenure, experience, age spread and diversity (including gender diversity). Although the Manager is mindful of the 30% women directors set out in the Code, the Directors understand the importance of having a diverse Board to leverage on varying perspectives, experience and expertise required to achieve effective stewardship and management, and will, therefore include a review of initiatives towards achieving a more diverse Board as part of the periodic assessment of the Board's composition;
- (b) The Board will be informed of the suitability of any candidates put forward for appointment, having regard to the skills required and the skills represented on the Board, whether a candidate's skills, knowledge and experience will complement the existing Board, if he has sufficient time available to commit to his

responsibilities as a Director, and whether he is a fit and proper person for the office in accordance with the Licensing Handbook issued by the SC and the CMSA (which require the candidate to be, among other things, competent, honest and with integrity);

- (c) External consultants may be engaged from time to time to access a wide base of potential directors;
- (d) No member of the Board will be involved in any decision of the Board relating to his own appointment, reappointment or assessment of independence;
- (e) A newly appointed Director will receive a copy of the Director's Manual (which includes information on a broad range of matters relating to the role and responsibilities of a director);
- (f) All Directors on appointment will undergo an induction programme both internally and as mandated by Bursa Malaysia to help familiarise them with matters relating to CMMT's business and the Manager's strategy for CMMT;
- (g) The performance of the Board, the various Committees and the individual Directors will be reviewed annually using a board performance evaluation process which can either be an internal one or through engagement of independent and external consultants; and
- (h) The Board will proactively address any issues identified in the Board and individual Directors performance evaluation.

The adopted process takes into account the requirements in the Code that the composition of the Board, including the selection of candidates for new appointments to the Board as part of the Board's renewal process, is determined using the following principles:

- (a) The Board should comprise Directors with a broad range of commercial experience, including expertise in fund management, the retail property industry, banking and legal fields; and
- (b) At least half of the Board should comprise Independent Directors and for Large Companies, the Board comprises presently of a majority of Independent Directors.

The Board seeks to refresh its membership progressively and in an orderly manner. In this regard, Board succession planning is carried out through the annual review of the Board composition as well as when a Director gives notice of his intention to retire or resign. On the issue of Board renewal, the Manager supports the principle that Board renewal is a necessary and continual process, for good governance and ensuring that the Board has the skills, expertise and experience which are relevant to the evolving needs of CMMT's business, which is part of the Board Diversity Policy adopted by the Board on 22 January 2020.

Intended Outcome 5.0

Stakeholders are able to form an opinion on the overall effectiveness of the board and individual directors.

Practice 5.1: The board should undertake a formal and objective annual evaluation to determine the effectiveness of the board, its committees and each individual director. The board should disclose how the assessment was carried out and its outcome. For Large Companies, the board engages independent experts periodically to facilitate objective and candid board evaluations.

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The Manager believes that oversight from a strong and effective Board goes a long way towards guiding a business enterprise to achieving success.

The Board strives to ensure that there is an optimal blend in the Board of background, experience and knowledge in business and general management, expertise relevant to CMMT's business and track record, and that each Director can bring to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made in the interests of CMMT.

Whilst Board performance is ultimately reflected in the long-term performance of CMMT, the Board believes in engaging in a regular process of self-assessment and evaluation of board performance in order to identify key strengths and areas for improvement which is essential for effective stewardship and to attain success for CMMT.

As part of the Manager's commitment towards improving corporate governance, the Board has approved and implemented a process to evaluate the effectiveness of the Board as a whole, the Committees and the individual Directors as part of peer evaluation, annually. As part of the process, questionnaires were sent to the Directors, and the results were aggregated and reported to the Chairman of the Board. The evaluation categories covered in the questionnaire included Board composition, Board processes, strategy, performance and governance, access to information and effectiveness of the Committees. As part of the questionnaire, the Board also considered whether the creation of value for Unitholders has been considered in the decision-making process. The results of the survey were deliberated upon by the Board and the necessary follow up action taken with a view to enhancing the effectiveness of the Board in the discharge of its duties and responsibilities. The outcome of the evaluation was satisfactory with positive ratings received together with proposals to improve the performance and function of the Board and the individual Directors in the future.

The Board was also able to assess the Committees through their regular reports to the Board on their activities. In respect of individual Directors, their contributions can take different forms including providing objective perspectives on issues, facilitating business opportunities and strategic relationships, and accessibility to Management outside of the formal environment of Board and/or Committee meetings.

The Manager further believes that the collective Board performance and the contributions of individual Board members are also reflected in, and evidenced by, the collective and synergistic performance of the Board in discharging its responsibilities as a whole by providing proper guidance, diligent oversight and able leadership, as well as lending support to Management in steering CMMT in the appropriate direction, for the long-term performance of CMMT whether under favourable or challenging market conditions.

Intended Outcome 6.0

The level and composition of remuneration of directors and senior management take into account the company's desire to attract and retain the right talent in the board and senior management to drive the company's long-term objectives. Remuneration policies and decisions are made through a transparent and independent process.

Practice 6.1: The board has in place policies and procedures to determine the remuneration of directors and senior management, which takes into account the demands, complexities and performance of the company as well as skills and experience required. Remuneration policies and decisions are made through a transparent and independent process.

The Board sets the remuneration policies in line with the CMMT Group's business strategy and approves the executive compensation framework based on the key principle of linking pay to performance. The Board has access to independent remuneration consultants for advice if required.

In terms of the process adopted by the Manager for developing and reviewing policies on remuneration and determining the remuneration packages for Directors and executive officers, the Manager, through an independent remuneration consultant, takes into account compensation benchmarks within the industry, as appropriate, so as to ensure that the remuneration packages payable to Directors and executive officers are in line with the objectives of the remuneration policies. It also considers the compensation framework of CapitaLand as a point of reference. The Manager is a subsidiary of CapitaLand, which also holds a significant stake in CMMT. The association with the CL Group puts the Manager in a better position to attract and retain better qualified management talent; provides an intangible benefit to the Manager such that it allows its employees to associate themselves with an established corporate group which can offer them the depth and breadth of experience and enhances career development opportunities. In FY 2019, an independent remuneration consultant, Willis Towers Watson was appointed to provide professional advice on Board and executive remuneration. Willis Towers Watson is a leading global advisory, broking and solutions company with over 45,000 employees serving more than 140 countries. The consultant is not related to the Manager, its controlling shareholder, its related corporations or any of its Directors.

The principles governing the Manager's key management personnel remuneration policy are as follows:

Business Alignment

- > Focus on generating rental income and enhancing asset value over time so as to maximise returns from investments and ultimately, the distribution and total return to Unitholders.
- > Provide sound and structured funding to ensure affordability and cost-effectiveness in line with performance goals.
- > Enhance retention of key talent to build strong organisational capabilities.

Motivate Right Behaviour

- > Pay for performance – align, differentiate and balance rewards according to multiple dimensions of performance.
- > Strengthen line-of-sight by linking rewards with performance.

Fair & Appropriate

- > Ensure competitive remuneration relative to the appropriate external talent markets. Manage internal equity such that the remuneration systems are being viewed as fair across the CMMT Group.
- > Significant and appropriate portion of pay-at-risk, taking into account risk policies of the CMMT Group, symmetrical with risk outcomes and sensitive to the risk time horizon.

Effective Implementation

- > Maintain rigorous corporate governance standards
- > Exercise appropriate flexibility to meet strategic business needs and practical implementation considerations.
- > Facilitate employee understanding to maximise the value of the remuneration programmes.

The fixed component for key executives comprises the base salary, fixed allowances and compulsory employer contribution to the employees' Employees Provident Fund. The variable cash component comprises the Balanced Scorecard Bonus Plan which is linked to the achievement of annual performance targets for each key management personnel as agreed at the beginning of the financial year with the Board.

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Under the Balanced Scorecard Framework, the CMMT Group's strategy and goals are translated to performance outcomes comprising both quantitative and qualitative targets in the dimensions of:

- > Financial: This includes targets relating to profitability, distributions, capital structure and cost management;
- > Execution: This includes targets relating to asset management, operational efficiency, sustainability and stakeholder engagement;
- > Future Growth: This includes targets relating to portfolio management and retail network enhancement; and
- > Sustainability: This includes targets relating to talent management, competency development and sustainability.

These are cascaded down throughout the organisation, thereby creating alignment across the CMMT Group.

After the close of each year, the Board reviews the CMMT Group's achievements against the targets set in the Balanced Scorecard and determines the overall performance taking into consideration qualitative factors such as the business environment, regulatory landscape and industry trends.

In determining the payout quantum for each key management personnel under the plan, the Board considers the overall business performance and individual performance as well as the affordability of the payout by the Manager.

For FY 2019, remuneration for key management personnel comprises a fixed component, a performance-based variable cash component, a performance-based variable equity-based component or cash-based component and market related benefits. For the equity-based or cash-based component, for FY 2019, either shares of CapitaLand or cash was awarded pursuant to the Balanced Scorecard Bonus Plan of CapitaLand.

Practice 6.2: The board has a Remuneration Committee to implement its policies and procedures on remuneration including reviewing and recommending matters relating to the remuneration of board and senior management. The Committee has written Terms of Reference which deals with its authority and duties and these Terms are disclosed on the company's website.

The Board is able to undertake the functions of a remuneration committee based on the following:

- (a) the Manager does not manage any other REITs and in general, REITs (including CMMT) have a more focused scope and scale of business compared to those of listed companies. For this reason, the Board's capacity would not be unduly stretched when undertaking the responsibilities of a remuneration committee and the Board would be able to give adequate attention to such issues relating to remuneration matters; and
- (b) the Independent Directors form at least half of the Board and the Chairman is an Independent Director, which demonstrates that the Independent Directors play a substantive role and assures that there is objectivity and independence in the decision-making process concerning remuneration. This also mitigates any concerns of conflict which can be managed by having the conflicted Directors abstain from the decision-making process. Further, conflict situations are less likely to arise in matters of remuneration. Moreover, there is an independent external consulting firm which provides guidance to the Board prior to approving the recommended remuneration based on market demands and norms.

In undertaking this function, the Board oversees the design and implementation of the remuneration policy and the specific remuneration packages for each Director and senior executives including the CEO. No member of the Board, however, will be involved in any decision of the Board relating to his own remuneration.

Intended Outcome 7.0

Stakeholders are able to assess whether the remuneration of directors and senior management is commensurate with their individual performance, taking into consideration the company's performance.

Practice 7.1: There is detailed disclosure on named basis for the remuneration of individual directors. The remuneration breakdown of individual directors includes fees, salary, bonus, benefits in-kind and other emoluments.

The Directors' fees for FY 2019 are shown in the table below. The CEO who is also a Director, is remunerated as part of the key management personnel of the Manager and therefore does not receive any Director's fees. The compensation policy for Directors is based on a scale of fees divided into basic retainer fees for serving as Director and additional fees for attendance of and serving on any of the Committees.

The compensation package is market benchmarked, taking into account the demanding responsibilities on the part of the Directors in light of the scope and nature of CMMT Group's business.

Directors' Fees¹

Board Members	FY 2019 (RM)	FY 2018 (RM)
David Wong Chin Huat	213,000	205,000
Tuan Haji Rosli bin Abdullah	156,000	150,000
Ng Chih Kaye	135,000	130,000
Dato' Mohammed bin Haji Che Hussein ²	101,576	-
Tan Boon Peng ³	66,233	-
Lim Cho Pin Andrew Geoffrey ⁴	185,000	121,531
Ronald Tay Boon Hwee ⁴	158,000	151,000
Tan Siew Bee ⁵	33,426	130,000
Dr Peter Tay Buan Huat ⁶	24,768	97,000

Practice 7.2: The board discloses on a named basis the top five senior management's remuneration component including salary, bonus, benefits in-kind and other emoluments in bands of RM50,000.

Practice 7.3: Companies are encouraged to fully disclose the detailed remuneration of each member of senior management on a named basis. (Step Up)

The remuneration for the CEO in bands of RM50,000, and a breakdown of the remuneration of the CEO and the top 5 senior management personnel of the Manager in percentage terms, are provided in the Key Management Personnel's Remuneration Table on page 55 of the Corporate Governance section of CMMT's Annual Report 2019.

1 Inclusive of attendance fees of (a) RM5,000 (local director) and RM8,000 (foreign director) per meeting attendance in person, (b) RM2,000 per meeting attendance via tele-conference or video conference, and (c) RM2,000 per project or verification meeting subject to a maximum of RM20,000 per Director per annum.

2 Appointed as a Director and a Member of the Audit Committee with effect from 1 April 2019.

3 Appointed as a Director with effect from 1 April 2019.

4 Non-executive Directors who are employees of CapitalLand do not receive Directors' fees.

5 Resigned as a Director and a Member of the Audit Committee with effect from 1 April 2019.

6 Resigned as a Director with effect from 1 April 2019.

CORPORATE GOVERNANCE

The Manager has decided (a) to disclose the CEO's remuneration in bands of RM50,000 (instead of on a quantum basis), and (b) not to disclose the remuneration of the key management personnel of the Manager (whether in bands of RM50,000 or otherwise). In arriving at its decision, it has taken into account the commercial sensitivity and confidential nature of remuneration matters. The Manager is of the view that disclosure in such a manner is not prejudicial to the interests of Unitholders as the indicative range for the CEO's remuneration, as well as the total remuneration for the CEO and other key management personnel of the Manager, is made known to Unitholders, and sufficient information is provided on the Manager's remuneration framework to enable Unitholders to understand the link between CMMT's performance and the remuneration of the CEO and other key management personnel. In addition, the remuneration of the CEO and other key management personnel of the Manager is paid out of the fees that the Manager receives (of which the quantum and basis have been disclosed), rather than being borne by CMMT.

The Board seeks to ensure that the remuneration paid to the CEO and other key management personnel of the Manager are strongly linked to the achievement of business and individual performance targets. The performance targets approved by the Board are set at realistic yet stretched levels each year to motivate a high level of business performance with emphasis on both short and long-term quantifiable objectives.

Intended Outcome 8.0

There is an effective and independent Audit Committee. The board is able to objectively review the Audit Committee's findings and recommendations. The company's financial statement is a reliable source of information.

Practice 8.1: The Chairman of the Audit Committee is not the Chairman of the board.

Practice 8.2: The Audit Committee has a policy that requires a former key audit partner to observe a cooling-off period of at least two years before being appointed as a member of the Audit Committee.

Practice 8.3: The Audit Committee has policies and procedures to assess the suitability, objectivity and independence of the external auditor.

The AC has established an External Auditors' Independence Guideline that considers among others:

- (a) The competence, audit quality and resource capacity of the external auditor (EA) in relation to the audit;
- (b) The nature and extent of the non-audit services rendered and the appropriateness of the level of fees; and
- (c) The written assurance obtained from the EA confirming that they are, and have been, independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements.

The AC has reviewed the nature and extent of non-audit services provided by the external auditors during FY 2019 and the fees paid for such services. The AC also undertook a review of the independence of the external auditors, taking into consideration, among others, CMMT's relationship with the external auditors in FY 2019, as well as the processes and safeguards adopted by the Manager and KPMG relating to audit independence. In particular, KPMG has confirmed that the team which provided the audit services to the CMMT Group are separate from the team which provided the non-audit services to the CMMT Group. Based on the review, the AC is satisfied that the independence of the external auditors has not been impaired by the provision of those services. The external

auditors have also provided confirmation of their independence to the AC. The aggregate amount of fees paid and payable to the external auditors for FY 2019 was RM200,000, of which audit (and audit related) fees amounted to RM191,000 and non-audit fees amounted to RM9,000.

Practice 8.4: The Audit Committee should comprise solely of independent directors (Step Up).

The Chairman of the AC is not the Chairman of the Board. At present, the AC comprises four members, all non-executive, a majority of whom (including the Chairman of the AC) are independent. The members bring with them invaluable recent and relevant managerial and professional expertise in accounting and related financial management domains. None of the AC members was previously a partner of the incumbent external auditors, KPMG PLT (KPMG), within the period of two years commencing on the date of their ceasing to be a partner of KPMG. The AC also does not comprise any member who has any financial interest in KPMG.

The AC has explicit authority to investigate any matter within its terms of reference. Management is required to provide the fullest cooperation in providing information and resources, and in implementing or carrying out all requests made by the AC. The AC has direct access to the internal and external auditors and full discretion to invite any Director or executive officer to attend its meetings. Similarly, both the internal and external auditors are given unrestricted access to the AC.

Practice 8.5: Collectively, the Audit Committee should possess a wide range of necessary skills to discharge its duties. All members should be financially literate and are able to understand matters under the purview of the Audit Committee including the financial reporting process.

All members of the AC should undertake continuous professional development to keep themselves abreast of relevant developments in accounting and auditing standards, practices and rules.

At present, there is a level of financial literacy amongst the AC members who have sufficient understanding of CMMT's business.

In the review of the financial statements of the CMMT Group for FY 2019, the AC has discussed with Management the accounting principles that were applied and their judgement of items that might affect the integrity of the financial statements and also considered the clarity of key disclosures in the financial statements. The AC reviewed the valuation of the investment properties, being the key audit matter as reported by the EA for FY 2019.

The AC considered the valuation methodologies and key assumptions applied by the valuers for the investment properties in arriving at the valuations and also evaluated the valuers' objectivity and competency.

In order to ensure better assessment of the investment properties with continuity over a longer period, the valuer may conduct their valuation on the same property for up to three consecutive years which is in line with the requirements under the REITs Guidelines.

The AC reviewed the outputs from the valuation process of the investment properties and held discussions with Management and the EA to review the valuation methodologies, focusing on significant changes in fair value measurement and key drivers of the changes including assessing the reasonableness of the capitalisation rates adopted by the valuers.

CORPORATE GOVERNANCE

The valuation of the investment properties was also an area of focus for the EA. The AC considered the findings of the EA, including their assessment of the appropriateness of valuation methodologies and the key assumptions applied in the valuation of the investment properties.

The AC was satisfied with the valuation process, the methodologies used and the valuation of the investment properties.

No significant matter came to the attention of the AC during the review.

In FY 2019, the AC also met with the internal and external auditors, separately and without Management's presence, to discuss the reasonableness of the financial reporting process, the system of internal controls, and the significant comments and recommendations by the auditors.

In FY 2019, changes to accounting standards, accounting systems and accounting issues which have a direct impact on the financial statements were reported to and discussed with the AC at its meetings.

Intended Outcome 9.0

Companies make informed decisions about the level of risk they want to take and implement necessary controls to pursue their objectives.

The board is provided with reasonable assurance that adverse impact arising from a foreseeable future event or situation on the company's objectives is mitigated and managed.

Practice 9.1: The board should establish an effective risk management and internal control framework.

The Manager maintains an adequate and effective system of risk management and internal controls addressing material financial, operational, compliance and information technology (IT) risks to safeguard Unitholders' interests and CMMT's assets.

The Board has overall responsibility for the governance of risk, including determining the risk strategy, risk appetite, risk limits and risk policies.

The AC and Exco assist the Board in carrying out the Board's responsibility of overseeing the risk management framework and policies for CMMT Group.

The AC and Exco, guided by their respective terms of reference, and in particular, during FY 2019:

- (a) made recommendations to the Board on the CMMT Group's risk strategy, risk appetite and risk limits;
- (b) reviewed the risk management framework, including the processes and resources to identify and manage material risks;
- (c) oversaw Management in the design, implementation and monitoring of the risk management and internal control systems;
- (d) reviewed the adequacy and effectiveness of the system of risk management and internal control systems covering material risks and the assurance given by Management, as well as the disclosures in the annual report; and
- (e) considered and advised on risk matters referred to it by the Board or Management.

Practice 9.2: The board should disclose the features of its risk management and internal control framework, and the adequacy and effectiveness of this framework.

The Manager adopts an Enterprise Risk Management (ERM) Framework which sets out the required environmental and organisational components for managing risks in an integrated, systematic and consistent manner. The ERM Framework and related policies are reviewed annually.

As part of the ERM Framework, the Manager, amongst others, undertakes and performs a Risk and Control Self-Assessment (RCSA) annually in respect of CMMT Group to identify material risks along with their mitigating measures.

The CMMT Group's Risk Appetite Statement (RAS), incorporating the risk limits, addresses the management of material risks faced by the CMMT Group. Alignment of the CMMT Group's risk profile to the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the Manager.

More information on the Manager's ERM Framework including the material risks identified can be found in the Enterprise Risk Management section of CMMT's Annual Report 2019.

The internal and external auditors conduct reviews of the adequacy and effectiveness of the material internal controls (including financial, operational, compliance and IT controls) and risk management systems. This includes testing, where practicable, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with corrective measures recommended by the internal and external auditors are reported to and reviewed by the AC and Exco. The AC also reviews the adequacy and effectiveness of the measures taken by the Manager on the recommendations made by the internal and external auditors in this respect.

The Board has received assurance from the CEO and the Chief Financial Officer of the Manager that the systems of risk management and internal controls for the CMMT Group are adequate and effective to address the risks (including financial, operational, compliance and IT risks) which the Manager considers relevant and material to the current business environment.

The CEO and the Chief Financial Officer of the Manager have obtained similar assurances from the respective risk and control owners.

Based on the ERM Framework established and the reviews conducted by Management and both the internal and external auditors, as well as the assurance from the CEO and the Chief Financial Officer of the Manager, the Board is of the opinion, that the CMMT Group's system of risk management and internal controls are adequate and effective to address the risks (including financial, operational, compliance and IT risks) which the CMMT Group considers relevant and material to its current business environment as at 31 December 2019. No material weakness in the systems of risk management and internal controls were identified by the Board, the AC or the Exco in the review for FY 2019.

The Board notes that the systems of risk management and internal controls established by the Management provides reasonable assurance that the CMMT Group, as it strives to achieve its business objectives, will not be significantly affected by any event that can be reasonably foreseen or anticipated. However, the Board also notes that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgement in decision making, human error, losses, fraud or other irregularities.

CORPORATE GOVERNANCE

Intended Outcome 10.0

Companies have an effective governance, risk management and internal control framework and stakeholders are able to assess the effectiveness of such a framework.

Practice 10.1: The Audit Committee should ensure that the internal audit function is effective and able to function independently.

The Manager has in place an internal audit (IA) function supported by CapitaLand's Internal Audit Department (CL IA) which reports directly to the AC. The AC has carried out a review and is of the view that the internal audit function performed by CL IA is, effective and independent. CL IA plans its internal audit schedules in consultation with, but independently of, Management and its plan is submitted to the AC for approval prior to the beginning of each financial year. The AC also meets with CL IA at least twice a year without the presence of Management. CL IA has unfettered access to the Manager's documents, records, properties and employees, including access to the AC. During FY 2019, CL IA has conducted all audit assignments pursuant to the 2019 annual internal audit plan as approved by AC and has also on a quarterly basis reported to AC a summary of the Related Party Transactions and Recurrent Related Party Transactions entered into by CMMT.

Practice 10.2: The board should disclose:

- > *whether internal audit personnel are free from any relationships or conflicts of interest, which could impair their objectivity and independence;*
- > *the number of resources in the internal audit department;*
- > *name and qualification of the person responsible for internal audit; and*
- > *whether the internal audit function is carried out in accordance with a recognised framework.*

CL IA is adequately resourced and staffed with persons having relevant qualifications and experience. CL IA is a corporate member of The Institute of Internal Auditors Singapore (IIA), which is an affiliate of the IIA headquarters in the United States of America (USA). CL IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the IIA and has incorporated these Standards into its audit practices. With respect to FY 2019, the AC has reviewed and is satisfied as to the adequacy and effectiveness of the IA function.

None of the CL IA team members is related to the CEO nor Management. To ensure that internal audits are performed by competent professionals, CL IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. This includes CL IA staff who are involved in IT audits having relevant professional IT certifications. The IT auditors are also members of the Information System Audit and Control Association (ISACA) Singapore Chapter, a professional body administering information system audit and security certifications that is headquartered in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CL IA identifies and provides training and development opportunities for its staff to ensure that their technical knowledge and skill sets remain current and relevant.

As of 31 December 2019, CL IA staff strength is at 30 persons, including Head of CL IA.

CL IA is headed by Dr. Monica Chia Fook Lan. She has more than 30 years of professional auditing and accounting practices in the banking industry and auditing sector in Singapore and Australia. Dr. Chia is a Chartered Accountant with the Institute of Singapore Chartered Accountants. She has a Bachelor in Commerce, Accounting and Information System (Merit) and Master in Commerce, Accounting (Auditing) from The University of New South Wales, Sydney, Australia and PhD in Accounting from The University of Western Australia.

Intended Outcome 11.0

There is continuous communication between the company and stakeholders to facilitate mutual understanding of each other's objectives and expectations.

Stakeholders can make informed decisions with respect to the business of the company, its policies on governance, the environment and social responsibility.

Practice 11.1: The board ensures there is effective, transparent and regular communication with its stakeholders.

The Manager is committed to keeping all Unitholders, other stakeholders, analysts and the media informed of the performance and changes in CMMT or its business which would likely materially affect the price or value of the Units. This is performed on a timely and consistent basis to assist Unitholders and investors in their investment decisions.

The Manager has in place an Investor Relations and Corporate Communications team which facilitates effective communication with Unitholders, analysts, fund managers and the media.

The Manager actively engages with Unitholders and has put in place a Unitholders' Communication and Investor Relations Policy (Policy) to promote regular, effective and fair communication with Unitholders.

The Board has established the Corporate Disclosure Committee (CDC) which assists the Board in the discharge of its function to meet the obligations arising under the laws and regulations of Malaysia relating to and to conform to best practices in the corporate disclosure and compliance process. The views and approval of the CDC were sought throughout the year through emails on various announcements and news releases. On 22 January 2020, the Manager announced the dissolution of CDC with effect from 1 February 2020 and the Board will be undertaking all the responsibilities for approving corporate disclosures other than certain non-material and routine disclosures which are delegated to Management.

More information on the Manager's investor and media relations with Unitholders can be found in the Investor & Media Relations section of CMMT's Annual Report 2019.

CMMT's distribution policy is to distribute at least 90.0% of its distributable income (other than gains from the sale of real estate properties by CMMT which are determined to be trading gains), with the actual level of distribution to be determined at the Manager's discretion. FY 2019 saw distributions of approximately 100.0% of CMMT's distributable income to Unitholders.

Intended Outcome 12.0

Shareholders are able to participate, engage the board and senior management effectively and make informed voting decisions at General Meetings.

Practice 12.1: Notice for an Annual General Meeting should be given to the shareholders at least 28 days prior to the meeting.

The Manager is committed to treating all Unitholders fairly and equitably.

All Unitholders enjoy specific rights under the Deed and the relevant laws and regulations. These rights include, among other things, the right to participate in profit distributions. They are also entitled to attend general meetings and are accorded the opportunity to participate effectively and vote at general meetings (including through proxies, if they are unable to attend in person, or if their Units are held through corporations).

CORPORATE GOVERNANCE

All Unitholders were given at least 28 days' notice prior to the Annual General Meeting which is beyond the minimum requirement of 21 days. The notice includes details of the resolutions proposed along with any background information and reports or recommendations that are relevant. The Annual General Meeting of CMMT for 2020 will take place on 2 April 2020. Full details and the notification can be found in the Notice of Annual General Meeting section of CMMT's Annual Report 2019.

Practice 12.2: All directors attend General Meetings. The Chair of the Audit, Nominating, Risk Management and other committees provide meaningful response to questions addressed to them.

Practice 12.3: Listed companies with a large number of shareholders or which have meetings in remote locations should leverage technology to facilitate –

- ***voting including voting in absentia; and***
- ***remote shareholders' participation at General Meetings***

The Manager supports the principle of encouraging Unitholders' participation and voting at general meetings. Unitholders receive copies of CMMT's annual report (abridged version) and notice of the annual general meeting, and may download the CMMT's Annual Report 2019 (printed copies are available upon request) at www.cmmt.com.my. Notices of the general meetings are also advertised in the press and issued via Bursa Link. All Unitholders are given the opportunity to participate effectively in and to vote at general meetings.

At general meetings, Management makes a presentation to Unitholders to update them on CMMT's performance, position and prospects. The presentation materials are made available to Unitholders on CMMT's website and Bursa Malaysia. Unitholders are given the opportunity to communicate their views and discuss with the Board and Management matters affecting CMMT. Representatives of the Trustee, Directors (including the chairpersons of the Board and the AC), the Manager's senior management and the external auditors of CMMT, are present for the entire duration of general meetings to address any queries that Unitholders may have. Directors and Management also interact with Unitholders after the general meetings.

To safeguard Unitholders' interests and rights, a separate resolution is proposed for each substantially separate issue at general meetings. To ensure transparency in the voting process and better reflect Unitholders' interest, the Manager conducts electronic poll voting for all the resolutions proposed at the general meetings. Voting procedures are explained and vote tabulation procedures are disclosed at the general meetings. An independent scrutineer is also appointed to validate the vote tabulation procedures. Votes cast, for or against and the respective percentages, on each resolution are tallied and displayed 'live on-screen' to Unitholders immediately at the general meetings. The total number of votes cast for or against the resolutions and the respective percentages are announced on Bursa Link after the general meetings. Voting in absentia and by email may only be possible following careful study to ensure that the integrity of information and authentication of the identity of Unitholders through the web are not compromised.

Minutes of the general meetings, recording the substantial and relevant comments made and questions raised, are prepared and made available to Unitholders for their inspection upon request. Minutes of the annual general meetings are also uploaded onto CMMT's website at www.cmmt.com.my.

OTHERS

Dealing with Related Parties

Review Procedures for Related Party Transactions (including Recurrent Related Party Transactions)

The Manager has established internal control procedures to ensure that all Related Party Transactions are made on terms which are the best available for CMMT and which are no less favourable to CMMT than an arm's length transaction between independent parties. In respect of such transactions, the Manager would have to demonstrate to the AC that the transactions are the best available for CMMT and are no less favourable than an arm's length transaction between independent parties which may include obtaining (where applicable) third party quotations or obtaining valuations from independent valuers (in accordance with the REITs Guidelines and the Listing Requirements). The internal control procedures also ensure compliance with the Listing Requirements and the REITs Guidelines.

In particular, the procedures in place include the following:

Related Party Transactions¹ (RPT) with percentage ratio² :	Internal Approval, Procedures and Disclosure
Below 0.25%	Audit Committee recommends to Board ⁴
0.25% or more	Audit Committee recommends to Board ⁴ Immediate announcement
5% or more	Audit Committee recommends to Board ⁴ Immediate announcement Independent Adviser Unitholders
25% or more	Audit Committee recommends to Board ⁴ Immediate announcement Independent Adviser Principal Adviser Unitholders
Recurrent Related Party Transactions (RRPT) with percentage ratio² :	Immediate Announcement, Independent Adviser and Unitholders
Below 1% ³	Audit Committee recommends to Board ⁴
1% or more	Audit Committee recommends to Board ⁴ Immediate announcement

1 Any transaction of less than RM500,000 or Recurrent Related Party Transactions is noted.

2 The calculation is based on the total assets which are the subject matter of the transaction compared with the total assets of CMMT.

3 Periodic review only.

4 Board save for interested directors who shall abstain.

CORPORATE GOVERNANCE

Role of the Audit Committee for Related Party Transactions

The Manager's internal control procedures are intended to ensure that Related Party Transactions are conducted on terms which are best available for CMMT and which are no less favourable to CMMT than arm's length transaction between independent parties.

The Manager maintains a register to record all Related Parties of CMMT and Related Party Transactions which are entered into by CMMT (and the basis, including the quotations obtained to support such basis upon which they are entered into). All Related Party Transactions are subject to regular periodic reviews by the AC, which in turn obtains advice from CL IA, to ascertain that the guidelines and procedures established to monitor Related Party Transactions, including the relevant provisions of the Listing Requirements and the REITs Guidelines, as well as any other guidelines which may from time to time be prescribed by Bursa Malaysia, the SC or other relevant authority, have been complied with. The review includes an examination of the nature of the transaction and its supporting documents or such other information deemed necessary by the AC. If a member of the AC has an interest in a transaction, he is to abstain from participating in the review and approval process in relation to that transaction.

Details of all Related Party Transactions entered into by CMMT during the financial year are disclosed on page 162 of the Financial Statements section of CMMT's Annual Report 2019.

Dealing with Conflicts of Interest

The following principles and procedures have been established to deal with potential conflicts of interest which the Manager (including the Directors, executive officers and employees of the Manager) may encounter in managing CMMT:

- (a) The Manager will be a dedicated manager to CMMT and will not manage any other REITs or be involved in any other real property business;
- (b) All executive officers of the Manager will be employed by the Manager;
- (c) All resolutions at meetings of the Board of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one Independent Director;
- (d) In respect of matters in which CapitaLand and/or its subsidiaries have an interest, whether direct or indirect, any nominees appointed by CapitaLand and/or its subsidiaries to the Board will abstain from voting;
- (e) In respect of matters in which a Director or his associates have an interest, whether direct or indirect, such interested Director will abstain from voting;
- (f) If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager is obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a prima facie case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of Unitholders and/or which is in the interests of Unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate; and

- (g) The Board shall comprise at least one-third of Independent Directors. Currently the Board comprises a majority of Independent Directors.

In respect of voting rights where the Manager would face a conflict between its own interests and that of Unitholders, the Manager shall cause such voting rights to be exercised according to the discretion of the Trustee.

The Manager and the Trustee have been granted a right of first refusal (ROFR) by CapitaLand Mall Asia Limited (CMA) where:

- (a) For so long as the Manager shall remain the manager of CMMT and whereby the Manager and CMA are both subsidiaries of CapitaLand, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:
- (i) Joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - (ii) A proposal made exclusively available to CMA and/or its subsidiaries; or
 - (iii) A fund or proposed fund managed by CMA and/or its subsidiaries.
- (b) In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealing in Securities

The Manager has devised and adopted a securities dealing policy for the Manager's officers and employees which applies the best practice recommendations in the Listing Requirements. To this end, the Manager has issued guidelines to its Directors and employees as well as certain relevant executives of the CL Group, which set out prohibitions against dealings in CMMT's Units (i) while in possession of material unpublished price-sensitive information, (ii) during the periods commencing 30 calendar days before the release of CMMT's quarterly results up to one full market day after the release of the relevant results to Bursa Malaysia via Bursa Link pursuant to the Listing Requirements. In addition, if any of such affected persons deal in CMMT's Units during the closed periods or outside closed periods under the Listing Requirements, they are required to comply with the conditions as set out in the Listing Requirements. They are also made aware of the applicability of the insider trading laws at all times.

CORPORATE GOVERNANCE

Fees payable to the Manager

The methodology for computing the fees payable to the Manager is contained in Clause 18 of the Deed, details of which are disclosed under Notes to Financial Statements.

The Management Fees, which are contained in Clause 18 of the Deed, are fees earned by the Manager for the management of CMMT's portfolio. The Management Fees are fees earned by the Manager for the management of CMMT's portfolio. The Management Fee should be viewed holistically as a whole which comprise two components, namely the Base Fee and Performance Fee, which are elaborated further below:

Base Fee

The Base Fee enables the Manager to cover operational and administrative overheads incurred in the management of the portfolio. The Base Fee is calculated at a percentage of assets value as the asset value provides an appropriate metric to determine the resources for managing the assets.

Performance Fee

The Performance Fee is calculated in reference to the net property income before payment of the Management Fee, for each Distribution Period based on the unaudited or as the case may be, the audited accounts of the Trust determined for the relevant Distribution Period but subject to reconciliation to the amount calculated by reference to the audited account of the Trust for the relevant Financial Year.

In addition, the Manager is also paid an Acquisition Fee or a Divestment Fee upon the successful completion of an acquisition or divestment respectively. Further details on the Acquisition Fee and Divestment Fee are provided below:

Acquisition Fee

The Acquisition Fee, which is contained in Clause 18.3 of the Deed, is earned by the Manager upon the successful completion of an acquisition. This fee seeks to motivate and compensate the Manager for its efforts expended to continually seek and acquire Distribution Per Unit accretive assets to increase longer term returns for Unitholders. In addition, the Acquisition Fee allows the Manager to recover the additional costs and resources incurred by the Manager in the course of seeking new acquisition opportunities, including but not limited to, due diligence efforts and man hours spent in evaluating the transaction.

Divestment Fee

The Divestment Fee, which is contained in Clause 18.3 of the Deed, is earned by the Manager upon the completion of a divestment. This fee seeks to motivate and compensate the Manager for its efforts expended to maximise value received by CMMT in the event of a divestment. In addition, the Divestment Fee allows the Manager to recover additional costs and resources incurred by the Manager for the divestment, including but not limited to due diligence efforts and man hours spent in marketing and maximising the divestment price.

Composition and Meeting Attendance in FY 2019

Board Members	Composition			Meeting Attendance		
	Audit	Executive Committee	Corporate Disclosure Committee	Board Number of Meetings Held: 4	Audit Committee Number of Meetings Held: 4	Executive Committee Number of Meetings Held: 5
David Wong Chin Huat	–	–	Chairman	4	N.A.	N.A.
Low Peck Chen	–	Member	–	4	N.A.	5
Tuan Haji Rosli Bin Abdullah	Chairman	–	–	4	4	N.A.
Ng Chih Kaye	Member	–	–	4	4	N.A.
Dato' Mohammed bin Haji Che Hussein ¹	Member	–	–	3	3	N.A.
Tan Boon Peng ²	–	–	–	3	N.A.	N.A.
Ronald Tay Boon Hwee	–	Chairman	Member	4	N.A.	5
Lim Cho Pin Andrew Geoffrey	Member	Member	Member	2	3	5
Tan Siew Bee ³	Member	–	–	1	1	N.A.
Dr Peter Tay Buan Huat ⁴	–	–	–	1	N.A.	N.A.

N.A. – Not applicable

¹ Appointed as a Director and a Member of the Audit Committee with effect from 1 April 2019.

² Appointed as a Director with effect from 1 April 2019.

³ Resigned as a Director and a Member of the Audit Committee with effect from 1 April 2019.

⁴ Resigned as a Director with effect from 1 April 2019.

Key Management Personnel's Remuneration Table for the Financial Year ended 31 December 2019

Total Remuneration Bands	Salary Inclusive of AWS and Employer's EPF	Bonus and other Benefits inclusive of Employer's EPF ¹	Award of Units ²	Total
RM1,700,000 – RM1,750,000				
Low Peck Chen	44%	31%	25%	100%
Key Officers				
Fern Tan Feng Ching				
Grace Yap Mei Wan				
Jacqueline Kua Ai-Lian ³				
Lawrence Teh Cheng Poh	62%	25%	13%	100%
Soon Yeong Chyan ⁴				
Tan Lei Keng ⁵				
Total for CEO and Key Officers		RM5,145,963		

¹ The amounts disclosed include bonuses earned and the other incentive plans which have been accrued for in FY 2019.

² The unit awards are based on the fair value of the units comprised in the contingent awards under the CapitaLand Restricted Share Plan 2019 (RSP) and Performance Share Plan 2019 (PSP) at the time of grant. The final number of units released under the contingent awards of units for RSP and PSP will depend on the achievement of pre-determined targets and subject to the respective vesting period under RSP and PSP.

³ Ceased office with effect from 1 June 2019.

⁴ Joined on 10 December 2019.

⁵ The reporting period is from 20 June 2019 to 9 December 2019.

CORPORATE GOVERNANCE

Training programmes, seminar and conferences attended by the Directors during FY 2019 were:

- > PNB Leadership Forum 2019 (PNB Research Institute)
- > Course on Handling Media During a Crisis – Role of Board in Corporate Communications (Gamuda)
- > Training on Global Information Security (GIS) (Bank of America)
- > Fide Forum Programme Understanding Liquidity Risk Management in Banking (The ICLIF Leadership and Governance Centre)
- > Special Invitation to Engagement Session with Audit Committee Members on Integrated Reporting (Malaysian Institute of Accountants)
- > Corporate Governance Talk on “How does Malaysia rank? (The ICLIF Leadership and Governance Centre)
- > Seminar titled “Invest Asia 2019” (Maybank Investment in collaboration with ICBC)
- > Talk on “Navigating Uncharted Waters: Avoiding Pitfalls With International Disputes in Civil Law Countries” (Lee Hishammuddin Allen & Gledhill)
- > Program on “Virtual Banking: Transforming Malaysia’s Banking Landscape” (Maybank Investment Bank Berhad)
- > Training on “Lines of Business (Corporate Banking & Global Transaction Services)” (Bank of America Merrill Lynch)
- > Training on “Digital Upskilling for Boards” (Securities Commission Malaysia)
- > Training on “Enhancing Corporate Governance by Understanding Legal Liabilities: Act or Resign” (MACC)
- > Session with Bank Negara Malaysia on Fintech & Innovation (Financial Institutions Directors’ Education)
- > In House Training on “Strategic Readiness of CMMT Board in the Age of Digital Disruption”
- > Training on Lines of Business (Global Vendor Finance)
- > PNB Corporate Summit “Rebooting Corporate Malaysia” (PNB)
- > The Thirty-Third Sultan Azlan Shah Law Lecture Series: International Commerce: Mapping the Law in a Borderless World by The Right Honourable The Lord Briggs of Westbourne Yayasan (Sultan Azlan Shah)
- > Course on New Investment Alternatives – Robo Advisory (Association of Chartered Certified Accountants, Stashaway)
- > Training on “Damages/Remedies in Intellectual Property Litigation” (Lee Hishammuddin Allen & Gledhill)
- > Course on “Write the Future with Big Data” (Association of Chartered Certified Accountants, Fusionex)
- > Training on “Digital Assets - Global Trends” (Financial Institutions Directors’ Education, Bank Negara Malaysia, PwC)
- > Seminar on “Evolving Global and Local Landscape of AML and Sanctions” (KPMG)
- > Audit Committee Conference 2019 (MIA, IIA)
- > Seminar on “Introduction to Cloud Accounting” (Association of Chartered Certified Accountants)
- > Training on Related Party Transactions (CRM Advisory/Ambank)
- > Course on “Model Methodology, Model Performance & Governance” (Ambank)
- > Training on the Anti Money Laundering Act (Ambank)
- > Training on Cyber Security Awareness (Ambank)
- > Course on “Disruptive Digitisation - Transforming the Financial Landscape” (Axiata Digital)
- > Course on Legal Financing (Lee Hishammuddin Allen & Gledhill)
- > Workshop on “Enhancement of Guest Experience at KUL” (Boston Consulting Group)
- > Workshop on “Proposed Adoption of New Constitution in Place of Existing Memorandum and Articles of Association” (Skrine)
- > ACI 11th Annual Airport Economics & Finance Conference & Exhibition March 2019 (ACI)
- > ProcureCon Asia 2019 - Transforming Procurement Together Conference (ProcureCon Asia)
- > Talk on Directors and Officers (D&O) Liability Insurance (Willis Towers Watson)
- > Talk on New Provision Under Section 17A of SPRM Act 2009 and Corruption Free Pledge (MACC)
- > Khazanah Megatrends Forum 2019 (Khazanah)
- > MIA International Accountants Conference 2019 (MIA)

- > Session on Corporate Governance and Anti-Corruption (Bursa Malaysia & Securities Commission Malaysia)
- > Audit Oversight Board Conversation with Audit Committees (Securities Commission Malaysia)
- > Business Valuation Forum (MIA)
- > Future Business Ideas (FBI) 2019 Conference (Securities Industry Development Corporation)
- > A Guide for AC & Independent Directors: Corporate Governance, Updates on Bursa Listing Requirements and Current Issues and Updates in Corporate Financial Reporting (CPA Australia)
- > MRMA-APREA REIT Forum 2019: Opportunities in the New Malaysia (Malaysia REIT Managers Association)
- > Post-Budget 2020: Outlook and Perspectives for the Economy & Capital Market Businesses (Securities Commission Malaysia)
- > Bond Conference 2019 - Fresh Perspectives: Engineering the Future of the Malaysian Bond & Sukuk Market (Securities Commission Malaysia)

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AUDIT COMMITTEE REPORT

The Audit Committee (AC) of the Manager was formed on 10 June 2010 to assist the Board in fulfilling its oversight responsibilities for the financial reporting process, the management of risk and system of internal controls, the governance processes, and the audit process of CMMT and the Manager as well as the Manager's process for monitoring compliance with laws and regulatory requirements.

The Board is pleased to present the report of the AC for FY 2019 to provide insights into the manner which the AC has discharged its functions during FY 2019.

(A) COMPOSITION

Presently, the AC consists of four members, all non-executive directors, majority of whom (including the Chairman of the AC) are independent. The members bring with them invaluable and professional expertise in accounting and related financial management domains. None of the AC members was previously a partner in the incumbent external auditors, KPMG PLT (KPMG), in the previous two years, nor do any of the AC members hold any financial interest in KPMG.

The list of the members of the AC are as follows:

- | | |
|--|---|
| 1. Tuan Haji Rosli Bin Abdullah | Chairman / Non-Executive Independent Director |
| 2. Ng Chih Kaye | Member / Non-Executive Independent Director |
| 3. Dato' Mohammed Bin Haji Che Hussein | Member / Non-Executive Independent Director |
| 4. Lim Cho Pin Andrew Geoffrey | Member / Non-Executive Non-Independent Director |

(B) MEETINGS AND ATTENDANCE

A total of four AC meetings were held during the financial year under review. The members of the AC and their attendance records are as follows:

Number of AC Meetings Attended	
Tuan Haji Rosli Bin Abdullah	4 / 4
Ng Chih Kaye	4 / 4
Dato' Mohammed Bin Haji Che Hussein ¹	3 / 3
Lim Cho Pin Andrew Geoffrey	3 / 4
Tan Siew Bee ²	1 / 1

1 Appointed as a Member of the AC with effect from 1 April 2019.

2 Resigned as a Member of the AC with effect from 1 April 2019.

(C) SUMMARY OF THE WORK OF THE AUDIT COMMITTEE

Throughout FY 2019 and up until to the date of this report, AC has met its responsibilities in discharging its functions and obligations in accordance with its Terms of Reference (TOR) as described below:

1. Financial Reporting

- (a) Reviewed the quarterly results for all the financial quarters and year-end financial statements, ensuring the integrity of the financial statements of CMMT, and announcements relating to CMMT's financial performance, prior to the approval by the Board for the release of the announcements, focusing particularly on:
 - (i) changes in or implementation of major accounting policy changes;
 - (ii) significant matters highlighted including financial reporting issues, significant judgements made by management, significant and unusual events or transactions, and how these matters are addressed; and
 - (iii) compliance with accounting standards and other legal requirements.
- (b) Discussed the key audit matters raised by the external auditors with Management and the disclosure thereof in the Auditors' Report for FY 2019.
- (c) Recommended to the Board for approvals of the half-yearly income distribution for payment to the Unitholders.

2. External Auditors (EA)

- (a) Reviewed the EA's report on the conduct of CMMT's financial statements FY 2019 audit, the findings on significant accounting and financial reporting issues and its impact to the consolidated financial statements of the CMMT Group and, the findings on the internal control system as well as an overview of issues found during the interim audit.
- (b) Reviewed EA's scope of work and audit plans for the year under review to understand their audit methodology, significant risk areas and accounting policies/disclosures and timing.
- (c) Reviewed, in consultation with Management, the performance of the EA and their fees, upon satisfaction of their independence and objectivity including non-audit services rendered by the EA.
- (d) Conducted bi-annual private sessions with the EA and CL IA without the presence of Management to discuss any issue or reservation arising from their audit. No major concerns were highlighted by EA and CL IA and they had received full cooperation from Management.

3. Internal Auditors (IA)

The IA function is outsourced and undertaken by CL IA which reports directly to the AC. The IA function was undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the internal control systems to manage risk exposures of the Manager and the CMMT Group. The AC had full access to the services and advice of the IA and received reports on all audits that were performed.

AUDIT COMMITTEE REPORT

During FY 2019, CL IA has executed the following IA services:

- (a) A total of three audit assignments were conducted on CMMT and the Manager based on the 2019 IA plan, adhering to the International Standards for the Professional Practice of Internal Auditing (Standards) issued by the Institute of Internal Auditors;
- (b) Conducted regular follow up with Management on agreed corrective actions on outstanding audit issues to ensure key risks and weaknesses were addressed effectively and in a timely manner including the tightening of internal controls, whereby the status of implementation of the IA recommendations were reported to the AC on a quarterly basis; and
- (c) Prepared the annual IA plan and scope for FY 2020 to be deliberated and approved by the AC.

The reports from CL IA, including the result of findings, recommendations and Management's responses, were presented to the AC.

During FY 2019, AC monitored and assessed the role, performance and effectiveness of the IA function by reviewing the IA process from time to time and recommended to the Board for approval any changes to the IA process.

A quality assurance review on the CL IA's function was performed by Ernst & Young Advisory Pte Ltd in 2018 and the assessment affirmed that CL IA conformed to the Standards. The next review will be due in 2023.

The total costs incurred by the IA function for FY 2019 amounted to RM186,185.

4. Risk Management and Internal Control

AC also assisted the Board in examining the adequacy and effectiveness of CMMT's ERM Framework and the appropriateness of Management's responses to key risk areas and recommendations for improvements to be implemented. Based on the RCSA exercise conducted annually as well as the quarterly key risk indicator reports presented to AC with insights on the areas of risks, their likelihood, impact and management action on CMMT's operating business, AC was thus able to keep under review the adequacy and effectiveness of CMMT's risk management system along with its risk portfolio, risk levels and risk mitigation strategies. No significant irregularity or deficiency in internal controls came to the attention of AC during FY 2019.

5. Related Party Transactions and Conflicts of Interest

The AC has:

- a) reviewed and approved processes to regulate the Related Party Transactions (RPT) and Recurrent Related Party Transactions (RRPT) (as defined in the Listing Requirements) and ensured compliance with the proper disclosure requirements in accordance with the REITs Guidelines and the Listing Requirements;
- b) received reports from the Management and CL IA on RPTs and RRPTs, reviewed and approved RPTs and RRPTs as required by the internal approval processes; and
- c) reviewed and assessed from time to time whether additional processes are required to be put in place to manage any material conflicts of interest within the CMMT Group and proposed, where appropriate, the relevant measures for the management of such conflicts for approval by the Board.

AC was satisfied that all RPTs and RRPTs were in the best interest of CMMT, whereby the terms concluded were made on terms which were the best available for CMMT and which were no less favourable to CMMT than an arm's length transaction between independent parties and the monitoring procedures to regulate such transactions were appropriate and sufficient.

6. Compliance

The AC reviewed the level of compliance of the Manager and CMMT with the REITs Guidelines, Listing Requirements, Companies Act 2016, CMSA as well as with the Deed. The AC was satisfied that there were no major non-compliances based on the compliance reports completed by the Management and as reported by the Compliance Officer at the quarterly meetings during FY 2019.

7. Other Matters

- (a) The AC has reviewed and is satisfied with the annual Statements on Corporate Governance, Risk Management and Internal Control and the AC Report for publication in CMMT's Annual Report 2019.
- (b) The AC undertook an evaluation exercise to assess whether the AC has carried out their duties and responsibilities in accordance with its TOR. This is in addition to the annual assessment of the performance and effectiveness of the AC undertaken by the Board.

The AC Report was approved by the Board on 14 February 2020.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any public listed issuer to include in its annual report a statement about the state of internal control of the listed issuer as a group and the Board is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers.

BOARD'S RESPONSIBILITY

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up by the Manager for CMMT. The Board is responsible for the adequacy and integrity of the system of risk management and internal controls. It is an essential part of the Board's responsibilities to identify principal risks, formulate the risk appetite of the CMMT Group, set the key risk indicators/thresholds and ensure that appropriate systems and policies are in place to manage these risks and review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgment in decision making, human error, losses, fraud or other irregularities. A sound system of risk management and internal controls therefore provides a reasonable but not absolute assurance that the CMMT Group will not be significantly affected by any event that can be reasonably foreseen as it strives to achieve its business objectives.

RISK MANAGEMENT

Effective risk management is a fundamental part of CMMT's business strategy. The key risks and control measures are described in the Enterprise Risk Management section of CMMT's Annual Report 2019. Recognising and managing risk is central to CMMT's business and to protect Unitholders' interests and value. CMMT operates within guidelines and parameters set by the Board for the Manager and CMMT. Based on the RCSA, transactions are analysed to understand the risks involved. Responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy endorsed by the Board.

The Manager's focus on risk management recognises that risk management is, prima facie, an issue for management. The ERM Framework supports this focus but provides a structured context for Management to undertake a review

of the past performance, and to profile the current and future risks it faces within its areas of responsibility. This risk information is consolidated and used as key input into the risk management review sessions which are held at least once a year to review CMMT's strategic direction in detail, and include specific focus on the identification of key businesses and financial risks which could prevent CMMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the AC and Exco respectively on a quarterly basis and by the Board annually. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring that the operation of internal controls and assessment reflects the effectiveness and efficiency of the control environment.

The Manager has determined that significant risks for CMMT will likely arise when making property investment decisions and have identified these in the RCSA. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with these procedures, the Board requires comprehensive due diligence to be carried out in relation to any proposed investment and a suitable determination is made as to whether the anticipated return on the proposed investment is appropriate, having regard to the level of risk.

The Board usually meets quarterly, or more often if necessary, to review and approve the financial performance of the Manager and of the CMMT Group against a previously approved budget. The Board also reviews the risks to the assets of the CMMT Group and acts upon any comments by the external auditors of CMMT. In assessing business risks, the Board considers the economic environment and property industry risks. The Board and its Exco review and approve all investment decisions and key treasury matters. Management meets monthly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

The Manager has a risk identification and management framework for the CMMT Group. The Manager proactively identifies and addresses risks in the CMMT Group. The ownership of these risks lies with the CEO and function heads of the Manager with stewardship residing with the Board. The AC and Exco assist the Board to oversee management in the formulation, updating

and maintenance of an adequate and effective risk management framework while the Board reviews the adequacy and effectiveness of the system of risk management and internal controls.

KEY INTERNAL CONTROL PROCESSES

The Manager has put in place systems of internal control and a set of procedures and processes to safeguard the assets of CMMT and interest of Unitholders as well as to manage risk. These are described in the following paragraphs.

The Manager performs a RCSA exercise and maintains a risk register which identifies the material risks faced by the CMMT Group and the internal controls in place to manage or mitigate those risks. The risk register is reviewed and updated at least once a year by the CEO and function heads of the Manager and is also reviewed quarterly by the AC and Exco and annually by the Board. The Exco is tasked to review concurrently and it is reported to the AC as to what approach is taken in identifying and assessing risks and internal controls under the RCSA. The Manager has established an approach on how risk appetite is defined, monitored and reviewed for the CMMT Group. Approved by the Board, the CMMT Group's RAS incorporates the risk limits and addresses the management of material risks faced by the CMMT Group. Alignment of the CMMT Group's risk profile with the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions by the Manager. Internal and external auditors conduct audits that involve testing the effectiveness of the material internal control systems for the CMMT Group including testing, where practical, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with proposed corrective measures by the internal auditors are reported to the AC. The system of risk management and internal controls is continually being refined by the Manager and reported to the AC and the Board for their approval.

The Board has also received assurance from the CEO and Chief Financial Officer of the Manager that the risk management and internal control systems in place within the CMMT Group are adequate and effective in addressing the material risks in the CMMT Group in its current business environment including material financial, operational, compliance and IT risks.

The CEO and Chief Financial Officer of the Manager have obtained similar assurances from the function heads of the Manager.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that related party transactions are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Deed and are made on terms which are best available for CMMT and which are no less favourable than an arm's length transaction between independent parties. The Manager incorporates into its annual internal audit plan a review of all related party transactions and recurrent related party transactions. These established procedures are further explained on pages 51 to 52 of CMMT's Annual Report 2019.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on pages 52 to 53. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT shall be executed on terms that are best available to CMMT and which are no less favourable to CMMT than transactions between independent parties. The Manager has outsourced its internal audit function to CL IA which reports directly to the AC.

CL IA is adequately resourced and staffed with persons having relevant qualifications and experience. CL IA is a corporate member of The Institute of Internal Auditors Singapore (IIA), which is an affiliate of the IIA headquarters in the United States of America (USA). CL IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the IIA and has incorporated these Standards into its audit practices.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

To ensure that internal audits are performed by competent professionals, CL IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. This includes CL IA staff who are involved in Information Technology (IT) audits having relevant professional IT certifications. The IT auditors are also members of the Information System Audit and Control Association (ISACA) Singapore Chapter, a professional body administering information system audit & security certifications that is headquartered in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CL IA identifies and provides training and development opportunities for its staff to ensure their technical knowledge and skill sets remain current and relevant.

The AC reviews the internal audit reports and activities on an on-going basis. The AC also reviews and approves the annual internal audit plan with respect to CMMT. The AC is of the view that the internal audit function performed by CL IA is adequately resourced, effective and independent. Information about CL IA is on page 48 of CMMT's Annual Report 2019.

The scope of the internal audit function for FY 2019 included the following:

- (a) Carried out scheduled audit assignments in accordance with the 2019 annual internal audit plan approved by the AC;
- (b) Reported to the AC on key findings and management's agreed actions;
- (c) Updated the AC on the implementation status of management's agreed actions on a quarterly basis;
- (d) Reviewed related party transactions including recurrent related party transactions and presented the findings of the review to the AC on a quarterly basis;
- (e) Investigated various matters when required and as directed by the AC; and
- (f) Prepared the 2020 annual internal audit plan for submission to the AC for approval.

The AC has put in place a whistle-blowing policy to provide employees of the Manager and CMMT with procedures and accessible channels to report suspected

fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager and for independent investigation of any reports by employees and appropriate follow up action. This whistle-blowing policy has been established to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The whistle-blowing policy adopted is further explained on page 36 of CMMT's Annual Report 2019.

The AC reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and Management. The AC also reviews written reports issued by the internal and external auditors, and ensures that appropriate and prompt remedial actions are taken by Management where deficiencies in internal controls have been identified. In FY 2019 the issues raised were attended to and responded by Management to the internal and external auditors with agreed actions to be undertaken by Management. The AC also convenes meetings with both external and internal auditors without the presence of Management.

In addition, the AC has undertaken an assessment of the scope, functions and competency of the internal audit function. The AC also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the REITs Guidelines and the Listing Requirements.

The Board reviews and approves, inter alia, the following reports from Management, upon recommendation of the AC and Exco, on a periodic basis:

- (a) CMMT Group's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- (b) Status update of major asset enhancement works carried out on the properties as planned;
- (c) Status update of treasury matters including debt profile, maturity and interest rate management; and
- (d) Status update of other operational matters.

Based on these reviews, the Board opined, with the concurrence of the AC, that there are adequate internal controls in place within the CMMT Group addressing financial, operational, compliance and IT risks.

ENTERPRISE RISK MANAGEMENT

CMMT Group takes a proactive approach to risk management, making it an integral part of CMMT Group’s business – both strategically and operationally. The objective is not risk minimisation, but rather the optimisation of opportunities with the known and agreed risk appetite levels set by the Board. In short, the Board take measured risk in a prudent manner for justifiable business reasons.

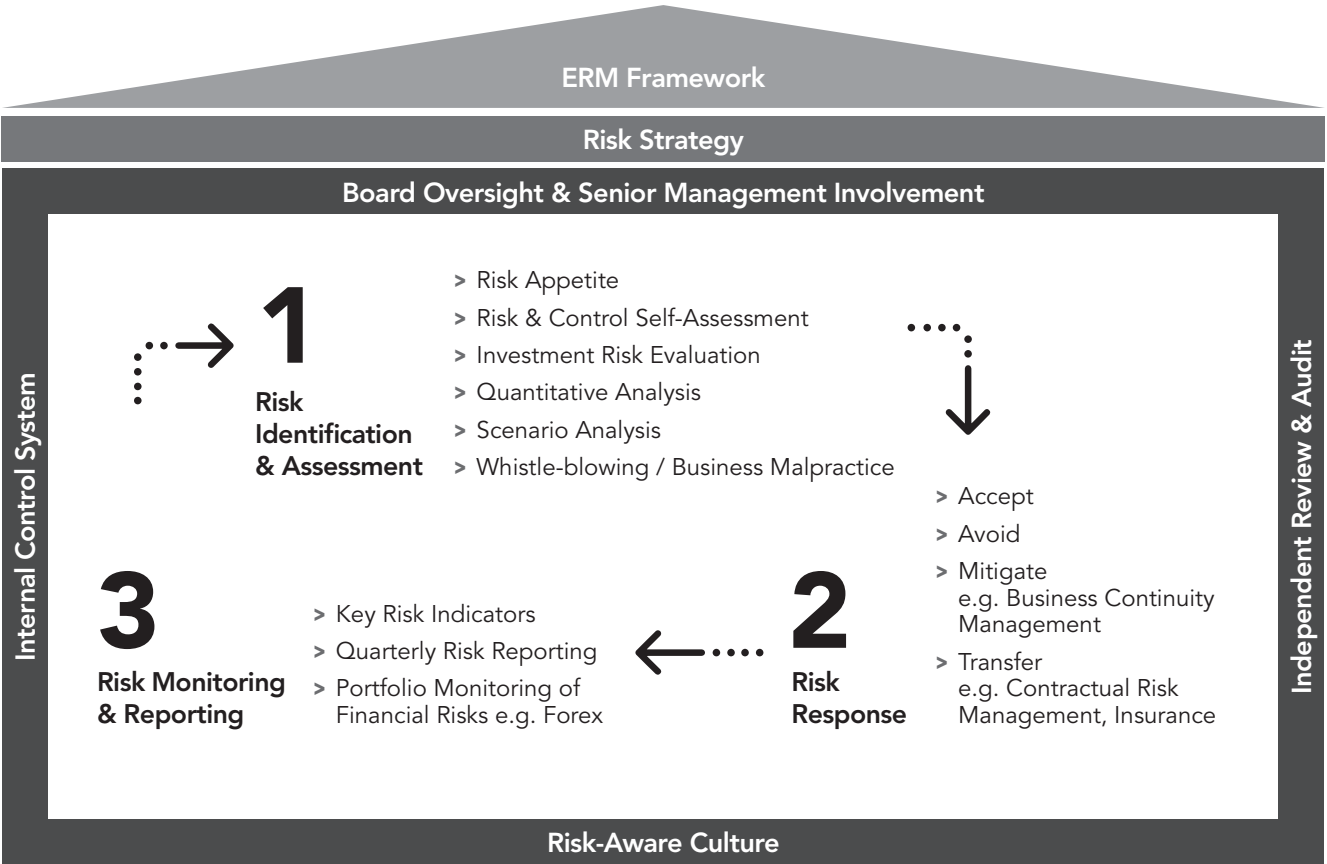
GOVERNANCE

The Board is responsible for the governance of risk across the CMMT Group. The Board determines the CMMT Group’s risk appetite; oversees the Manager’s ERM Framework, regularly reviews the CMMT Group’s risk profile, material risks and mitigation strategies; and ensures the adequacy and effectiveness of the risk management framework and policies. For these purposes, it is assisted by the AC and Exco which provide dedicated oversight of risk management at the Board level.

The Exco is made up of three non-independent Board members while the AC comprises of three independent Board members and one non-independent Board member. Both the AC and Exco meet on a quarterly basis. The AC and Exco meetings are attended by the CEO as well as other key management staff of the Manager.

The Board approves the CMMT Group’s risk appetite, which determines the nature and extent of material risks that the Manager is willing to take to achieve the CMMT Group’s strategic and business objectives. CMMT Group’s RAS is expressed via formal, high level and overarching statements and accompanying risk limits which determine specific risk boundaries established at an operational level. Taking the interests of key stakeholders into consideration, the RAS sets out explicit and forward-looking views of the CMMT Group’s desired risk profile and ensures it is aligned with the CMMT Group’s strategy and business plans.

ENTERPRISE RISK MANAGEMENT FRAMEWORK



ENTERPRISE RISK MANAGEMENT

The Manager's ERM Framework is adapted from the International Organization for Standardization Organisation (ISO) 31000 International Risk Management Standards. It is also guided by the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Internal Control-Integrated Framework and other relevant best practices and guidelines. It specifies the required environmental and organisational components needed to manage risks in an integrated, systematic and consistent manner. The ERM Framework and related risk management policies are reviewed annually.

A robust internal control system and an effective, independent review and audit process underpin the Manager's ERM Framework. While the line management is responsible for the design and implementation of effective internal controls using a risk-based approach, the outsourced Internal Audit function from CapitaLand reviews such design and implementation to provide

reasonable assurance to the AC on the adequacy and effectiveness of the risk management and internal control systems.

CMMT Group's successful ERM program is based on fostering the right risk culture. CapitaLand's Group Risk Management Department (GRM) conducts regular workshops to enhance risk management knowledge and promote a culture of risk awareness. Risk management principles are embedded in all our decision-making and business processes. Once a year, the Manager coordinates a CMMT Group RCSA exercise. This requires that the respective risk and control owners identify, assess and document material risks which includes Environment, Social and Governance (ESG) - relevant risks; along with their key controls and mitigating measures. Material risks and their associated controls are consolidated and reviewed by the Manager before they are presented to the AC, Exco and the Board.

MANAGING MATERIAL RISKS

The Manager takes a comprehensive iterative approach in identifying, managing, monitoring and reporting material risks across the CMMT Group. These material risks include:

Material Risk	Risk Description and Impact	Key Mitigating Action
Business Interruption	> Exposed to business interruption risk arising from sudden and major disaster events such as fire, prolonged power outages or other major infrastructure failures which may significantly disrupt operations at our malls or data centres.	> Proactive facilities management (for example, routine inspection and scheduled maintenance) and crisis management procedures in place at each property. > The outsourced Information Technology (IT) team from CapitaLand has a defined disaster recovery plan which is reviewed and tested annually.
Climate Change	> Physical risks such as rising sea levels, violent storms, long intense heat waves, flash floods, and fresh water depletion. > Transitional risks include potentially more stringent regulations and increased expectations from stakeholders.	> CapitaLand regularly reviews its mitigation and adaptation efforts which includes future proofing its portfolio by setting targets for green building rating, carbon emissions and energy efficiency. CapitaLand has in place a global environment, health and safety management system which is externally certified to ISO 14001. > For more information, please refer to CapitaLand Global Sustainability Report 2019, to be published by 31 May 2020.

Material Risk	Risk Description and Impact	Key Mitigating Action
Competition	> Keen industry competition from established players, online businesses and new market entrants who are able to capture our customers by meeting their demands.	> Constantly strive to differentiate ourselves in the marketplace through ongoing brand building. > Constant stream of customer-centric initiatives and a shopper loyalty programme also help set us apart. > Our in-house team keeps the CMMT Group on top of latest market trends. > Participate in innovation workshops to help us brainstorm ideas to ensure we remain competitive in the market.
Economic	> Exposed to event risks, such as political uncertainty, economic downturn and keen competition in the market. > These event risks may reduce revenue, increase costs and result in downward revaluation of our assets. > Market illiquidity during a financial crisis makes asset investment and/or divestment challenging and can affect the CMMT Group's investment and strategic objectives.	> Disciplined approach to financial management and a strategically located portfolio in key urban cities in Malaysia. > Constantly monitor macroeconomic trends, policies and regulatory changes.
Financial	> Exposure to financial risks involving liquidity, foreign currency and interest rates.	> Proactively review the capital management of the CMMT Group to ensure that adequate financial resources are available for the working capital requirements and income distributions. > Focus on instilling financial discipline, deploying capital to earn optimal risk-adjusted returns and maintaining a strong balance sheet to invest in suitable opportunities. For more information on the CMMT Group's Financial Risk Management, please refer to pages 154 to 159 of CMMT's Annual Report 2019.

ENTERPRISE RISK MANAGEMENT

Material Risk	Risk Description and Impact	Key Mitigating Action
Fraud, Bribery & Corruption	> Any forms of fraud, bribery and corruption that could be perpetrated by employees, third parties or collusion between employees and third parties including corporate liability risk in light of the new Section 17A MACC Act.	> CapitaLand promotes the right ethical culture at all levels to build strong foundations for a leading real estate company. > Continue adoption of a zero tolerance stance against fraud, bribery and corruption in the conduct of business and reinforce the importance of "integrity" – one of CapitaLand's core values. > Communicate the commitment to integrity from tone at the top through policies such as Fraud, Bribery & Corruption Risk Management Policy (FBC), Whistle-blowing Policy and Ethics and Code of Business Conduct Policies. > The policies and procedures on anti-corruption are, at a minimum, guided by the Guidelines on Adequate Procedures issued pursuant to the MACC 2018. In addition, awareness training, pledges and e-learning modules will be rolled out between 2019-June 2020. > Rolled out online FBC Quiz in 2019 to heighten staff awareness.
Information Technology/Cyber Security	> Ongoing business digitalisation exposes the business to IT related threats which may result in compromising the confidentiality, integrity and availability of the CMMT Group's information assets and/or systems. This may have significant negative impact to customer experience, financials and/or regulatory compliance.	> CapitaLand executes its Cyber Security Strategy through ongoing review against existing/evolving threat landscapes and institute measures to minimise vulnerability exposure and manage threat vectors. > Roll out ongoing staff IT Security Awareness Training to counter human intervention in the information security chain. > Periodically review and update Group-wide IT Security Policy and Data Protection Framework to ensure relevancy. > Maintain and test IT Security Incident Management Procedure to ensure prompt response and timely remediation to cyber security incident. > Conduct annual Disaster Recovery Plan (DRP) exercise to ensure timely recoverability of business critical IT systems.

Material Risk	Risk Description and Impact	Key Mitigating Action
Leasing	> Strong competition, poor economic and market conditions are some of the key factors that could result in key tenants not renewing their leases, adversely affecting the leasing performance of the CMMT Group's properties.	> Establish and maintain a diversified tenant base and sustainable trade mix. > Proactive tenant management strategies which are in line with the malls' positioning are in place. > Closely monitor tenants' sales performance and maintain positive relationships and rapport with retailers to build loyalty to the CMMT Group's properties.
Regulatory & Compliance	> Subjected to applicable local laws and regulations in the markets in which CMMT operates. > Breaches to laws and regulations may lead to hefty penalties/fines and negative publicity.	> Maintain a framework that proactively identifies the applicable laws and regulations, and embed compliance into the day-to-day operations. > In-house specialised teams such as legal and compliance provide advisory services and updates on latest changes to laws and regulations.
Safety, Health & Well-being	> Increased expectations from stakeholders' to provide safe and healthy environment, including well-being, at the CMMT Group's properties.	> CapitaLand regularly reviews its mitigation efforts which includes work-related safety targets and has in place a global environment, health and safety management system which is externally certified to OHSAS 18001.

INVESTOR & MEDIA RELATIONS

At CapitaLand Malaysia Mall Trust (CMMT), we believe timely and transparent communication to our stakeholders is crucial especially during challenging market conditions to facilitate investors to make informed investment decision. Our stakeholders include Unitholders, potential retail and institutional investors, analysts and the media. Regular and proactive engagement with the investment community is conducted to provide a clear overview of CMMT's business, operating performance and investment proposition through various mechanisms, such as news releases, its website, media and analyst briefings, one-on-one meetings, conferences, roadshows, site visits and email alerts. Briefing sessions are conducted for analysts and investors on a quarterly basis following the release of quarterly results, and on an ad hoc basis for material transactions and developments relating to CMMT. Mall tours are conducted occasionally for analysts and investors who are keen to visit CMMT's properties to further deepen their understanding of the respective mall's market positioning, tenant mix and operations, as well as of any past or planned AELs.

As at 31 December 2019, there were approximately 7,600 registered Unitholders. During the year, the management team proactively engages and meets both existing and potential investors through conferences and roadshows held in Bangkok, Singapore and Kuala Lumpur.

On 29 March 2019, CMMT held its annual general meeting (AGM) at EQ Kuala Lumpur, a hotel conveniently

accessible through public transportation, which gave the Board and the Manager an opportunity to interact with the Unitholders on CMMT's performance for the year and address their concerns. CMMT conducted its poll electronically and results of the AGM was published on Bursa Securities. The minutes of the AGM was also made available on CMMT's website for greater transparency.

In July 2019, CMMT refreshed its website as part of our initiatives to improve stakeholder communication efforts. The streamlined user interface provides updated content with a more interactive experience to allow stakeholders to easily access the information they seek.

CMMT is currently covered by 10 research houses as disclosed on our website and is a constituent of Bursa Malaysia Real Estate Investment Trust index. It is also a member of the Malaysian Investor Relations Association (MIRA) as well as member of Malaysian REIT Managers Association (MRMA).

Information on CMMT including announcements, press releases, presentations, circulars and annual reports are uploaded to both CMMT's and Bursa Securities' websites. CMMT's unit price performance information is also available on CMMT's website with 15-minutes lag time. Investors and the general public can also post queries to CMMT via a dedicated 'Ask Us' email address and queries are answered promptly.

Investor Relations & Media Calendar 2019

1st Quarter	Full year 2018 Results Press Release and Media and Analysts' Results Briefing/Conference Call Klang Valley malls' tour with institutional investors Engagement with institutional investors (Non Deal Roadshow in Kuala Lumpur and Singapore) CMMT Annual General Meeting
2nd Quarter	1Q 2019 Results Press Release and Analysts' Results Briefing/Conference Call Credit Suisse High Yield Corporate Day 2019
3rd Quarter	1H 2019 Results Press Release and Media and Analysts' Results Briefing/Conference Call CapitaLand Group Corporate Day Soft opening Press Release of Jumba @ Sungei Wang
4th Quarter	3Q 2019 Results Press Release and Analysts' Results Briefing/Conference Call MRMA-APREA REIT Forum 2019 CapitaLand Volunteer Day in Malaysia and My Schoolbag Event Press Release Jumba @ Sungei Wang personalised tour for institutional investors and analysts

UNITHOLDER & MEDIA ENQUIRIES

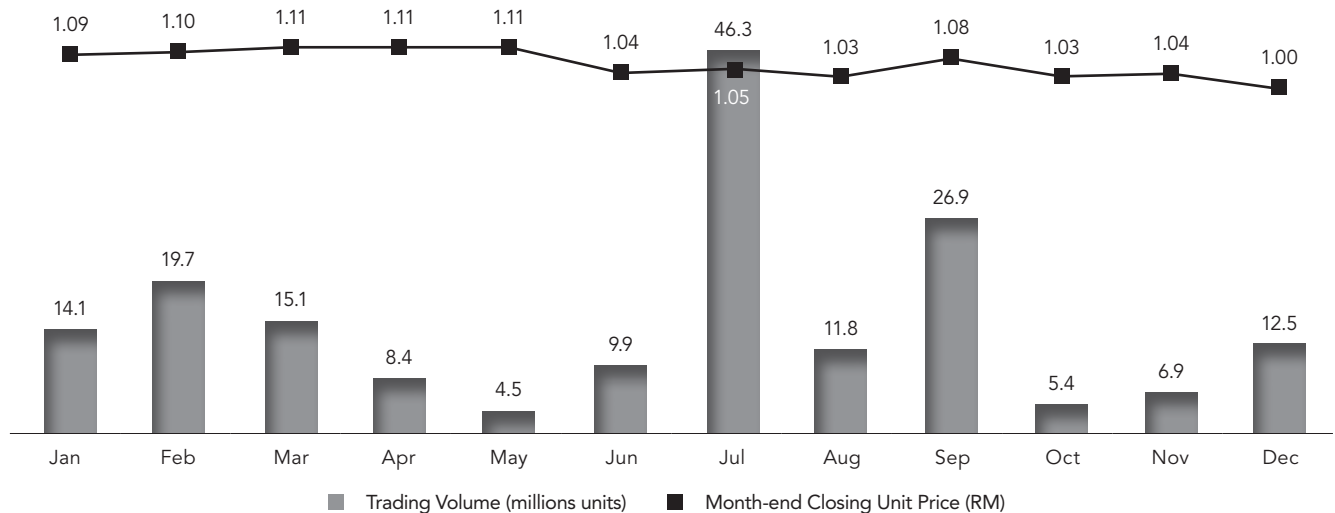
If you have any enquiries or would like to find out more about CMMT, please contact:

Jasmine Loo

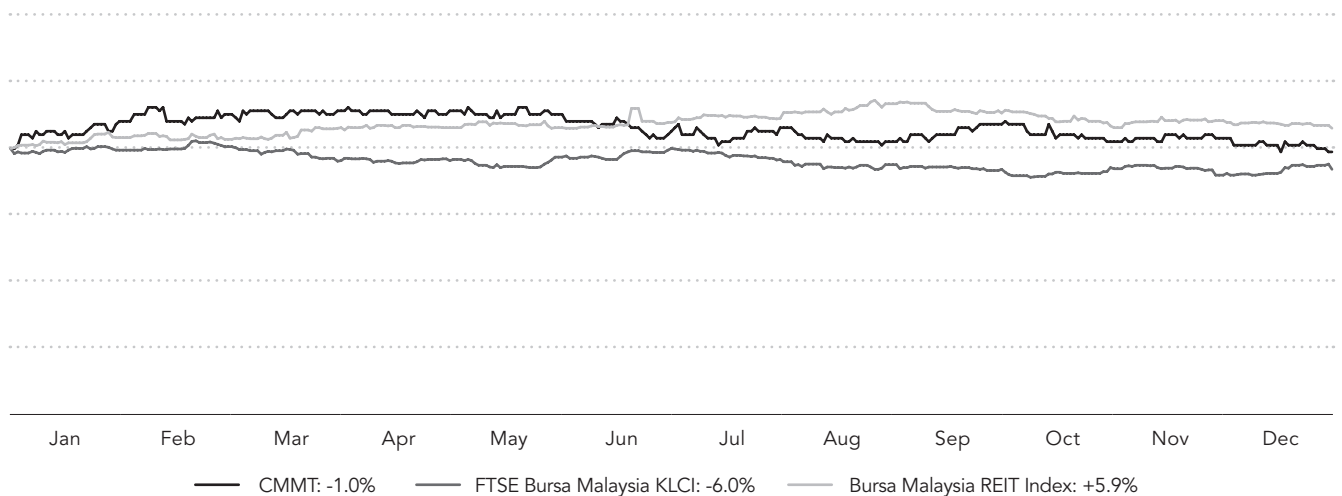
Investor Relations and	Tel	: +60 3 2279 9888	Email	: ask-us@cmmt.com.my
Corporate Communications	Fax	: +60 3 2279 9889	Website	: www.cmmt.com.my

UNIT PRICE PERFORMANCE

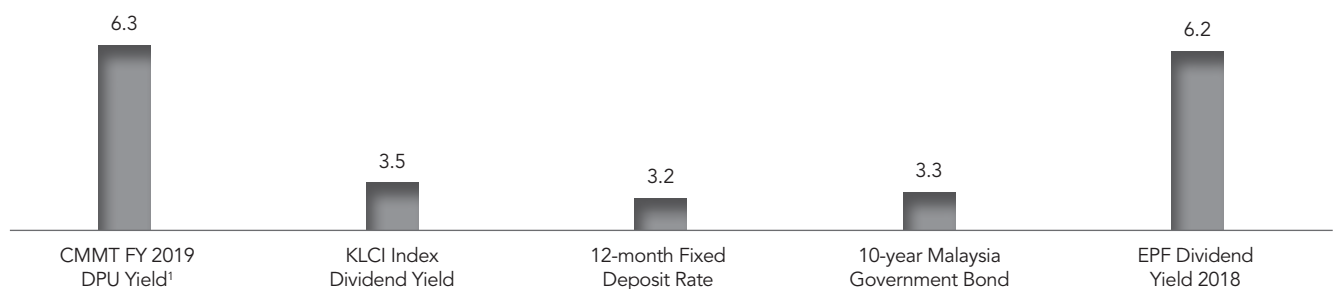
CMMT's Monthly Trading Performance for 2019



CMMT's Price Trends for 2019



Attractive Yield Versus Other Investments (%)



Source: Bloomberg, Employee Provident Fund

¹ Based on the DPU of 6.25 sen for FY 2019 and the closing price of RM1.00 on 31 December 2019.

SUSTAINABILITY MANAGEMENT

SUSTAINABILITY COMMITMENT

As an externally managed real estate investment trust, CapitaLand Malaysia Mall Trust (CMMT) is managed by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (CMMR or the Manager), a 70%-indirect subsidiary of CapitaLand Group (CapitaLand or CL Group). CMMT's properties are managed by Knight Frank Property Management Sdn. Bhd.¹ and Zaharin Nexcap Property Consultants Sdn. Bhd.² (collectively known as Property Managers). The Manager and Property Managers oversee the daily property operations of CMMT's properties and abide by CapitaLand's sustainability framework, policies, guidelines, as well as ethics and code of business conduct.

CMMT's sustainability strategies and objectives are aligned to CapitaLand's credo of 'Building People. Building Communities.'. CL Group is committed to improving the economic and social well-being of its stakeholders through the execution of development projects and management of its operations. In a rapidly changing business landscape, it actively embraces innovation to ensure commercial viability without compromising the environment for future generations.

CL Group upholds high standards of corporate governance and transparency to safeguard shareholders' interests. It has in place an adequate and effective Enterprise Risk Management Framework to enhance business resilience and agility. CL Group's proactive approach towards environmental, health and safety

(EHS) management, which incorporates universal design into its developments, ensures that its properties are sustainable and future-proof. Policies and guidelines are put in place to ensure the efficient use of energy, water and other resources.

CL Group's integrated human capital strategy aims to recruit, develop and motivate employees to drive growth. Community development is an important component of its commitment to sustainability. It focuses on providing support to enhance the lives of underprivileged children and vulnerable elderly, through corporate philanthropy and employee volunteerism.

CapitaLand was one of the first companies in Singapore to voluntarily publish an annual Global Sustainability Report and externally assure the entire report. Benchmarking against an international standard and framework that is externally validated helps CapitaLand to overcome the challenges in sustainability reporting that arise from its diversified asset types and geographical presence. CapitaLand is also a signatory to the United Nations (UN) Global Compact and the annual Global Sustainability Report serves as its Communication on Progress, which will be made available at www.unglobalcompact.org when published.

For its efforts, CapitaLand is listed in The Sustainability Yearbook, Global 100 Most Sustainable Corporations Index, Dow Jones Sustainability World Index and

CapitaDNA Visions, Mission, Credo and Core Values

CORE VALUES

WINNING MINDSET | ENTERPRISING | RESPECT | INTEGRITY

COMMITMENT TO OUR STAKEHOLDERS

We create great customer value and experiences through high-quality products and services.

**for our
Customers**
Tenants, shoppers,
home owners, residents

We deliver sustainable shareholder returns and build a strong global network of capital partners.

**for our
Investors**
including business
partners

We develop high performing people and teams through rewarding opportunities.

**for our
People**
Staff

We care for and contribute to the economic, environmental and social development of communities.

**for our
Communities**
Government agencies/NGOs,
general public, environment
suppliers/contractors

1 Knight Frank Property Management is the property manager for Gurney Plaza, 3 Damansara and Tropicana City Office Tower, The Mines and East Coast Mall.
2 Zaharin Nexcap Property Consultants only manages CMMT's interest in Sungei Wang.

Asia Pacific Index, Global Real Estate Sustainability Benchmark (Global Sector Leader, Diversified- Listed), FTSE4Good Index Series, MSCI Global Sustainability Indexes, Euronext VigeoEiris Indices World 120 and STOXX® Global ESG Leaders Indices.

CapitaLand Global Sustainability Report 2019 will be published by 31 May 2020 and will continue to be prepared in accordance with the Global Reporting Initiative (GRI) Standards: Core option. CL Group will also continue to apply the Guiding Principles of the International Integrated Reporting Framework and ISO 26000:2010 Guidance on Social Responsibility and reference the UN Sustainable Development Goals (SDG) and the Taskforce on Climate Related Financial Disclosure (TCFD). The report will cover CL Group's global portfolio and employees, including listed Real Estate Investment Trusts (REITs), CapitaLand Mall Trust, CapitaLand Commercial Trust, Ascott Residence Trust, CapitaLand Retail China Trust and CapitaLand Malaysia Mall Trust, unless otherwise indicated. Lastly, the report will be externally assured to AA1000 Assurance Standard.

As the merger between CapitaLand and Ascendas-Singbridge was completed on 1 July 2019, this report will also include data from 1 July 2019 onwards, pertaining to CapitaLand's expanded business parks portfolio and staff strength.

REPORTING SCOPE AND PERIOD

CMMT reinforces its commitment to sustainability and this report has been prepared in accordance with the GRI Standards: Core option. This sustainability chapter covers the CMMT's portfolio of properties comprising five shopping malls and one complementary office block from 1 January to 31 December 2019, unless otherwise stated. The teams behind the Manager and Property Managers responsible for property and portfolio operations are identified as employees of CMMT.

BOARD STATEMENT

CMMT is committed to sustainability and incorporates the key principles of environment, social and governance (ESG) in setting our business strategies and operations. The Board sets CMMT's risk appetite, which determines the nature and extent of material risks that CMMT is willing to take to achieve our strategic and business objectives. The risk appetite incorporates ESG factors such as fraud, corruption and bribery, environment, health and safety.

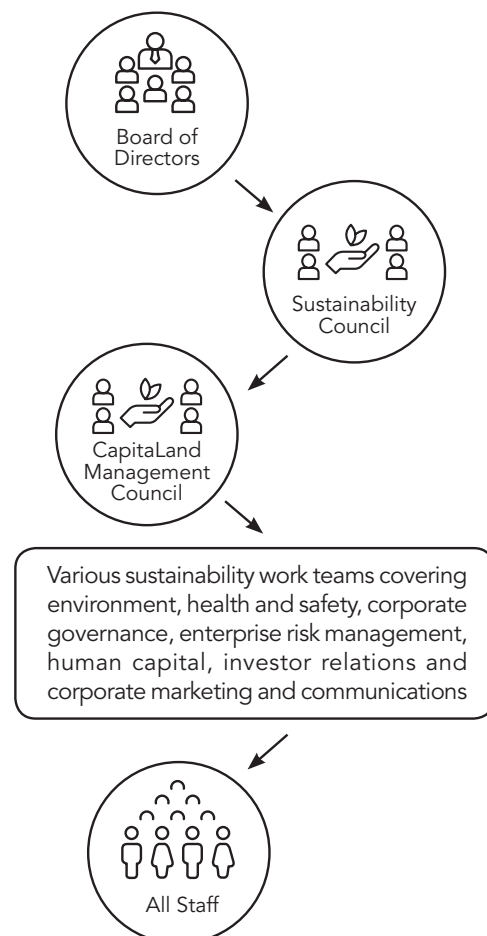
The Board also approves the executive compensation framework based on the principle of linking pay to performance. CMMT's business plans are translated to both quantitative and qualitative performance targets,

including sustainable corporate practices and are cascaded throughout the organisation.

TOP MANAGEMENT COMMITMENT AND STAFF INVOLVEMENT

CapitaLand's sustainability management comes under the purview of its Sustainability Council. In 2019, the CapitaLand Sustainability Council was re-constituted to include two independent board members and four CapitaLand Executive Committee (EXCO) members. Chaired by an independent board member, the Council is supported by the Sustainability Department as secretariat and various work teams to ensure continued progress and improvement in the areas of ESG. The work teams comprise representatives from all business units. CapitaLand Board of Directors is updated regularly through the Risk Committee and Audit Committee on matters relating to sustainability risks and business malpractice incidents. The Board is also updated on the sustainability management performance of CL Group, key material issues identified by stakeholders and the planned follow-up measures.

Sustainability Management Structure



SUSTAINABILITY MANAGEMENT

MATERIALITY

CL Group has a regular review, assessment and feedback process in relation to ESG topics. Key to this is an annual Group-wide Risk and Control Self-Assessment exercise which entails the identification, assessment and documentation of material risks and corresponding

internal controls. These material risks include fraud and corruption, environmental, health and safety, and human capital risks which are ESG-relevant. Other existing channels for feedback to ensure relevance of CMMT's issues include:

Environment	> Regular dialogue/feedback sessions with government agencies (e.g. Jabatan Alam Sekitar, Jabatan Keselamatan dan Kesihatan Pekerjaan, Jabatan Bomba dan Penyelamat Malaysia, various city and municipal councils) > Active participation in Singapore Green Building Council and Malaysia's Green Building Index
Social	> Regular dialogue with government agencies and unions > Regular employee engagement survey
Governance	> Active participation in the Malaysia REIT Managers Association > Active participation in the Malaysian Investor Relations Association > Engagement where appropriate with Bursa Malaysia Securities Berhad and Securities Commission Malaysia > Participation in engagement sessions with key sustainability indices

CapitaLand identified and reviewed material issues that are most relevant and significant to the CL Group and its stakeholders. These are prioritised based on the likelihood and potential impact of issues affecting business continuity and development. For external stakeholders, priority is given to issues important to

the society and applicable to CL Group. For more information on stakeholder engagement, please refer to the Social and Relationship Capital, Human Capital and Environmental Capital chapters in the upcoming CapitaLand Global Sustainability Report 2019.

Prioritisation of ESG Material Issues		
Environment	Social / Labour Practices	Governance
Critical		
> Energy efficiency > Climate change and emissions reduction > Water management	> Occupational health & safety > Employment > Stakeholder engagement > Supply chain management	> Compliance > Business ethics > Product and services*
Moderate and emerging		
> Building materials > Construction and operational waste > Biodiversity	> Diversity > Human rights	

* This includes customer health and safety.

CREATING VALUE AND ALIGNMENT TO UNITED NATIONS SUSTAINABLE DEVELOPMENT GOALS (UN SDGS¹)

The Guiding Principles of the International Integrated Reporting Council (IIRC) Framework were referenced in this report, and the material ESG issues are grouped into six capitals - Environmental, Manufactured, Human, Social and Relationship, Organisational and Financial.

This is also mapped against some of CL Group's key efforts and programmes in relation to the 10 key UN SDGs material to real estate. For more information, please refer to CapitaLand Global Sustainability Report 2019 which will be published by 31 May 2020.

For CMMT, the key efforts and programmes in relation to these capitals are highlighted in the corresponding table.

Capitals	What CapitaLand Does	CMMT Performance 2019 Value Created	UN SDGs Supported
Financial > Earnings > Equity > Investments > Assets	> Combination of operating income from investment properties and trading properties, disciplined capital recycling and growth of fee income. > Calibrated balance across product platforms and geographies.	> Refer to Financial Review, CMMT's Annual Report 2019.	
Organisational > Leadership & culture > Corporate governance > Risk management	> CapitaLand adopts a strong stance against bribery and corruption. > All employees are required to make an annual declaration to uphold CapitaLand's core values and to not engage in any corrupt or unethical practices. > Requires certain agreements with third-party service providers and vendors to incorporate anti-bribery and anti-corruption provisions. > Require main contractor to ensure no child labour and forced labour at CapitaLand project sites. > Supply Chain Code of Conduct to influence its supply chain to operate responsibly in the areas of anti-corruption, human rights, health and safety, as well as environmental management. > CapitaLand is a signatory to UN Global Compact.	> Refer to Corporate Governance, CMMT's Annual Report 2019. > No reported incident relating to discrimination, child labour or forced labour in CMMT.	16

¹ The UN SDGs call on companies everywhere to advance sustainable development through the investments they make, the solutions they develop, and the business practices they adopt. In doing so, the goals encourage companies to reduce their negative impacts while enhancing their positive contribution to the sustainable development agenda.

SUSTAINABILITY MANAGEMENT

Capitals	What CapitaLand Does	CMMT Performance 2019 Value Created	UN SDGs Supported
Environmental > Carbon emissions > Energy management > Water stewardship > Waste and resource management	CapitaLand is committed to: > Reduce energy consumption through energy efficiency and encourage renewable energy sources. > Reduce water consumption, reuse water and prevent water pollution, especially in countries where the availability of clean water and sanitation are of concern. > Green its operational portfolio by 2030. > Actively embrace innovation to ensure commercial viability without compromising the environment for future generations. > Future-proof its developments by addressing the risks of climate change right from the design stage. > Preserve the biodiversity of its sites as well as the wider area where possible. > Occupational health and safety is of utmost importance to CapitaLand, including all of its employees, tenants, contractors, suppliers and the communities who use its properties. CapitaLand EHS Management System is externally audited to receive the International Organization for Standardization (ISO) 14001 and Occupational Health and Safety Assessment Series (OHSAS) 18001 certification across 15 countries. CapitaLand continues to participate in the CDP (Carbon Disclosure Project). Its footprint is calculated in accordance with the Greenhouse Gas (GHG) Protocol.	> For 2019, CMMT's operational properties total energy consumption was 62.25 MWh. Purchased electricity and heating consumption accounted for about 99.8% and direct energy consumption from gas, diesel and other fuels accounted for 0.2% of total energy consumption. For water, total consumption was about 692,038m³. > Energy and Water Usage and Carbon Intensity Reduction: For 2019, the reduction in water usage in m³/m² was 11.56% from the 2009 baseline, and the reduction in carbon intensity (kg/m²) was 14.72% from the 2009 baseline. Energy usage in kWh/m² also reduced by 15.2% from the 2009 baseline. Using a 'Business as Usual' approach, it is estimated that CMMT avoided costs of more than RM19.8 million for utilities since 2009. > 73% of CMMT portfolio has achieved green rating. We will continue to implement energy and water conservation measures to ensure efficient operations and minimise resource wastage. > Retained ISO14001 certification. All CMMT properties have no environmental non-compliance. > Safety talks and briefings are given to employees and tenants on a periodic basis, and regular emergency evacuation drills are conducted at least once a year at each property to familiarise both employees and tenants on the emergency response plan. > All CMMT properties are subjected to fire safety audits and regular maintenance on safety equipment. > All CMMT properties participated in the Earth Hour initiative. > All CMMT properties participated in the recycling of waste programme.	3, 6, 7, 9, 11, 13, 15

Capitals	What CapitaLand Does	CMMT Performance 2019 Value Created	UN SGDs Supported
Human > Health and safety > Job creation and security > Learning and development > Benefits and remuneration	CapitaLand believes that regardless of ethnicity, age or gender, employees can make a significant contribution based on their talent, expertise and experience. It adopts consistent, equitable, and fair labour policies and practices in rewarding as well as developing employees under the direct hire of CapitaLand. CapitaLand is a signatory to the UN Global Compact. CapitaLand aims to provide a work environment that is safe and contributes to the general well-being of its employees.	Employees of the Manager and Property Managers are identified as CMMT employees. CMMT employees comprise: > A multi-racial workforce > An almost equal proportion of males and females, at a ratio of 53:47 > About 64% of CMMT's employees are aged between 30 and 50 years > About 63% of senior and middle management were women > Average training hours per employee is more than 30 hours > Almost 52% of employees have been with CMMT for five years or longer > Zero incident resulting in staff permanent disability or fatality	3, 8, 10
Social and relationship > Stakeholder relations > Social license to operate > Community development	CapitaLand Hope Foundation (CHF), CapitaLand's philanthropic arm, believes in investing in the fundamental needs of education, healthcare and shelter of underprivileged children to relieve them of hardship and help them to eventually break the poverty cycle.	In November 2019, CMMT and CapitaLand jointly held CapitaLand Volunteer Day in Malaysia in conjunction with the annual signature corporate social responsibility programme My Schoolbag that was into its ninth year in Malaysia. For this initiative, four primary schools in Penang, Pahang, Selangor and Kuala Lumpur were refurbished while education and sporting equipment were also provided. Invested more than RM210,000 through CHF to benefit 353 children from low income households with basic school necessities. More than 140 employees volunteered for a total of about 1,000 hours.	1, 2, 4

SUSTAINABILITY MANAGEMENT

STAKEHOLDER ENGAGEMENT

Stakeholders are groups that CMMT's business has a significant impact on, and those with a vested interest in its operations. Key stakeholders include employees, customers, business associates, builders and suppliers, as well as the investment and local community. Other groups include regulators and key government agencies,

non-governmental organisations (NGOs), representatives of the capital market and the media. They are mapped into groups based on their impact on CMMT.

Through the various engagement channels, CMMT seeks to understand its stakeholders' views, communicate effectively with them and respond to their concerns.

Stakeholders	Engagement Channel	Issues	Sustainability Report*
Tenants	> Green fit out guide > Joint promotions and strategic partnerships > Informal tenants' gatherings > Tenants' shop openings	> Facilities management	Social and Relationship Capital, Environmental Capital
Shoppers	> CapitaStar > Marketing and promotional events > Shopping redemptions, contests and on-ground activities > Online and mobile platforms > Social media	> Customer experience	Social and Relationship Capital, Environmental Capital
Investors, analysts and media	> Annual general meetings > Quarterly financial results announcements > Media releases and interviews > Annual reports > Company website > Regular analyst and investor meetings > Roadshows, conferences and meetings > Tours of CMMT's properties	> Operational efficiency, monetary savings, cost avoidance > Return on equity, earnings, business strategy, market outlook > ESG risks and opportunities	Financial Capital, Social and Relationship Capital
Employees	> Regular dialogue sessions with senior management > Regular employee engagement survey > Volunteer programmes > Performance appraisals > Recreational team building sessions > Training courses	> Work-life balance > Remuneration and benefits > Employee welfare	Human Capital, Social and Relationship Capital

Stakeholders	Engagement Channel	Issues	Sustainability Report*
Supply Chain – main contractors, vendors, suppliers	> CapitaLand Supply Chain Code of Conduct > Environmental, Health and Safety (EHS) > Policy and quarterly EHS monitoring > Vendor evaluation, including events, meetings and trainings	> Design and quality > Occupational health and safety practices > Workers welfare and well-being > Environmental compliance	Human Capital, Social and Relationship Capital, Environmental Capital
Government/ national agencies/ community and non-governmental organisations (NGOs)	> Longstanding partner of various national programmes > Sustainability reports > Participation in external conferences/forums > Corporate advertisements > Consultation and sharing with academics, NGOs and business associations	> Stakeholder programmes to advocate sustainable tenant/customer behaviours > Advocating best practices	Social and Relationship Capital

* For more information on key stakeholders' issues of interest, please refer to the CapitaLand Global Sustainability Report 2019 – to be published by 31 May 2020.

OPERATIONS REVIEW

LEASE RENEWALS AND NEW LEASES

For leases that expired in 2019, the rental of the first year of the renewed/new lease term eased by 5.7% on a portfolio basis compared to the preceding rate, i.e. the last year's rental of the preceding term. The lower rental reversion was mainly due to the lower performance from the Klang Valley malls which have been affected by increased competition in the vicinity, opening of new shopping malls and increasing popularity of e-commerce, as well as downtime from the asset enhancement works at Sungei Wang and The Mines.

Summary of Renewals/New Leases

(excluding newly created and reconfigured units)
(as at 31 December 2019)

Property	Number of Renewals/ New Leases	Change in Rental Rates ¹ (%)
Gurney Plaza	100	1.0
East Coast Mall	48	0.9
Sungei Wang	50	-12.5
3 Damansara & Tropicana City Office Tower	50	-4.2
The Mines	91	-17.2
CMMT Portfolio	339	-5.7

PORTFOLIO LEASE EXPIRY PROFILE

CMMT tenants typically have three-year lease terms. The portfolio lease expiry remained spread out as at 31 December 2019, with 51.5% and 26.9% of the leases by gross rental income due for renewal in 2020 and 2021 respectively, with the balance expiring from 2022 onwards. About 674 leases are due to expire in 2020. For the portfolio lease expiry profile as at 31 December 2019 by gross rental income, 9.2% is made up by the lease expiry cases of anchor tenants.

Portfolio Lease Expiry Profile

(as at 31 December 2019)

	Number of Leases	% of Gross Rental Income
2020	674	51.5
2021	344	26.9
2022 and beyond	277	21.6

¹ Change in the current rental rates versus the preceding rental rates.

Portfolio Lease Expiry Profile for 2020

(as at 31 December 2019)

Property	Number of Leases	% of Gross Rental Income	% of Net Lettable Area
Gurney Plaza	181	22.7	18.8
East Coast Mall	104	9.5	10.2
Sungei Wang	137	4.1	5.9
3 Damansara & Tropicana City Office Tower	84	6.9	11.3
The Mines	168	8.3	11.6
CMMT Portfolio	674	51.5	57.8

TOP 10 TENANTS

CMMT's gross rental income is well distributed within its portfolio of about 1,300 leases. Collectively, the 10 largest tenants accounted for about 14.7% of the total gross rental income.

10 Largest Tenants of CMMT

(as at 31 December 2019)

Tenant	Trade Sector	% of Gross Rental Income
Parkson Elite / Parkson	Departmental Store	4.7
AEON Big	Supermarket / Hypermarket	2.0
Golden Screen Cinemas	Leisure & Entertainment / Sport Fitness	1.4
Padini Concept Store	Fashion / Accessories	1.2
Tropicana Golf and Country Resort Berhad	Others	1.0
Nando's	Food & Beverage	0.9
CGS-CIMB Securities Sdn. Bhd.	Others	0.9
F.O.S	Fashion / Accessories	0.9
Uniqlo	Fashion / Accessories	0.9
Daiso Japan	Others	0.8
Total		14.7

OPERATIONS REVIEW

TRADE SECTOR ANALYSIS

CMMT's portfolio is well diversified and leverages on many different trade sectors for rental income. As at 31 December 2019, fashion/accessories remained the largest contributor to gross rental income at 30.5% of the total portfolio. The food and beverage (F&B) trade remained the second largest contributor to gross rental income at 20.4%.

Portfolio Trade Sector Analysis

(as at 31 December 2019)

Trade Sector	% of Gross Rental Income	% of Net Lettable Area
Fashion / Accessories	30.8	20.9
Food & Beverage	20.4	13.8
Beauty / Health	12.7	8.7
Services	4.8	4.9
Departmental Store	4.8	9.9
Leisure & Entertainment / Sports & Fitness	7.4	12.7
Electronics / I.T.	7.1	5.1
Supermarket / Hypermarket	3.9	9.1
Gifts / Specialty / Books / Hobbies / Toys / Lifestyle	3.8	4.4
Houseware / Furnishings	2.6	6.3
Others	1.7	4.2

OCCUPANCY RATE

As a result of active mall management, proactive leasing strategy and access to CapitalLand's extensive network of local and international retailers, CMMT's occupancy rate remained stable. The portfolio occupancy rate was 93.8% as at 31 December 2019.

Occupancy Rate

(%)

As at 31 December 2019	2019	2018	2017	2016	2015
Gurney Plaza	99.8	99.9	99.4	99.1	98.3
East Coast Mall	99.5	99.0	98.9	98.4	99.7
Sungei Wang	82.0	75.3	90.1	91.0	90.4
3 Damansara & Tropicana City Office Tower	92.8	92.3	91.6	93.0	93.0
The Mines	90.5	89.1	94.4	98.0	96.3
CMMT Portfolio	93.8	93.2	95.4	96.5	96.0

SHOPPER AND VEHICULAR TRAFFIC

Shopper traffic for the portfolio stood at 56.7 million while vehicular traffic recorded at 7.9 million in 2019. We continually refresh and enhance the retail offerings of our malls and shopping experiences of our shoppers through asset enhancement initiative (AEI), active management of the tenant mix at each property and marketing efforts.

VALUE CREATION

In view of challenges in the operating environment, the Manager proactively undertakes retail and asset management initiatives to continually refresh and introduce new experiences in CMMT's malls to enhance their attractiveness.

2019 was a significant year for Sungei Wang where we completed the Jumpa AEI. In May 2018, the mall had embarked on a 16-month-long facelift, costing approximately RM52.2 million, to convert the previous anchor tenant space into specialty stores and update the façade and interior design of the annex block, as part of efforts to revitalise and enhance the appeal of Sungei Wang. The AEI works included seven new sets of escalators and enhanced visibility between floors through the creation of void space. Sporting a new glistening façade, Jumpa, which opened at end-September 2019, reimagines the everyday retail experience with a focus on catering to the young and young-at-heart who seek a modern and vibrant retail experience. Offering a wide range of retail, F&B and family entertainment options, the 155,845 sq ft Jumpa annex block houses brands such as Anta Sports, Skechers, PUMA, outdoor and lifestyle brand, Outside, and online fashion retailer Love, Bonito. New F&B offerings include Yi Poh Restaurant, SRK Noodles House, Dodo Dim Sum & Bowls, Torisho and Juan Valdez. Since its opening, we have experienced encouraging growth in shopper traffic and are confident that the opening of anchor tenants – Beast Park, a new-to-market climbing-cum-adventure park, in December 2019 and MinNature's 3D printed miniature exhibition – the largest of its kind in Malaysia, by end-February will draw more shoppers including tourists to Sungei Wang.

At Gurney Plaza, we continued our efforts with upgrading and refreshing our anchor tenants' offerings to further strengthen its position as Penang's premier lifestyle destination and improve shoppers' experience. Following the completion of Parkson Elite's renovation, supermarket operator Cold Storage has been upgraded to a premium

groceries and fresh ingredients retailer, Mercato. Both Parkson Elite and Mercato's outlet at Gurney Plaza are their first outside the Klang Valley. As part of the tenant remixing on the Ground Floor, we introduced several new fashion offerings such as designer brand Hugo Boss and affordable luxury brand Stuart Weitzman. Timepiece brand Longines also opened their first boutique in the Northern region in Gurney Plaza. Other new fashion tenants include JD Sports, Calvin Klein, PUMA, Adidas Performance, Fred Perry and Kipling. Cosmetics and skincare brands such as Chanel Beaute, YSL Beaute, Laura Mercier and Origins were also introduced to shoppers. Popular cafes and restaurants which are new to the Northern region such as Starbucks Reserve, Ho Min San Chinese noodles, Thailand's MeMelon Desserts House and Singapore's Lao Huo Tang were also introduced.

At East Coast Mall, we completed the reconfiguration of a 1,800 sq ft space at the Basement to house more service-related offerings such as Pet Lovers Centre to fulfill shoppers' needs. We expanded the range of fashion brands with the introduction of homegrown labels such as BritishIndia and Bonia; as well as international names like PUMA, Fossil and accessories brand Lovisa. Home improvement retailer Mr. D.I.Y. and dining options including Old Town White Coffee and 4Fingers Crispy Chicken joined the mall's new list of tenants, as well as popular bubble tea options like Daboba, Black Ball and Kitea.

At 3 Damansara, shoppers are able to enjoy a greater variety of new dining options such as the first Chinese cuisine hotpot Mu Tong Yu Steamboat, Burger King, All Day by Union Roastery, Honey Bunny, Liang Sandwich and Ages Ago, Heritage Village and Bungkus Kaw Kaw. We have also relocated the popular Chinese eatery Esquire Kitchen to the internal alfresco dining area on the Ground Floor and this has been well-received by shoppers. We have added more service-related offerings including Mail Boxes Etc., U Mobile and Dr Tan & Partners.

At The Mines, the F&B tenants that commenced operations in FY 2019 include Ayam Penyet Best, Hadramot Village, Napoli and Ah Cheng Laksa. Shoppers can soon look forward to the opening of Tesco and another new family entertainment offering.

During the year under review, the implementation of cashless parking was completed at all CMMT properties and this offers additional payment options for shoppers.

FINANCIAL REVIEW

GROSS REVENUE

Gross revenue for FY 2019 of RM342.3 million was RM7.9 million or 2.2% lower than FY 2018. The decrease was mainly due to lower occupancies at The Mines (TM), Sungei Wang¹ (SW) and 3 Damansara (3D), lower rental rates at TM and downtime from asset enhancement initiatives (AEI) at SW and TM. The decrease was partially

mitigated by better performances with higher rental rates and rental income from leading outstation malls – Gurney Plaza (GP) and East Coast Mall (ECM) following the completion of AEI, and the fully occupied Tropicana City Office Tower (TCOT). SW's AEI, the creation of lifestyle annex block Jumpa @ Sungei Wang was completed and soft opened on 25 September 2019.

Gross Revenue by Property

	FY 2019 RM'000	FY 2018 RM'000	Change %
Gurney Plaza	152,488	148,130	2.9
East Coast Mall	63,906	60,432	5.7
Sungei Wang	25,409	28,418	(10.6)
3 Damansara and Tropicana City Office Tower	43,483	45,739	(4.9)
The Mines	56,990	67,427	(15.5)
Total	342,276	350,146	(2.2)

NET PROPERTY INCOME

Net property income (NPI) for FY 2019 of RM202.1 million was RM12.8 million, or 6.0%, lower than FY 2018. The decrease was a result of the abovementioned decrease in gross revenue as well as the increase in property operating expenses by RM5.0 million, or 3.7%, to RM140.2 million. The increase in property operating expenses was largely attributed to higher utilities at GP,

ECM, 3 Damansara and TCOT as a result of electricity surcharge with effect from 1 July 2018 as well as 1 March 2019 and one-time rebate of service charge at SW in March 2018. GP and ECM turned in stronger performances with an increase in NPI contribution of 3.1% and 5.4% respectively. This helped to mitigate the lower NPI contribution from the Klang Valley² shopping malls.

Net Property Income by Property

	FY 2019 RM'000	FY 2018 RM'000	Change %
Gurney Plaza	108,624	105,310	3.1
East Coast Mall	42,484	40,293	5.4
Sungei Wang	900	7,788	(88.4)
3 Damansara and Tropicana City Office Tower	20,500	21,869	(6.3)
The Mines	29,612	39,709	(25.4)
Total	202,120	214,969	(6.0)

1 CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

2 Made up of Sungei Wang, 3 Damansara and The Mines.

DISTRIBUTIONS

For FY 2019, CMMT declared a distribution per unit (DPU) of 6.25 sen. During the financial year, CMMT made two income distributions to Unitholders, totaling RM145.1 million or 7.10 sen per unit, which comprised (i) a final income distribution for FY 2018 of 3.88 sen per unit for the period from 1 July 2018 to 31 December 2018, which was paid on 8 March 2019 and (ii) the first income

distribution for FY 2019 of 3.22 sen per unit for the period from 1 January 2019 to 30 June 2019, which was paid on 3 September 2019. CMMT's final income distribution for FY 2019 of 3.03 sen per unit for the period from 1 July 2019 to 31 December 2019 will be distributed to its Unitholders on 28 February 2020. The DPU of 6.25 sen represents a payout of approximately 100.0% of CMMT's FY 2019 distributable income of RM128.0 million.

Distribution History

	Period End	DPU sen	Distributions RM'000
FY 2015			
01-Jan-15	8-Jul-15	4.61	82,011
09-Jul-15	31-Dec-15	3.99	80,789
Total		8.60	162,800
FY 2016			
01-Jan-16	30-Jun-16	4.20	85,189
01-Jul-16	31-Dec-16	4.23	85,931
Total		8.43	171,120
FY 2017			
01-Jan-17	30-Jun-17	4.14	84,234
01-Jul-17	31-Dec-17	4.08	83,140
Total		8.22	167,374
FY 2018			
01-Jan-18	30-Jun-18	4.02	82,034
01-Jul-18	31-Dec-18	3.88	79,314
Total		7.90	161,348
FY 2019			
01-Jan-19	30-Jun-19	3.22	65,822
01-Jul-19	31-Dec-19	3.03	62,169
Total		6.25	127,991

FINANCIAL REVIEW

FINANCIAL POSITION

The total assets for the CMMT Group were RM4,143.8 million as at 31 December 2019 compared to RM4,143.0 million as at 31 December 2018. The increase of RM0.8 million was mainly due to the capitalisation of capital expenditure of RM46.7 million, offset by the unrealised fair value loss on investment properties of RM30.7 million and lower cash and cash equivalent arising from the settlement of capital expenditure as a result of proactive cash management efforts. The capital expenditure incurred during the year includes the Jumpa retail layout design, reconfiguration works at SW and enhancement works of the food court on Level 2 at TM.

Total borrowings increased by RM55.1 million to RM1,376.7 million¹ in FY 2019. This was mainly due to additional revolving credit facilities of RM139.4 million drawn down to fund capital expenditure offset by repayment of revolving credit facilities of RM84.6 million. For further details, please refer to the Capital Management section of CMMT's Annual Report 2019.

Unitholders' funds for the CMMT Group as at 31 December 2019 was RM2,601.9 million, a decrease of RM64.6 million from 31 December 2018. The change in the Unitholders' funds was mainly a result of the FY 2019 profit contribution, the issuance of CMMT units to the Manager as part payment of management fees and the deduction of distributions paid to Unitholders during the year.

Valuations and Property Yields

CMMT Portfolio	Valuation ² RM mil (RM psf NLA) ³			Property Yield (%) ⁴		Capitalisation Rate (%) ⁵	
	31 Dec 2019	31 Dec 2018	Increase/ (Decrease)	FY 2019	FY 2018	31 Dec 2019	31 Dec 2018
Gurney Plaza	1,665.0 1,909 psf	1,635.0 1,821 psf	30.0	6.5	6.4	6.75	6.75
East Coast Mall	577.0 1,237 psf	555.0 1,184 psf	22.0	7.4	7.3	7.25	7.25
Sungei Wang	538.0 1,303 psf	545.0 1,188 psf	(7.0)	0.2	1.4	7.00	7.00
3 Damansara and Tropicana City Office Tower	540.0 950 psf	556.0 979 psf	(16.0)	3.8	3.9	6.50	6.50
The Mines	715.0 986 psf	728.0 1,006 psf	(13.0)	4.1	5.5	7.00	7.00
CMMT Portfolio	4,035.0 1,325 psf	4,019.0 1,290 psf	16.0	5.0	5.3	–	–
Less: additions ⁶			(46.7)				
FY 2019 Net Fair Value Loss			(30.7)				

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

1 Before deducting unamortised transaction costs.

2 Based on the independent valuations of Gurney Plaza, an interest in Sungei Wang, 3 Damansara and Tropicana City Office Tower, The Mines and East Coast Mall as at 31 December 2019 and 31 December 2018, as commissioned by the Trustee.

3 RM per square foot of net lettable area.

4 Property yield is calculated by dividing the NPI or annualised NPI for the year by the independent valuation of the property.

5 Capitalisation rate refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market values of each property.

6 Additions refer to capital expenditure incurred across the portfolio during the financial year.

CAPITAL MANAGEMENT

The Manager continues to rigorously monitor the cash position and borrowings of the CMMT Group with the view of strengthening its capital structure and competitive position.

BORROWINGS

The Manager's capital management strategy involves adopting and maintaining an appropriate prudent leverage level to ensure optimal returns to Unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

The interest rate risk management initiative paved the way for CMMT to limit the adverse impact on the cost of debt in the event of an increase in market interest rate and banks' cost of funds. As at 31 December 2019, the CMMT Group locked in 83.0% of its total borrowings at fixed rates.

In December 2019, CMMT MTN Berhad, a wholly owned subsidiary of CMMT, had successfully issued 3.5-year unrated and secured Medium Term Notes (MTN) of RM300.0 million under the existing approved 20-year

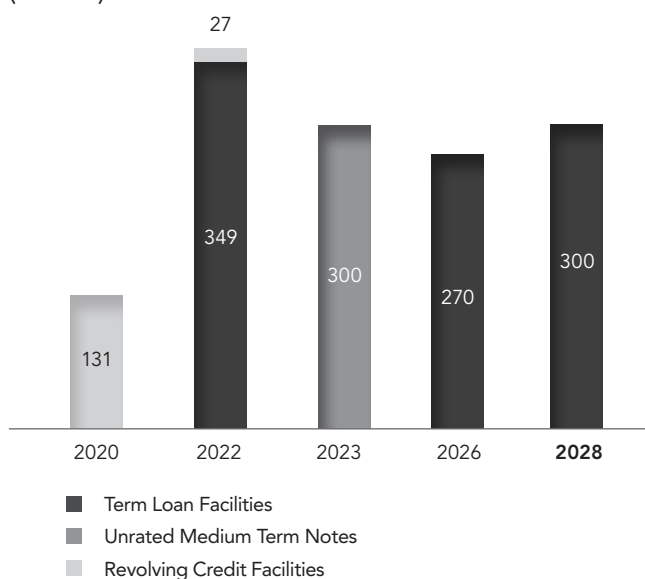
secured MTN programme of RM3.0 billion to redeem the outstanding 3-year unrated and secured MTN of RM300.0 million. This third issuance bears a lower coupon rate of 4.07% per annum and is secured by The Mines.

The total borrowings of the CMMT Group as at 31 December 2019 was RM1,376.7 million¹ at a healthy gearing level of 33.7%. This provides the CMMT Group with a comfortable debt headroom to fund potential acquisitions of properties and/or asset enhancement initiatives. The decrease in Bank Negara Malaysia's Overnight Policy Rate (OPR) from 3.25% to 3.00% in May 2019 had minimal impact on CMMT's average cost of debt for FY 2019 as a majority of the CMMT Group's borrowings are at fixed interest rates. The average cost of debt for the CMMT Group for FY 2019 was at approximately 4.4% per annum (FY 2018: 4.5% per annum) and the average term to maturity for outstanding debts was 4.4 years. Of the properties in the portfolio, Sungei Wang² and East Coast Mall remain unencumbered, providing CMMT with further financial flexibility.

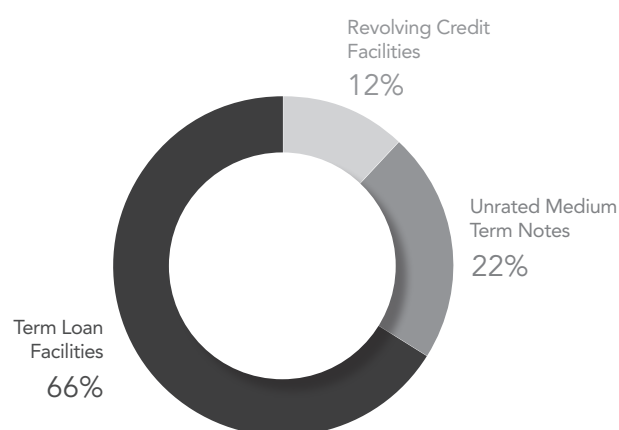
DEBT PROFILE

The debt maturity and diversified sources of funding profile for the CMMT Group as at 31 December 2019 were as follows:

Debt Maturity Profile
(RM mil)



Diversified Sources of Funding



¹ Before deducting unamortised transaction costs.

² CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

CAPITAL MANAGEMENT

CASH FLOWS AND LIQUIDITY

The Manager proactively monitors its cash and liquid reserves to ensure that adequate funding is available for distribution to the Unitholders as well as to meet any short-term liabilities.

CASH AND CASH EQUIVALENTS

As at 31 December 2019, the cash and cash equivalents of the CMMT Group stood at RM84.6 million, a decrease of RM16.8 million compared to FY 2018. The decrease was mainly the result of the cash outflow of RM56.5 million and RM151.4 million from investing and financing activities respectively and offset by the cash inflows of RM191.4 million from operating activities.

OPERATING ACTIVITIES

CMMT Group's operating net cash inflow for FY 2019 was RM191.4 million, an increase of RM0.5 million over the preceding year. The increase was mainly due to higher changes in working capital from lower cash paid for operating expenses and higher tenants' deposits collected. The higher tenants' deposits collection in FY 2019 was mainly from Gurney Plaza, East Coast Mall and The Mines. The increase was partly offset by lower net property income and lower collection of trade receivables.

INVESTING ACTIVITIES

Net cash used in investing activities for the financial year of RM56.5 million was mainly resulted from a cash outflow of RM2.9 million incurred on plant and equipment and RM56.5 million on AEI works and capital expenditure, including payments for previous years' capital expenditure. The impact of this cash outflow was partly mitigated by interest income of RM2.9 million as a result of active cash management.

FINANCING ACTIVITIES

Net cash used in financing activities for the financial year of RM151.4 million was mainly attributed to income distribution to Unitholders of RM145.1 million, interest paid of RM60.6 million and net drawdown of revolving credit facilities (RCF) of RM54.8 million to finance capital expenditure works during the year. In addition, the outstanding RM300.0 million 3-year unrated and secured MTN which expired on 20 December 2019 has been redeemed through the issuance of a 3.5-year unrated and secured MTN of RM300.0 million which will be maturing on 20 June 2023.

ACCOUNTING POLICIES

The financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards and International Financial Reporting Standards. These financial statements also comply with the applicable disclosure provisions of the Listing Requirements.

INDEPENDENT RETAIL MARKET OVERVIEW



Prepared by: Savills (Malaysia) Sdn Bhd

Date: 14 February 2020

MACROECONOMIC AND DEMOGRAPHIC OVERVIEW

According to the International Monetary Fund (IMF), the global economic growth for the year 2019 has been revised downwards from 3.5% in January 2019 to 3.0% in October 2019. The downward revision is due to the increasing policy uncertainties coupled with risks arising from mounting trade tension and substantial financial market pressure experienced by some of the large emerging markets. Among advanced economies, the weakening has been broad based, affecting major economies such as the United States and Euro area and smaller Asian advanced economies. The slowdown in activity has been even more pronounced across emerging market and developing economies including Brazil, China, India.

According to Bank Negara Malaysia (BNM), the Malaysian economy grew 3.6% in the 4Q 2019 (3Q 2019: 4.4%) driven by higher private sector spending. For 2019 as a whole, the economy registered a growth of 4.3% (2018: 4.7%). The Malaysian economy encountered several external and domestic challenges, which included major policy and political shifts in global trade tensions. Supply disruptions in the mining and agriculture sectors as well as commodity exports unfavorably affected Malaysia's economic performance, resulting in a moderation in growth in 4Q 2019.

Domestic demand continued to anchor growth at 4.9% (3Q 2019: 3.5%), driven mainly by private sector activity. In 4Q 2019, private consumption grew by 8.1% (3Q 2019: 7.0%), anchored by positive income and employment growth. This was supported by continued spending on necessities, such as food and transportation, and leisure-related expenditure such as restaurants and hotels and recreational services.

According to Ministry of Finance (MOF), household spending will continue to be supported by wage growth and favourable employment prospects, especially in the services sector. More job opportunities are expected to be created in the near-term following the increased approved investments of RM353 billion by Malaysian Investment Development Authority (MIDA) between 2018 and September 2019. Furthermore, an upward revision of the minimum wage rate, cash transfers, income tax refund and lower cost of borrowings are expected to

provide additional impetus to the household spending. Additionally, the food and beverage and accommodation subsectors are projected to record a strong growth of 9.2% in 2019 mainly supported by household and tourist spending. The extension of Visa on Arrival (VOA) counters from seven to 13 entry-points nationwide for Chinese and Indian tourists are also anticipated to provide additional stimulus to the growth of the subsector.

The Malaysian labour market continued to remain supportive as the unemployment rate was lower at 3.2% in 4Q 2019 (3Q 2019: 3.3%). It was attributed by the expansion of labour force and also employment growth which was higher at 2.2% (3Q 2019: 2.1%). Private sector wage growth was marginally higher at 3.9% (3Q 2019: 3.8%), mainly supported by the services and manufacturing wage growth, particularly in the wholesale and retail trade and transportation and storage as well as in the food and beverages and tobacco subsectors. A lower wage growth was observed in the electrical and electronics industry. The headline inflation decreased to 1.0% in 4Q 2019 (3Q 2019: 1.3%), due to the lapse in the impact of the SST implementation.

In May 2019, BNM's Monetary Policy Committee decided to reduce the overnight policy rate (OPR) to 3.00% which is the first cut since July 2016. In January 2020, BNM reduced the OPR further to 2.75% as a precautionary measure to secure improving growth trajectory.

For the first nine months of 2019, Malaysia international tourist arrivals and tourist receipts increased by 3.7% and 6.9% year-on-year to 20.1 million and RM66.1 billion respectively. Indonesia, China, India, South Korea and Saudi Arabia were among the markets that recorded strong growth in arrivals. Moving forward, the government's Visit Malaysia 2020 campaign is aimed to spur international tourist arrivals and tourist receipts to 30 million and RM100 billion, respectively.

In view of the Corona Virus Disease (Covid-19) outbreak in January 2020, Malaysian government is maintaining the country's GDP growth forecast at 4.8% in 2020. Notably, the tourism industry will be severely affected by this epidemic – with direct impact likely on airlines, wholesale and retail as well as hotels and restaurants. The Malaysian government has announced that plans are in place to unveil a stimulus package to cushion the impact of the ongoing Covid-19 outbreak, as was similarly launched during the outbreak of the Severe Acute Respiratory Syndrome in 2003.

INDEPENDENT RETAIL MARKET OVERVIEW

Main Economic Indicators, Malaysia

	2014	2015	2016	2017	2018	2019
GDP at Constant 2010 Prices (RM billion)¹						
Malaysia	1,012.5	1,062.8	1,108.2	1,174.3	1,230.9	1,284.2
Kuala Lumpur ²	152.4	160.4	170.0	182.8	195.3	-
Selangor	227.1	240.0	251.6	269.7	288.2	-
Penang	66.2	69.8	73.7	77.6	81.5	-
Pahang	44.0	45.9	46.8	50.4	52.2	-
Real GDP Growth (%)³						
Malaysia	6.0	5.0	4.4	5.7	4.7	4.3
Kuala Lumpur ²	8.0	5.3	6.0	7.4	6.7	-
Selangor	6.7	5.7	4.8	7.1	6.8	-
Penang	8.0	5.5	5.6	5.1	5.1	-
Pahang	4.1	4.4	2.9	7.2	3.0	-
GDP at Current Prices (RM billion)³						
Malaysia	1,106.5	1,176.9	1,249.7	1,371.7	1,446.9	1,510.8
GDP per Capita at Current Prices (RM)³						
Malaysia	36,031	37,739	39,505	42,834	44,679	-
Kuala Lumpur ²	90,464	97,060	103,506	113,182	121,293	-
Selangor	40,536	43,513	45,506	49,013	51,528	-
Penang	42,130	46,020	48,633	51,115	52,937	-
Pahang	29,341	30,754	32,688	35,754	35,554	-
Mean Monthly Household Income⁴						
Malaysia	6,141	6,546	6,958	7,417	-	-
Kuala Lumpur ²	10,629	11,458	11,692	12,651	-	-
Selangor	8,252	8,648	9,463	9,974	-	-
Penang	5,993	6,317	6,771	7,137	-	-
Pahang	4,343	4,604	5,012	5,278	-	-
Domestic Aggregate Demand in Current Prices (RM billion)⁵						
Private Consumption	580.0	635.1	684.7	759.7	830.8	671.2
Private Investment	184.0	198.2	211.5	234.5	245.7	121.3
Public Consumption	147.4	154.0	157.0	167.1	173.0	201.3
Public Investment	103.5	106.3	107.4	109.4	104.6	61.3
Malaysia Retail Trade (RM billion)⁶						
Malaysia Retail Sales Index (2010=100)	136.8	139.8	151.2	163.0	183.3	144.5

1 Department of Statistics:

- 2014-2016 data is based on report published in September 2017: "GDP by States, National Accounts"
- 2017's data is based on data published on Department of Statistic website dated 14 November 2018
- 2018's data is based on report updated in December 2017: "Malaysia Economic Statistics – Time Series 2016 – National Accounts"
- 2019's data for Malaysia is based on 4Q 2019 report released on February 2020: "Quarterly National Account – Gross Domestic Product, Malaysia"

2 Includes WP Putrajaya

3 Department of Statistics:

- Data for 2014-2018 is based on Malaysia @ a Glance
- Data for GDP at Current Prices in 2019 is a sum of four quarters based on 4Q 2019 report released on February 2020: "Quarterly National Account – Gross Domestic Product, Malaysia"
- Real GDP Growth for the whole year 2019 is based on the reported news by Bank Negara Malaysia on the 12th February 2020.

4 Department of Statistics Malaysia: Household Income Survey (HIS) 2014 & 2016, other years are calculated by Savills Research based on the compounded annual growth rates. DOSM has conducted household income survey on January–December 2019. However, the data has yet to be published.

5 Bank Negara Malaysia: 2019's figures are based on 9-months data i.e. 3Q 2019

6 Department of Statistics Malaysia: Performance of Wholesale & Retail Trade which released on 10th February 2020. 2019's figures are based on a 12 months data. Note that data published on December 2019 is a preliminary data.

	2014	2015	2016	2017	2018	2019
Consumer Price Index						
(Average Prices)¹ (2010=100)						
Malaysia	110.5	112.8	115.2	119.5	120.7	119.3
Peninsular Malaysia	110.7	113.2	115.4	120.3	121.5	122.4
Core Inflation² (%)	3.2	2.1	2.1	2.2	1.6	1.3
Consumer Sentiment Index³	94.5	69.6	73.7	82.6	96.8	82.3
Growth Rate (%)	-9.4	-26.3	5.9	12.1	30.1	-
Population ('000)⁴						
Malaysia	30,709	31,186	31,634	32,023	32,382	32,581
Kuala Lumpur	1,737	1,780	1,790	1,793	1,790	1,781
Selangor	6,051	6,178	6,292	6,381	6,475	6,528
Penang	1,678	1,698	1,718	1,744	1,763	1,775
Pahang	1,592	1,608	1,627	1,647	1,665	1,675
Urbanisation Rate⁵ (%)						
Malaysia	71.0	-	-	-	-	-
Kuala Lumpur	100.0	-	-	-	-	-
Selangor	91.4	-	-	-	-	-
Penang	90.8	-	-	-	-	-
Pahang	50.5	-	-	-	-	-
Unemployment Rate⁶ (%)	2.9	3.1	3.4	3.4	3.3	3.2
Overnight Policy Rate⁷ (%)	3.3	3.3	3.0	3.0	3.3	3.0
Base Lending Rate⁸ (%)	6.7	6.8	6.7	6.7	6.9	6.8
Base Rate⁸ (%)	-	3.8	3.7	3.6	3.9	3.8
Tourist Arrivals⁹ (million persons)	27.4	25.7	26.8	26.0	26.1	20.1
Tourist Receipts⁹ (RM billion)	72.0	69.1	82.1	82.2	84.1	92.2

1 Bank Negara Malaysia, 2019's figure for Malaysia and Peninsular Malaysia is the average of 12-months

2 Bank Negara Malaysia, 2019's figure as of December 2019.

3 Global Economic Data, Indicators, Charts & Forecasts (CEIC). The data was sourced from Malaysian Institute of Economic Research (MIER). The data is based on 4Q 2019.

4 Department of Statistics Malaysia: Population Quick Info

5 Department of Statistics Malaysia: Urbanisation rate is as per the 2010 Population and Housing Census.

6 Department of Statistics Malaysia: Quarterly Report of Labour Force Survey, Malaysia released on 7th February 2020, where 2019's figure is based on 4Q 2019.

7 Bank Negara Malaysia: Rate is as of December 2019

8 Bank Negara Malaysia: Effective on 2 January 2015, the Base Rate will replace the Base Lending Rate (BLR) as the main reference rate.

9 Tourism Malaysia: Data for 2019 is based on first three quarters as published in MytourismData Portal

INDEPENDENT RETAIL MARKET OVERVIEW

RETAIL MARKET OVERVIEW

Technological advancement and changing shopping trends are impacting and reshaping the retail market. Malls are becoming increasingly differentiated with store mix, entertainment and food and beverage (F&B) offerings tailor-made to the mall's target shoppers.

In view of the fast-changing consumer and retail trends, malls are undergoing constant upgrades and refurbishment to provide a refreshing level of experience for shoppers. This includes expansion of retail space, improved retail mix and better amenities in pursuit of maintaining shopper traffic, drawing new shoppers and ultimately, staying relevant.

Retail mall owners in the Greater KL are now allocating a higher percentage of their leasable space for experiential elements, particularly in the F&B, entertainment and recreational segments. In Singapore, the retail malls are embracing activity-based tenants in which gyms, health centers and virtual reality arcades are estimated to occupy up to 50% of the mall's retail mix. Additionally, United Arab Emirates is expecting incoming malls to focus mainly on big-box anchors such as cinema theatres, family entertainment, supermarkets or fast fashion retailers.

Retailers have integrated crossovers in their digital and physical stores in an effort to address changing shopper behavior and shifting retail trends. Some fashion brands (such as Neiman Marcus, Ralph Lauren, Lululemon and Rebecca Minkoff) have embraced the omni-channel customer experience, by investing in interactive mirrors where customers can get a 360-degree view of how an outfit looks on them, compare multiple outfits side by side and view a particular outfit in other available colors through the use of augmented reality. Likewise, IKEA has also infused virtual reality (VR) technology to let shoppers visualise furniture in their own home and improve consumer experience in stores via its store app. Key brands such as Nike, Disney and Sephora have also adopted omni-channel retail wholeheartedly.

According to Retail Group Malaysia (RGM), Malaysia retail sales growth for 2019 was projected downwards from 4.4% to 3.7% (2018: 3.9%), following a minimal growth of 1.8% in 3Q 2019. The slower retail sales growth was attributed to the weak internal and external economic environment which has led to a lower consumer expenditure confidence. Nevertheless, the combination of the year-end school holidays, Christmas and Lunar New Year festivities and promotions by retailers are expected to stimulate spending.

The latest data released by the Department of Statistics Malaysia (DOSM) showed that income from e-commerce across all sectors grew 6% per annum between 2015 and 2017 with an increase of nearly RM50 billion in revenue. Nevertheless, according to RGM, online retail sales only accounted for about 2% of the total retail sales in 2018 which is lower compared with China (10.0%), the United States (9.2%) and South Korea (16.3%). This shows that physical malls remain relevant as retailers embraces omnichannel retail strategy to capture customers from both online and offline channels.

Existing & Future Supply

According to the Valuation and Property Services Department, Ministry of Finance, Malaysia (JPPH), Malaysia's total retail stock which includes shopping centres, retail arcades and hypermarkets stand at 176.8 million sq ft as of 3Q 2019, an increase of 2.9% from 3Q 2018.

Kuala Lumpur and Selangor together contribute 40.8% to the total national retail stock while Penang and Pahang stand at 11.0% and 2.5%, respectively. A large percentage of the retail space is located within shopping centres, averaging at 74.1%. The retail space per capita in the nation increased from 5.3 sq ft (2018) to 5.4 sq ft (2019). The large impending supply of retail space presents a more competitive retail environment in the coming years especially in the major cities of Malaysia. The total future retail supply in the country is estimated to be 27.5 million sq ft.

Shopping Centre Stock in Malaysia as at 3Q 2019

State	No. of Properties	Total Space (sq ft)	% of Total Space in Malaysia
WP Kuala Lumpur	69	27,142,283	20.7
WP Putrajaya	2	889,787	0.7
WP Labuan	1	280,540	0.2
Selangor	84	28,877,305	22.1
Johor	69	18,591,074	14.2
Penang	41	12,943,837	9.9
Perak	36	5,949,929	4.5
Negeri Sembilan	30	3,425,073	2.6
Melaka	21	4,250,083	3.2
Kedah	37	4,881,353	3.7
Pahang	25	3,988,703	3.1
Terengganu	9	811,835	0.6
Kelantan	8	2,133,330	1.6
Perlis	4	237,990	0.2
Sabah	39	6,810,137	5.2
Sarawak	66	9,795,892	7.5
Malaysia	541	131,009,151	100.0

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Per Capita Retail Stock and Shopping Centre Stock in Malaysia and Selected States

	Malaysia	Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (sq ft) ¹	176,798,995	33,719,747	38,372,335	19,528,944	4,436,449
Shopping Centre Stock (sq ft) ¹	131,009,151	27,142,283	28,877,305	12,943,837	3,988,703
Shopping Centre Stock as a % of Retail Stock (%)	74.1	80.5	75.3	66.3	89.9
Retail Stock per capita (sq ft)	5.4	18.9	5.9	11.0	2.6
Shopping Centre Stock per capita (sq ft)	4.0	15.2	4.4	7.3	2.4

Source: Valuation and Property Services Department (JPPH), Ministry of Finance

¹ Data as at 3Q 2019

INDEPENDENT RETAIL MARKET OVERVIEW

Greater Kuala Lumpur

In 2019, four new malls opened in Greater Kuala Lumpur, with 1,794,433 sq ft of total retail space. Comparatively, seven new malls opened in 2018, with a retail space contribution of 2,090,384 sq ft. The new completions are the Star Boulevard Signature Retail, Retail @ The Exchange 106, Retail @ Pacific Star and the Central i-City. Greater KL continued leading the pack in the Malaysia retail industry, and more new malls are in the pipeline amid the soft market sentiment. We estimate approximately 7,793,141 sq ft and 7,135,022 sq ft of new retail space will be added to the existing stock of the Kuala Lumpur and Selangor regions respectively by 2022. Significant future malls are the Empire City Mall (2,300,000 sq ft) and The Exchange TRX (1,350,000 sq ft) that are scheduled for completion in 2020 and 2021, respectively. Majority of the other retail developments that are scheduled for completion by end-2020 are located in Selangor. This includes KIP Mall Sungai Buloh (200,000 sq ft), KL East Mall (348,000 sq ft), Tropicana Gardens Mall (1,000,000 sq ft), Retail Podium @ Datum Jelatek (317,000 sq ft), Setia City Mall Phase 2 (700,000 sq ft), KSL Esplanade Mall (650,000 sq ft) and Quayside @ Twentyfive.7 (328,000 sq ft). In Kuala Lumpur, only the Retail Podium @ Conlay (120,000 sq ft) is scheduled for completion in 2020.

Penang

Recent completions in Penang are limited to IKEA Batu Kawan (430,030 sq ft). Sunway Carnival Mall New Wing (300,000 sq ft) and Penang Sentral Phase 2 (500,000 sq ft) are scheduled for completion in 2020 and 2022, respectively. Other retail developments in the pipeline comprise Gem Megamall (1,000,000 sq ft) while retail developments under the planning phase include Penang Times Square Phase 3 & 4 (NLA not available at print time), Southbay Plaza (750,000 sq ft), Sunshine Central (900,000 sq ft), Penang International Commercial City (NLA not available at print time), The Light Waterfront Mall (866,871 sq ft), The Light Mix Commercial Mall (497,400 sq ft), Penang World City (NLA not available at print time) and Sunway Valley City (NLA not available at print time) which are located in Penang Island with Ikano Batu Kawan Shopping Centre (750,000 sq ft) being on the mainland.

Pahang

There were no new completions in Kuantan in 2019, due to construction delays. Retail developments scheduled for completion include Complex KWRC Phase 1 in 2020, KIP Mall Indera Mahkota (145,000 sq ft) in 2021 and AEON Mall (700,000 sq ft) in 2022.

Future Supply of Retail Space in Shopping Centres in Selected States

Location	Future Shopping Centre Stock ('000 sq ft) ¹ 2020-2022	Future Shopping Centre Supply
Kuala Lumpur	7,793	2020: Retail Podium @ 8 Conlay 2021: Pavilion Bukit Jalil, Warisan Merdeka Mall, The Exchange TRX, Pavilion Damansara Heights, Mitsui Shopping Park Lalaport, Mall @ The Loft Maju KL, Fiesta Walk @ The Era Duta North 2022: KLCC Lot 167(K), Sky Mall @ M101 Skywheel, KLCC Lot L, L1, M
Selangor	7,135	2020: Empire City Mall Phase 1 & 2, KIP Mall, KL East Mall, Tropicana Gardens Mall, Retail Podium @ Datum Jelatek, Setia City Mall Phase 2, KSL Esplanade Mall, Quayside @ Twentyfive 7 2021: IOI City Mall 2, Mitsui Outlet Park KLIA Phase 3
Penang	800	2020: Sunway Carnival Mall New Wing 2021: Gem Megamall 2022: Penang Sentral - Phase 2
Pahang	1,077	2020: Complex KWRC - Phase 1 2021: KIP Mall Indera Mahkota 2022: AEON Mall

Source: Savills Research

¹ Shopping centre stock indicates the net lettable area (NLA) of malls.

Stock & Occupancy

Total available retail space and occupied retail space in Malaysia increased by 2.9% and 3.4%, respectively in 3Q 2019, compared with the same period last year. The nation-wide occupancy rate of retail space increased slightly to 79.5% in 3Q 2019 from 79.1% in 3Q 2018. Moving forward, occupancy rates are expected to decline

as the market would be seeing an influx of supply. Existing malls will face challenges with competition from new malls. However, favorable demographics and stable economic growth have attracted the entry of many new international brands which will continue to generate significant positive factors for the sustainability of the Malaysian retail market.

Occupancy Rates of Retail Space in Malaysia as at 3Q 2019

State	Total Space ¹ (sq ft)	Occupied Space (sq ft)	Occupancy Rate (%)
WP Kuala Lumpur	33,719,747	28,083,876	83.3
WP Putrajaya	925,911	763,806	82.5
WP Labuan	306,018	298,268	97.5
Selangor	38,372,335	31,873,200	83.1
Johor	25,221,109	19,341,221	76.7
Penang	19,528,944	14,045,705	71.9
Perak	10,294,809	8,637,707	83.9
Negeri Sembilan	6,413,993	4,538,814	70.8
Melaka	6,416,038	4,503,939	70.2
Kedah	6,330,142	4,922,009	77.8
Pahang	4,436,449	3,194,295	72.0
Terengganu	1,727,929	1,199,852	69.4
Kelantan	3,922,473	3,618,393	92.2
Perlis	601,379	601,379	100.0
Sabah	8,133,095	6,582,232	80.9
Sarawak	10,448,625	8,365,488	80.1
Malaysia	176,798,996	140,570,184	79.5

Source: Valuation and Property Services Department (JPPH), Ministry of Finance

CAPITAL VALUES

The Malaysia retail investment market has been less buoyant recently as a result of weak market sentiment and intensifying competition within the retail industry. Following a quiet 2018, the Greater KL retail investment market only recorded RM1.4 billion (RM1,678 per sq ft) worth of investment value in one transaction in 2019. In terms of per sq ft basis, it is apparent that transaction price for retail malls outside Greater KL was transacted much lower between RM390 per sq ft and RM570 per sq ft. Based on historical mall transactions, the capital values and yields have varied widely, primarily due to the effects of location factors.

SHOPPING CENTRE OWNERSHIP

In terms of ownership, the retail market in Malaysia is extremely fragmented. The vast majority of retail assets are independently owned (either by developers or funds), with only a few larger national players with portfolios of multiple assets.

¹ Retail stock includes shopping centres, arcades and hypermarkets.

INDEPENDENT RETAIL MARKET OVERVIEW

Capital Values from Shopping Centre Transactions from 2015 to 2019

Property	Year	NLA (sq ft)	Transaction Price (RM mil)	Capital Value (RM psf)	Purchaser
Mydin Hypermall Bukit Mertajam	2015	536,507	250.0	466	AmFirst REIT
Tropicana City Mall and Office Tower ¹	2015	549,494	540.0	983	CMMT
Mydin Seremban 2	2015	430,595	240.0	557	Amanah Harta Tanah PNB
da:men ²	2015	420,290	488.0	1,159	Pavilion REIT
The Intermark Mall	2015	225,014	160.0	711	Pavilion REIT
1Segamat Shopping Complex	2016	223,439	104.0	465	Hektar REIT
AEON Mall Seremban 2	2016	372,807	215.0	577	AEON REIT Investment Corp.
Empire Shopping Gallery ⁵	2017	350,000	570.0	1,629	Pelaburan Hartanah Berhad
Aeon Mahkota Cheras Shopping Centre	2017	211,405	87.8	415	Foremost Wealth Management Sdn Bhd
Elite Pavilion Mall ⁶	2017	241,929	580.0	2,397	Pavilion REIT
SSTwo Mall (vacant)	2018	460,000	180.0	391	DK-MY Properties Sdn Bhd
AEON Kinta City ⁷	2018	530,181	208.0	392	KIP REIT
Pavilion Bukit Jalil ⁸	2019	1,800,000	1,480	1,678	Regal Path Sdn Bhd
1 st Avenue Penang ⁹	2019	407,076	153.0	375	Ideal Group Berhad

Source: Savills Research, REIT prospectuses and annual reports, and published news source.

- 1 The purchase includes a four (4) storey shopping mall (448,248 sq ft NLA) and the car park (comprising 1,759 car park bays) and a twelve (12) storey Tropicana City Office Tower (101,246 sq ft NLA). Tropicana City Mall has since been renamed as 3 Damansara.
- 2 The purchase includes a five (5) storey shopping mall of approximately 420,920 sq ft of NLA and two (2) levels of basement car park with 1,672 bays.
- 3 The purchase includes a six (6) storey shopping mall of approximately 225,014 sq ft of NLA and five (5) levels of basement car park with 367 bays.
- 4 The purchase includes a three (3) storey shopping mall of approximately 223,439 sq ft NLA and the car park rights to operate and maintain a car park operation on Lot 236.
- 5 The purchase includes a call option to buy back the shopping mall after five years from the date of purchase, and the seller has the first refusal to buy the mall should PHB decide to dispose of it within five years.
- 6 The purchase includes Elite Pavilion Mall (229,609 sq ft of NLA), extension-connections (9,380 sq ft of NLA), subway linkage (2,940 sq ft of NLA) and 50 car park bays located at Level B3 to Level 2 of the said building.
- 7 The purchase includes a four (4) storey shopping mall of approximately 530,181 sq ft of NLA.
- 8 Malton Berhad reported disposing of its 49% stake in Pavilion Bukit Jalil Mall for RM1,480,000,000 cash. The five (5) storey shopping mall is approximately 1,800,000 sq ft.
- 9 The purchase includes six (6) storey shopping mall of approximately 407,076 sq ft of NLA.

MARKETING AND PROMOTIONS

PORTFOLIO-WIDE ACTIVITIES

In 2019, CMMT's portfolio-wide marketing activities continued to focus on building shopper and tenant loyalty through customer-centric experiences and rewards through CapitaStar platform. Through these activities, we aim to further increase our shopper traffic and enhance tenants' sales.

CapitaStar

CapitaStar is CapitaLand's multi-store, multi-mall loyalty initiative that offers shoppers with additional benefits over and above existing credit card and store rewards. All CMMT malls participate in this card-less loyalty programme.

GURNEY PLAZA

Fashion Redefined

May

Gurney Plaza's Central Atrium was transformed into a fashion runway for three days; offering the ultimate fashion experience for our shoppers. With the black and white chess theme, models presented the latest fashion from brands such as JD Sports, Bonia, Warehouse, Dorothy Perkins, Miss Selfridge, Dennie Yeap Tokyo and TSL. For the finale event, talented students from Equator College showcased their designs with the theme of 'Through the Looking Glass'.

Kota Raya Gurney

May

With the nostalgic theme of Kota Raya Gurney, which portrayed a harmonious blend of heartwarming celebrations filled with fun and happiness; the central heart of the mall was transformed back in time into a charming small town in Penang back in the 70s era. Raya festive booths were stationed around, including an old grocery store, tailor and a barber shop. The Panggung

In conjunction with the CapitaStar's anniversary celebration in November, new members were rewarded with additional 50 STAR\$ with specific promo code upon downloading the mobile application. Tapping on the year-end festive shopping, new CapitaStar members that shopped and scanned the first valid receipt during the campaign period from 1 November – 31 December 2019 were rewarded with additional 50 STAR\$ over and above the existing rewards. Aside that, there were a total of seven lucky winners that were awarded with prizes worth approximately RM20,000.

Wayang Gurney (cinema) featured an exciting line-up of programmes and performances such as joget, wayang kulit, angklung and Raya Live Band to entertain the shoppers and tourists alike.

Mickey Go Local

August

Mickey & Friends were on an adventure to discover their favourite sights and sounds all around Malaysia. Each pitstop represented the diverse and unique parts of each state, accompanied with classic Disney characters, throughout the journey. These included Penang's vivid shophouses, Kuantan's tranquil beaches, Johor's passion for soccer and a trishaw ride in the bustling Kuala Lumpur. Plenty of photo-taking opportunities, interactive experiences and traditional games were open to shoppers. A meet and greet with Mickey Mouse himself, in particular, brought smiles to all.

TSL Exquisite Jewellery Preview with Chilam Cheung

Hong Kong singer-actor Julian Cheung, or better known by his stage name, Chilam, made a special appearance



MARKETING AND PROMOTIONS

at the TSL Jewellery outlet in Gurney Plaza much to the delight of a sea of adoring fans. Chilam's appearance was the highlight of TSL's 'The Expressions of Love' private party held to appreciate loyal customers and showcase its latest collections. He also participated in a special in-store workshop titled 'The Art of TSL - Discover the Exquisite TSL Craftsmanship' led by a master artisan.

Boba Festival October

With the bubble milk tea craze growing around the world, Gurney Plaza jumped on the bandwagon and

organised the first Boba Festival in October 2019. There were more than 20 participating outlets, including food trucks, which took part in the three-day festival. Aside the wide variety of drinks available, visitors also enjoyed a wide selection of boba-inspired food and desserts. Other activities included workshops, live performances and a cooking demonstration to the delight of shoppers.

EAST COAST MALL

Various Cartoon Movies' Tie-Ups

Throughout 2019, the mall collaborated with Golden Screen Cinemas to bring cartoon movie characters and organise activities to excite shoppers. The shoppers, especially their children, had a fun time at the cartoon booths and enjoyed the mascots' walkabout. They also took part in the on-ground activities such as games which entitled them to win movie merchandises from Upin & Ipin: Keris Siamang Tunggal; Toy Story 4; Boboiboy Movie 2; The Angry Birds Movie 2; and Ejen Ali: The Movie.

Seindah Tradisi Aidilfitri May

The festive Hari Raya celebrations employed a traditional theme with "Anyaman" and "Tenunan" handicraft elements in the mall decorations. An old traditional open concept wooden house was built at the main concourse with the display of various "Anyaman" and "Tenunan" items. The shoppers also enjoyed shopping at the Ramadhan Bazaar with its wide selection of traditional Malay fashion, Raya cookies and other related accessories together with exclusive Raya packet redemptions and traditional performances throughout the month-long celebration.



Disney Mickey Go Malaysia

Disney Mickey Go Malaysia September

East Coast Mall collaborated with Disney to organise Mickey Go Malaysia - Jom Jalan-jalan with Mickey and

Friends from 29 August 2019 to 16 September 2019. Shoppers enjoyed the road tour by exploring the famous shophouses in Penang, visit up the tranquil beaches in Kuantan with Donald Duck, celebrating the Johorean's

passion for soccer with Goofy, and finally – jumping onto a trishaw ride with Daisy Duck in exploring streets of Kuala Lumpur. Shoppers also enjoyed the interactive experiences which included traditional games, sending a postcard from one of the stops and enjoyed Mickey Go Malaysia products. The Mickey Mouse Meet & Greet session received overwhelming response from the shoppers and CapitaStar members were also eligible to redeem a limited-edition Mickey Go Malaysia Tote Bag.

Enchanting Christmas December

The centre atrium was transformed into whimsical white Christmas complete with a beautiful log cabin surrounded by Christmas trees and a snowman. Shoppers had a chance to experience the warm and joyous festive feeling with exciting dance performances and Santa & Santarina appearances.

SUNGEI WANG - JUMPA



Jumpa Soft Opening September

Jumpa @ Sungei Wang, the revitalised annex block, was unveiled at end-September 2019. In conjunction with its soft opening, a month-long Shop and Win campaign with total prizes worth RM25,000 was held and this garnered more than 3,700 entries. About 20 lucky shoppers took home exclusive and limited edition merchandises, gold and jewellery sets.

A Day Out at Jumpa November

More than 30 members from various social media pages and influencers were invited to experience Jumpa through a curated tour in November. The highlight of the tour was to showcase the latest tenants including a sneak preview of the mini-anchors – Beast Park and MinNature.

Tourists-centric Initiatives

Various initiatives were organised to attract tourists to be re-acquainted with Sungei Wang following the opening of Jumpa. Guests from the surrounding hotels around Sungei Wang were able to enjoy special discounts/rates from Jumpa's participating outlets.

Museum of Lost Love November

A one of a kind museum which exhibits more than 100 mementos derived from broken relationships, the Museum of Lost Love, curated by the China Museum of Broken Hearts, attracted the attention of more than 16,000 curious shoppers to date. The Museum of Lost Love will be held until end of March 2020.

MARKETING AND PROMOTIONS

3 DAMANSARA



Earth Hour Campaign March

3 Damansara launched a "Say No to Plastic Bags" campaign in conjunction with Earth Hour. With a minimum spend of RM30 in a single receipt along with any tote bags, shoppers could redeem RM50 vouchers from TBM. Aside that, shoppers were also able to redeem an exclusive tote bag with a minimum spend of RM80 in a single receipt.

The eRacing Grand Prix SEA August - September

The first stimulator racing championship in Malaysia, The eRacing Grand Prix, SEA was held at 3 Damansara. The event served as an opportunity for potential virtual racers to showcase their skills on the big screen. The top 45 virtual drivers competed in the semi-finals leg and only 5 drivers made it to the finals. The event was hosted by former Malaysian F1 driver, Alex Yoong, who is the key person in driving the e-sports racing initiative.

Designer Black Market August

The Designer Black Market was part of a campaign to showcase the creative presentation of art students from KDU College while the mall collaborated with

Zoo Negara to increase awareness on the importance of nature preservation. Many activities were carried out to cater to the young and family shoppers including a mini petting zoo.

Shopify Creators' Market September

Global e-commerce platform Shopify, in partnership with payment gateway Paypal and Malaysian full-stack digital agency Meekco.Asia hosted its inaugural Shopify Creators' Market at 3 Damansara where participating merchants can engage with shoppers.

Taylor Swift: Lover Experience October

A collaboration with Universal Music Malaysia, the first Taylor Swift pop-up store with exclusive merchandise was held at the mall's concourse in conjunction with the release of the singer's latest album. Shoppers and 'Swifties' (as how her fans are known) alike participated in the various games and activities that were held. The design of the pop-up booths and photobooths were inspired from the singer's music video. Shoppers were also entertained by local artistes DOLLA Girls & Cassidy La Crème, Billa Najmi and Daiyan Trisha.

Fangtastic OctoBeer October

In conjunction with OctoberFest and Halloween, Fangtastic OctoBeer was organised over two weekends. Besides enjoying the scrumptious food and offerings from participating tenants, shoppers also joined in the activities and games that took place at the Piazza. There were also live band performances from local bands that kept shoppers entertained.

What the Frappe! October

What the Frappe! Is a showcase of artisan coffee brands, products and various workshops and activities which centred around coffee. The mall's concourse was transformed into a 'chillax' area where visitors and shoppers can savour free coffee sampling and get educated on coffee beans/types/roasts. The key highlights were the coffee painting and the Latte Art Throwdown competition while henna painting was offered on a complimentary basis to shoppers in conjunction with Deepavali.

THE MINES

School Holiday Carnival March

The mall's centre court was transformed into an indoor fun fair in conjunction with the school holidays. A giant carousel and a variety of games' booths attracted the family crowd of shoppers. An interesting line-up of activities included meet-and-greet session with famous Upin & Ipin mascots that was held in conjunction with the self-titled movie release.

M-Kidz Club Launching Party July

There is now a special club for kids who visit The Mines with the launch of M-Kidz Club at The Mines. Targeted at children aged 12 years and below, the club was initiated to encourage spending of quality time for families. There are various activities held for members

ranging from thematic workshops, exciting contests to games every weekend.

My.Reka Shoes Design 2019 and Music Festival August - September

In conjunction with Merdeka Day and Malaysia Day celebrations, The Mines organised Malaysiaku Celebration to share and promote our local culture through food and music. At the same time, the My.Reka Shoes Design 2019 competition was held to unleash the creativity of more than 80 artistic talents who were tasked to design a pair of canvas shoes with the colours found in the national flag.

There was also a music festival to liven up the month-long celebration aimed to promote local talents and foster solidarity. Popular local artistes such as Khai Bahar, Naim Daniel, Bunkface, Izzue Islam and Jieying Tha were among the talents performing along the canal to the delight of shoppers.



My.Reka Shoes Design 2019

PROPERTY SUMMARY

	Gurney Plaza	East Coast Mall
Gross Floor Area (sq ft)	1,253,314	1,033,848 ¹
Net Lettable Area (sq ft)	871,969	466,542
Number of Committed Leases	404	213
Committed Occupancy (%)	99.8	99.5
Car Park Lots	1,836	1,101
Year of Completion	2001 ²	2008
Acquisition Price (RM mil)	1,015 ³	310
Market Value / Net Book Value ⁴ (RM mil)	1,665	577
Gross Revenue (RM mil)	152.5	63.9
Net Property Income (RM mil)	108.6	42.4
Shopper Traffic (mil)	17.1	10.1
Key Tenants	Parkson Elite, Mercato, Golden Screen Cinemas, Marks & Spencer, JD Sports, Uniqlo, Padini Concept Store, Popular, MPH, Peak Fitness, Red Box, Rolex, Longines, Omega, Bell & Ross, Montblanc, Tag Heuer, Hugo Boss, Stuart Weitzman, Chanel Beaute, YSL Beaute, La Mer, Furla, Coach, AIX Armani Exchange, Sacoor Brothers, Swarovski, Topshop Topman, BritishIndia, Ippudo Ramen + Bar, Canton-i, Dragon-i, Din Tai Fung, Ho Min San, Starbucks Reserve.	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, Fossil, BritishIndia, Lovisa, L'Occitane, Mr. D.I.Y., Daiso, Starbucks, Oiso Korean Traditional Cuisine and Cafe, 4Fingers Crispy Chicken, Switch, JD Sports, HLA, Max Fashion, Navy & Navy, Laneige, Baby Shop, COCO, Secret Recipe, Old Town White Coffee

Data as at 31 December 2019 unless otherwise stated.

Gross revenue, net property income and annual shopper traffic were for the financial year ended 31 December 2019.

¹ Includes the car park area as gross floor area is defined by the requisite authorities in Kuantan to be inclusive of the car park area.

² The completion of Gurney Plaza and Gurney Plaza Extension was in 2001 and 2008 respectively.

³ Equals to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.

⁴ Equals to carrying value.

	3 Damansara	Tropicana City Office Tower	
Sungei Wang	Collectively known as 3 Damansara Property		The Mines
511,103 ¹	639,477	129,630	1,150,798
412,916	467,141	101,258	724,865
230	152	9	295
82.0		92.8	90.5
1,298		1,759	1,282
1977	2008	2009	1997
724		540	530
538		540	715
25.4	36.7	6.7	57.0
0.9	16.0	4.5	29.6
12.9	6.7	-	9.9
Giant, MinNature, Beast Park, Mr. D.I.Y., Anta Sports, Skechers, Outside, PUMA, Love, Bonito, Dodo Dim Sum & Bowls, Torisho, Yi Poh Restaurant, SRK Noodles House, Juan Valdez, hoco., F.O.S, CMY Audio, KFC	AEON Big, Oliver Gourmet, Golden Screen Cinemas, Essence Fitness, Ace Hardware, TBM, Uniqlo, Cotton On, Kingdom Palace Restaurant, Huawei, Sport Planet, Mr. D.I.Y., All Day by Union Roastery, Burger King, Mu Tong Yu Steamboat, Honey Bunny	Tropicana Golf and Country Resort Berhad, CGS-CIMB Securities Sdn. Bhd.	Oliver Gourmet, TGV Cinemas, Celebrity Fitness, Sport Planet, Uniqlo, YFS, Dees, Mr. D.I.Y., SSF, Ace Hardware, SenQ, Tewah, Daiso, Mr. Toy, Olympic Kids Club, Starbucks, Secret Recipe, Nando's, Sakae Sushi, Go Noodle House, Mines Cruise

¹ Equals to 47,483 sq m, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang.

PROPERTY DETAILS

GURNEY PLAZA

Strategically located along the popular Gurney Drive promenade in Penang, Gurney Plaza is situated in one of the prime real estate areas in the island. Opened in July 2001, Gurney Plaza has undergone regular asset upgrading initiatives and today, it is widely recognised as the leading premier lifestyle shopping mall in Northern region and the preferred destination for shopping, dining and entertainment under-one roof catering to both locals and tourists.

Gurney Plaza is a nine-storey shopping mall with nine floors of retail space, two basement levels and five levels of multi-storey car park spaces. As it is Penang's premier shopping mall, it houses various well-known brands for shopping, dining and entertainment.

Anchored by the first Parkson Elite and Mercato in the Northern region, Gurney Plaza also carries a wide range of well-established international brands including Rolex, Coach, Hugo Boss and JD Sports. With several popular award winning restaurants including Din Tai Fung and Ippudo Ramen + Bar, there are also new to market F&B brands such as Starbucks Reserve, Hoshino Coffee Japan and Ho Min San.

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www.gurneyplaza.com.my

Gurney Plaza - Property Information

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang
Net Lettable Area (sq ft) (as at 31 December 2019)	871,969
Number of Committed Leases (as at 31 December 2019)	404
Committed Occupancy (%) (as at 31 December 2019)	99.8
Car Park Lots	1,836
Market Valuation (RM mil) Conducted by Savills (Malaysia) Sdn. Bhd. (as at 31 December 2019)	1,665
Gross Revenue (RM mil) (for FY 2019)	152.5
Net Property Income (RM mil) (for FY 2019)	108.6
Shopper Traffic in 2019 (mil)	17.1
Key Tenants	Parkson Elite, Mercato, Golden Screen Cinemas, Marks & Spencer, JD Sports, Uniqlo, Padini Concept Store, Popular, MPH, Peak Fitness, Red Box, Rolex, Longines, Omega, Bell & Ross, Montblanc, Tag Heuer, Hugo Boss, Stuart Weitzman, Chanel Beaute, YSL Beaute, La Mer, Furla, Coach, A X Armani Exchange, Saco Brothers, Swarovski, Topshop Topman, BritishIndia, Ippudo Ramen + Bar, Canton-i, Dragon-i, Din Tai Fung, Ho Min San and Starbucks Reserve.

Gurney Plaza - Lease Expiry Profile
(as at 31 December 2019)

Tenant	% of Gross Rental Income	% of Net Lettable Area
2020	50.7	61.7
2021	27.7	20.5
2022 and beyond	21.6	17.8

Gurney Plaza – Trade Sector Analysis
(as at 31 December 2019)

Trade Sector	% of Gross Rental Income	% of Net Lettable Area
Fashion/Accessories	34.2	22.3
Food & Beverage	17.8	13.2
Beauty/Health	13.8	9.4
Services	3.2	1.9
Departmental Store	7.3	19.2
Leisure & Entertainment/Sports & Fitness	8.1	12.3
Electronics/I.T.	5.5	5.2
Supermarket/Hypermarket	1.3	2.7
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	5.2	7.3
Houseware/Furnishings	3.0	5.3
Others	0.6	1.2

Gurney Plaza – Title Particulars

Title¹	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town Daerah Timor Laut, Negeri Pulau Pinang
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land comprised in the title: > shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and > subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and > the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).

¹ The title HS(D) 17259 Lot 5626 is one of the sub-divided titles resulting from a sub-division application for the master title Geran 97112, Lot 2903 and the financing documentation for Gurney Plaza makes reference to this master title. The adjacent landscape park is on another subdivided title which was HS(D) 17261 Lot 5628 which is now under a final title Geran 130393 Lot 5628.

PROPERTY DETAILS

Gurney Plaza – Title Particulars

Encumbrances²

There was a lease of part of the land in favour of Parkson Corporation Sdn. Bhd. (Company No. 157029-X) registered on 13 October 2004 via presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016 that remains endorsed on the title.

There is a charge on the land in favour of Public Bank Berhad (Company No. 6463-H) vide presentation no. 0799SC2011034916 registered on 5 October 2011.

Endorsements

Transfer of ownership by Gurney Plaza Sdn Bhd (Company No. 141240-K) to AmTrustee Berhad (Company No. 163032-V) registered on 5 October 2011 vide presentation no. 0799SC2011034910.

An easement in favour of Gurney Plaza over the vehicle ramp of G Hotel to enable, among other things, the visitors of Gurney Plaza to use the vehicle ramp for the purpose of accessing Basements 1 and 2 of Gurney Plaza.

An easement in favour of Gurney Plaza over part of Basement 2 of G Hotel to enable the owner of Gurney Plaza access to the exhaust fan room located on Basement 2 of G Hotel.

An easement in favour of G Hotel over part of Basement 2 of Gurney Plaza to enable G Hotel access to its car parks on Basement 2 of Gurney Plaza.

An easement in favour of G Hotel over part of the al-fresco area located between Gurney Plaza and G Hotel.

An easement in favour of Gurney Plaza in respect of the roadway along the main entrance of G Hotel fronting Gurney Drive.

An easement in favour of G Hotel in respect of the roadway along the main entrance of Gurney Plaza fronting Gurney Drive.

An easement in favour of G Hotel over part of the landscape park to allow the use of buggies, carts, trishaws or similar conveyances through over and along part of the landscape park for the purpose of ferrying guests, employees, luggage, baggage and the like to and from G Hotel.

An easement in favour of the landscape park over the driveway of Pine and Maple Towers for the purpose of access to and from the landscape park.

Change of name registered on 20 March 2017 vide presentation no. 0799B2017002419 from AmTrustee Berhad to MTrustee Berhad.

² The encumbrances pertain to the title HS(D) 17259 Lot 5626. The title Geran 130393 Lot 5628 is unencumbered.

EAST COAST MALL

East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. It is a modern family lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel, Menara Zenith as well as the Sultan Ahmad Shah International Convention Centre. It is also walking distance from other local attractions and amenities such as the Darul Makmur Stadium and the Urban Transformation Centre, Kuantan.

East Coast Mall is a four-storey shopping mall with one level of basement and car parks located on the rooftop, third floor, ground and basement levels. With an established mix of domestic and international retailers, East Coast Mall is the market leader in Kuantan. Besides local patronage, the mall also attracts shoppers from towns within the neighbouring states of Terengganu and Kelantan, and tourists visiting the east coast of Peninsular Malaysia.

Anchored by departmental store Parkson and hypermarket AEON Big, East Coast Mall offers a wide range of shopping, dining and entertainment options.

Contact details:

Centre Management Office
Lot L3-01A, Level 3
Jalan Putra Square 6, Putra Square
25200 Kuantan
Pahang Darul Makmur, Malaysia
Tel: +60 9 565 8688
Fax: +60 9 565 8699
www.eastcoastmall.com.my

East Coast Mall - Property Information

Title	H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Net Lettable Area (sq ft) (as at 31 December 2019)	466,542
Number of Committed Leases (as at 31 December 2019)	213
Committed Occupancy (%) (as at 31 December 2019)	99.5
Car Park Lots	1,101
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2019)	577
Gross Revenue (RM mil) (for FY 2019)	63.9
Net Property Income (RM mil) (for FY 2019)	42.4
Shopper Traffic in 2019 (mil)	10.1
Key Tenants	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, Fossil, BritishIndia, Lovisa, L'Occitane, Mr. D.I.Y., Daiso, Starbucks, Oiso Korean Traditional Cuisine and Cafe, 4Fingers Crispy Chicken, Switch, JD Sports, HLA, Max Fashion, Navy & Navy, Laneige, Baby Shop, COCO, Secret Recipe and Old Town White Coffee.

PROPERTY DETAILS

East Coast Mall - Lease Expiry Profile (as at 31 December 2019)

Year	% of Gross Rental Income	% of Net Lettable Area
2020	52.0	62.3
2021	28.7	26.0
2022 and beyond	19.3	11.7

East Coast Mall - Trade Sector Analysis (as at 31 December 2019)

Trade Sector	% of Gross Rental Income	% of Net Lettable Area
Fashion/Accessories	40.6	27.3
Food & Beverage	18.8	11.4
Beauty/Health	9.2	4.5
Services	4.4	1.6
Departmental Store	7.7	22.5
Leisure & Entertainment/Sports & Fitness	7.6	12.9
Electronics/I.T.	4.5	2.3
Supermarket/Hypermarket	2.4	10.6
Gifts/Specialty/Hobbies/Toys/Lifestyle	3.1	3.5
Houseware/Furnishings	0.8	1.6
Others	0.9	1.8

East Coast Mall – Title Particulars

Title	H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used as a commercial building only.
Encumbrances	Nil
Endorsements	Transfer of land by Pasdec Corporation Sdn Bhd (Company No. 55031-P) to MTrustee Berhad (Company No. 163032-V) registered on 25 October 2011 vide presentation no.9818/2011. Change of address from Tingkat 22, Bangunan Ambank Group, 55, Jalan Raja Chulan, 14 to B-2-9 (Aras 2), Pusat Perdagangan Kuchai, No. 2, Jalan 1/127, Off Jalan Kuchai Lama, 14 registered on 29 November 2016 vide presentation no. 4036/2016. Revision of quit rent from RM 38,910 to RM94,692 according to Section 101 of the National Land Code starting 1 January 2020.

SUNGEI WANG

Sungei Wang, which translates as ‘the river of gold’, opened in 1977. It is one of the most popular shopping centres in Kuala Lumpur’s prime shopping and commercial precinct – the ‘Golden Triangle’ – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

A one-stop shopping centre ‘for all kinds of everything’, Sungei Wang is also well-known for its unique blend of specialty stores and entertainment outlets that appeals to the mass market. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists.

Sungei Wang is an 11-storey retail shopping centre with two basement levels and two elevated levels of car park. The level 5 car park is currently being occupied by Blastacars Malaysia, an indoor kart drifting operator.

At end-September 2019, a new and vibrant energetic lifestyle zone known as Jumba was unveiled to shoppers upon the completion of the RM52.2 million asset enhancement initiative to reconfigure the annex space offering a fresh retail experience with a focus catering to the young and young-at-heart shoppers.

Jumba offers a wide range of retail, food and beverage, and family entertainment options.

Contact details:

Centre Management Office¹
Lot No. 6F-111, Level 6 (SWP Box No. 129)
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
Tel: +60 3 2117 0288
Fax: +60 3 2117 0388
www.sungeiwang.com

Sungei Wang - Property Information²

Title	205 parcels, each with individual strata title, in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ³
Net Lettable Area (sq ft) (as at 31 December 2019)	412,916
Number of Committed Leases (as at 31 December 2019)	230
Committed Occupancy (%) (as at 31 December 2019)	82.0
Car Park Lots	1,298
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2019)	538
Gross Revenue (RM mil) (for FY 2019)	25.4
Net Property Income (RM mil) (for FY 2019)	0.9
Shopper Traffic in 2019 (mil)	12.9
Key Tenants	Giant, MinNature, Beast Park, Mr. D.I.Y., Anta Sports, Skechers, Outside, PUMA, Love, Bonito, Dodo Dim Sum & Bowls, Torisho, Yi Poh Restaurant, SRK Noodles, Juan Valdez, hoco., F.O.S, CMY Audio and KFC.

¹ Centre Management Office for CMMT's 205 strata parcels only.

² All information in this table and pertaining to the lease expiry profile, top 10 tenants and trade sector analysis pertain to CMMT's interest in Sungei Wang. The strata titles to Sungei Wang have been issued and the management corporation, Sungei Wang Plaza Management Corporation, is responsible for the maintenance and management of common areas within Sungei Wang, as well as mall- specific marketing and events.

³ The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang).

PROPERTY DETAILS

Sungei Wang - Lease Expiry Profile

(as at 31 December 2019)

Tenant	% of Gross Rental Income	% of Net Lettable Area
2020	46.4	50.3
2021	19.7	16.8
2022 and beyond	33.9	32.9

Sungei Wang – Trade Sector Analysis

(as at 31 December 2019)

Trade Sector	% of Gross Rental Income	% of Net Lettable Area
Fashion/Accessories	26.7	20.5
Food & Beverage	27.5	18.2
Beauty/Health	10.4	6.6
Services	6.9	12.9
Leisure & Entertainment/Sports & Fitness	7.6	14.7
Electronics/I.T.	2.5	4.2
Supermarket/Hypermarket	8.5	6.6
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.3	6.2
Houseware/Furnishings	0.9	2.9
Others	4.7	7.2

Sungei Wang – Title Particulars

Title	205 parcels, each with individual strata title ¹ , in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land must be used for commercial building only. Development on the land must comply with the development order issued by the Datuk Bandar, Kuala Lumpur.

¹ The strata title held under Geran 11043/M1/3/312 is subject to a lease registered in favour of Premier Honour Sdn. Bhd. on 26 March 2012 vide presentation no. 9564/2012. The said lease is for a period of 30 years starting from 31 August 2008 to 30 August 2038.

Sungei Wang – Title Particulars

Encumbrances

There is a lease of part of the land to Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. 21493/1993 for a period of 30 years commencing from 15 March 1993 to 14 March 2023².

Strata title bearing Geran 11043/M1/3/312 is subject to a lease of land in favour of Premier Honour Sdn Bhd registered on 26 March 2012 vide Presentation No. PDSC 9564/2012 for 30 years starting 31 August 2008 to 30 August 2038.

Strata title bearing Geran 11043/M1/6/673 is subject to a private caveat registered in favour of Capitaland Malaysia Mall REIT Management Sdn Bhd (Registration No. 20080108055 (819351-H)) on 17 May 2018 vide presentation no. PDB5942/2018.

Endorsements³

Easements between Sungei Wang Plaza and Bukit Bintang Plaza vide presentation nos. PDSC15174/2001 and PDSC15175/2001 pursuant to two easement agreements made between the owner of Bukit Bintang Plaza, UDA Holdings Berhad (UDA) and the developer of Sungei Wang Plaza, Sungei Wang Plaza Sdn. Bhd. (SWPSB). These easements relate to two easement agreements between UDA and SWPSB whereby UDA agreed to grant to SWPSB a right of way from the entrance of Basement 1 and over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang Plaza (which form part of CMMT's interest in Sungei Wang Plaza) and SWPSB in turn agreed to grant to UDA the right of way over part of Basement 2 of Sungei Wang Plaza⁴.

Registration of Sungei Wang Plaza Management Corporation (SWPMC) on 21 November 2008 vide presentation no. PDN1183/2008.

Revision of quit rent from RM70,696.00 to RM81,301.00 according to Section 101 of the National Land Code starting 1 January 2006.

Issuance of duplicate issue document of title pursuant to Section 175 (1) (a)/(b) or Section 187B(1)(a)/(b) of the National Land Code 1965 vide presentation no. PDC3138/2018 registered on 22 November 2018.

Cessation of quit rent starting from 1 January 2018 according to Section 23C(1)(b)(i) of the Strata Titles Act 1985, Gazette No. P.U (B) 174/2017 dated 30 September 2017.

The 205 Individual Strata Titles are imposed with individual parcel rent according to Section 4C of the Strata Titles Act 1985, Gazette No. P.U (B) 380 dated 8 August 2019 starting from 1 January 2020.

² This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to Sungei Wang Plaza.

³ The endorsements are stated on the master title to Sungei Wang Plaza, which is registered in the name of SWPMC.

⁴ UDA/Zurah Permai has vide the Deeds of Easement dated 19 November 2019 granted to MTrustee Berhad as trustee for CMMT, easement rights over the ramps of Bukit Bintang Plaza to access Basement 1 to the loading bay, Levels 4 and 5 of Sungei Wang Plaza. Concurrently, MTrustee Berhad as trustee for CMMT granted to UDA/Zurah Permai, easement rights over part of Basement 1 of Sungei Wang Plaza pursuant to another Deed of Easement dated 19 November 2019. The 19 November 2019 Deed of Easement is in the process of being registered.

PROPERTY DETAILS

3 DAMANSARA & TROPICANA CITY OFFICE TOWER

3 Damansara and Tropicana City Office Tower are part of an integrated commercial development which is strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya.

With its positioning as the preferred dining and gourmet shopping destination, 3 Damansara is a four-storey mall that offers a good selection of food and beverage tenants, established retailers and a hypermarket, which appeals to the residents from the surrounding established and affluent residential estates as well as workers from the neighbouring office catchment.

Tropicana City Office Tower is a 12-storey office block and is seamlessly connected to the retail mall via an overhead covered link bridge.

Contact details:

Centre Management Office
Lot B3-01, Basement B3
No. 3, Jalan SS20/27
47400 Petaling Jaya
Selangor Darul Ehsan, Malaysia
Tel: +60 3 7663 2888
Fax: +60 3 7663 2899
www.threedamansara.com/en/

Property Information	3 Damansara	Tropicana City Office Tower
Title	2 parcels; Geran 54431/M1/B4/2 and Geran 54431/M1/B4/1, each with individual strata titles for the mall and office building respectively, erected on land held under Master Title Geran 54431, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. There is also a provisional strata title for the provisional block held under Geran 54431/P1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor	
Net Lettable Area (sq ft) (as at 31 December 2019)	467,141	101,258
Number of Committed Leases (as at 31 December 2019)	152	9
Committed Occupancy (%) (as at 31 December 2019)		92.8
Car Park Lots		1,759
Market Valuation (RM mil) Conducted by Henry Butcher Malaysia Sdn. Bhd. (as at 31 December 2019)		540
Gross Revenue (RM mil) (for FY 2019)	36.7	6.7
Net Property Income (RM mil) (for FY 2019)	16.0	4.5
Shopper Traffic in 2019 (mil)	6.7	—
Key Tenants	AEON Big, Oliver Gourmet, Golden Screen Cinemas, Essence Fitness, Ace Hardware, TBM, Uniqlo, Cotton On, Kingdom Palace Restaurant, Huawei, Sport Planet, Mr. D.I.Y., All Day by Union Roastery, Burger King, Mu Tong Yu Steamboat and Honey Bunny.	
	Tropicana Golf and Country Resort Berhad and CGS-CIMB Securities Sdn. Bhd.	

3 Damansara Property – Lease Expiry Profile (By Committed Gross Rental Income)
(as at 31 December 2019)

Year	Retail (%)	Office (%)
2020	58.8	42.0
2021	28.5	48.4
2022 and beyond	12.7	9.6

3 Damansara Property – Lease Expiry Profile (By Net Lettable Area)
(as at 31 December 2019)

Year	Retail (%)	Office (%)
2020	66.0	42.6
2021	26.1	50.8
2022 and beyond	7.9	6.6

3 Damansara – Trade Sector Analysis (Retail Only)
(as at 31 December 2019)

Trade Sector	% of Gross Rental Income	% of Net Lettable Area
Fashion/Accessories	10.9	8.5
Food & Beverage	30.2	19.5
Beauty/Health	14.6	13.8
Services	7.4	2.8
Leisure & Entertainment/Sports & Fitness	6.4	11.9
Electronics/I.T.	4.7	3.7
Supermarket/Hypermarket	17.5	27.3
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	0.8	0.7
Houseware/Furnishings	3.8	7.2
Others	3.7	4.6

3 Damansara & Tropicana City Office Tower – Title Particulars

Title	2 parcels; Geran 54431/M1/B4/2 and Geran 54431/M1/B4/1, each with individual strata titles for the mall and office building respectively, erected on land held under Master Title Geran 54431, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. There is also a provisional strata title for the provisional block held under Geran 54431/P1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial

PROPERTY DETAILS

3 Damansara & Tropicana City Office Tower – Title Particulars

Encumbrances

There is a lease of part of the land in favour of Tenaga Nasional Berhad (Company No. 200866-W) registered on 5 May 2017 vide presentation no. 35763/2017 for a period of 30 years from 8 March 2017 and ending on 7 March 2047.¹

The strata title bearing Geran 55431/M1/B4/2, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor is subject to a charge secured for a principal sum registered in favour of CIMB Bank Berhad (Company No. 13491-P) on 21 November 2018 vide presentation no. 57229/2018.

The strata title bearing Geran 55431/M1/B4/1, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor is subject to a charge secured for a principal sum registered in favour of CIMB Bank Berhad (Company No. 13491-P) on 21 November 2018 vide presentation no. 57229/2018.

Endorsements⁴

Registration of registrar's caveat on 14 February 2007 vide presentation no. 5542/2007.²

Registration of registrar's caveat on 29 October 2007 vide presentation no. 44744/2007.²

Registration of registrar's caveat on 16 April 2008 vide presentation no. 15783/2008.²

Registration of registrar's caveat on 30 July 2008 vide presentation no. 34848/2008.²

Registration of registrar's caveat on 5 June 2009 vide presentation no. 24209/2009.²

Revision of quit rent registered on 9 April 2016 vide presentation no. 81180/2016.²

Revision of quit rent from RM113,116 to RM121,060 according to Section 101 of the National Land Code starting 1 January 2017.²

Registration of 3 Damansara Management Corporation and the opening of the book of strata register no. 7307 vide presentation no. 3218/2018 registered on 11 May 2018.²

Amendment made pursuant to Section 380 of the National Land Code 1965 vide presentation no. 923/2018.²

Amendment made pursuant to Section 380 of the National Land Code 1965 vide presentation no. 2337/2018.³

Amendment made pursuant to Section 380 of the National Land Code 1965 vide presentation no. 2340/2018.⁴

1 This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to 3 Damansara & Tropicana City Office Tower.

2 Endorsements relate to Master Title Geran 54431, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. Note: Under section 321(1) of the National Land Code, the registrar's caveats are considered endorsements (rather than encumbrances).

3 Endorsement relates to Geran 54431/M1/B4/2, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. Note: Under section 321(1) of the National Land Code, the registrar's caveats are considered endorsements (rather than encumbrances).

4 Endorsement relates to Geran 54431/M1/B4/1, Lot 45821, Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor. Note: Under section 321(1) of the National Land Code, the registrar's caveats are considered endorsements (rather than encumbrances).

THE MINES

The Mines is located at the south of the federal district of Kuala Lumpur in Seri Kembangan town centre. It is a suburban family mall targeted at residents residing and working in the southern region of Kuala Lumpur and Selangor.

The Mines has five levels of retail and car park area and is well-known for its Venetian-like internal water canal. It is linked to the Mines International Exhibition & Convention Centre, Philea Mines Beach Resort and The Mines Resort & Golf Club.

The Mines underwent an asset enhancement exercise in 2008-2009 which involved the creation of an extension wing and a dedicated drop-off area for the convenience of shoppers.

The Mines offers a wide variety of retail, F&B, homewares and family edutainment options.

Contact details:

Centre Management Office
Box No. 228, Level 4 Centre Management Office
The Mines
Jalan Dulang, MINES Resort City
43300 Seri Kembangan
Selangor Darul Ehsan, Malaysia
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
www.the-mines.com.my

The Mines - Property Information

Title	H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Net Lettable Area (sq ft) (as at 31 December 2019)	724,865
Number of Committed Leases (as at 31 December 2019)	295
Committed Occupancy (%) (as at 31 December 2019)	90.5
Car Park Lots	1,282
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2019)	715
Gross Revenue (RM mil) (for FY 2019)	57.0
Net Property Income (RM mil) (for FY 2019)	29.6
Shopper Traffic in 2019 (mil)	9.9
Key Tenants	Oliver Gourmet, TGV Cinemas, Celebrity Fitness, Uniqlo, Sport Planet, YFS, Dees, Starbucks, Secret Recipe, Go Noodle House, Nando's, Sakae Sushi, SSF, Mr. D.I.Y., Ace Hardware, SenQ, Tewah, Daiso, Mr. Toy, Olympic Kids Club and Mines Cruise.

PROPERTY DETAILS

The Mines - Lease Expiry Profile (as at 31 December 2019)

Year	% of Gross Rental Income	% of Net Lettable Area
2020	52.6	50.5
2021	22.4	23.9
2022 and beyond	25.0	25.6

The Mines – Trade Sector Analysis (as at 31 December 2019)

Trade Sector	% of Gross Rental Income	% of Net Lettable Area
Fashion/Accessories	24.3	23.0
Food & Beverage	19.4	10.3
Beauty/Health	13.3	8.4
Services	6.8	8.5
Leisure & Entertainment/Sports & Fitness	6.9	12.6
Electronics/I.T.	19.0	8.4
Supermarket/Hypermarket	2.0	6.2
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.9	2.5
Houseware/Furnishings	3.8	12.1
Others	2.6	8.0

The Mines – Title Particulars

Title	H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	There is a charge in favour of Malaysian Trustees Berhad, registered vide presentation no. 117870/2016 on 30 December 2016.
Endorsements	Transfer of ownership by Mutual Streams Sdn Bhd (Company No. 79107-P) to MTrustee Berhad (Company No. 163032-V) registered on 23 September 2010 vide presentation no. 98339/2010. An easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn. Bhd. and the owner of Mines International Exhibition and Convention Centre. Revision of quit rent registered on 26 May 2016 vide presentation no. 461192/2016. Change of address from Tingkat 22, Bangunan AmBank GR, 55, Jalan Raja Chulan, 14 to B-2-9 (Tingkat 2), Pusat Perdagangan Kuchai, No. 2 Jalan 1/128, Off Jalan Kuchai Lama, 14 registered on 28 October 2016 vide presentation no. 52655/2016. Revision of quit rent from RM84,975 to RM84,975 according to Section 101 of the National Land Code starting 1 January 2017.

FINANCIAL STATEMENTS

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STATEMENTS OF FINANCIAL POSITION

As at 31 December 2019

	Note	Group		Trust	
		2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Assets					
Plant and equipment	3	3,201	1,429	3,201	1,429
Investment properties	4	4,035,000	4,019,000	4,035,000	4,019,000
Investment in subsidiary	5	–	–	*	*
Total non-current assets		4,038,201	4,020,429	4,038,201	4,020,429
Trade and other receivables	6	21,059	21,154	20,923	21,080
Amount due from subsidiary	7	–	–	6,712	6,818
Cash and cash equivalents	8	84,584	101,380	78,346	94,843
Total current assets		105,643	122,534	105,981	122,741
Total assets		4,143,844	4,142,963	4,144,182	4,143,170
Equity					
Unitholders' capital	9	2,189,028	2,181,132	2,189,028	2,181,132
Undistributed profit		412,898	485,434	412,913	485,449
Total unitholders' funds		2,601,926	2,666,566	2,601,941	2,666,581
Liabilities					
Borrowings	10	1,242,539	949,131	943,511	949,131
Tenants' deposits		35,492	41,817	35,492	41,817
Deferred tax liability	11	19,495	–	19,495	–
Amount due to subsidiary	7	–	–	300,000	–
Total non-current liabilities		1,297,526	990,948	1,298,498	990,948
Borrowings	10	131,610	369,928	131,610	70,560
Tenants' deposits		53,930	47,480	53,930	47,480
Trade and other payables	12	58,852	68,041	58,203	67,601
Amount due to subsidiary	7	–	–	–	300,000
Total current liabilities		244,392	485,449	243,743	485,641
Total liabilities		1,541,918	1,476,397	1,542,241	1,476,589
Total equity and liabilities		4,143,844	4,142,963	4,144,182	4,143,170
Net assets value (NAV)					
– before income distribution		2,601,926	2,666,566	2,601,941	2,666,581
– after income distribution		2,539,757	2,587,252	2,539,772	2,587,267
Units in circulation ('000)	9	2,051,753	2,044,176	2,051,753	2,044,176
NAV per unit (RM)					
– before income distribution		1.2681	1.3045	1.2682	1.3045
– after income distribution		1.2378	1.2657	1.2379	1.2657

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad.

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2019

	Note	Group		Trust	
		2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Gross rental income		266,902	271,165	266,902	271,165
Car park income		23,048	24,247	23,048	24,247
Other revenue		52,326	54,734	52,326	54,734
Gross revenue		342,276	350,146	342,276	350,146
Maintenance expenses		(35,788)	(33,025)	(35,788)	(33,025)
Utilities		(53,038)	(51,522)	(53,038)	(51,522)
Other operating expenses	13	(51,330)	(50,630)	(51,330)	(50,630)
Property operating expenses		(140,156)	(135,177)	(140,156)	(135,177)
Net property income		202,120	214,969	202,120	214,969
Interest income		2,932	4,770	2,932	4,770
Other non-operating income		3,325	–	3,325	–
Fair value (loss)/gain of investment properties (net)		(30,701)	1,109	(30,701)	1,109
Net investment income		177,676	220,848	177,676	220,848
Manager's management fee	14	(21,601)	(22,217)	(21,601)	(22,217)
Trustee's fee	15	(400)	(400)	(400)	(400)
Auditor's fee		(200)	(206)	(193)	(198)
Tax agent's fee		(27)	(26)	(23)	(23)
Valuation fee		(275)	(293)	(275)	(293)
Finance costs	16	(61,989)	(61,116)	(61,989)	(61,116)
Other non-operating expenses		(1,089)	(962)	(1,100)	(973)
Total non-operating and trust expenses		(85,581)	(85,220)	(85,581)	(85,220)
Profit before taxation		92,095	135,628	92,095	135,628
Tax expense	17	(19,495)	–	(19,495)	–
Profit for the financial year		72,600	135,628	72,600	135,628
Other comprehensive income, net of tax		–	–	–	–
Total comprehensive income for the financial year		72,600	135,628	72,600	135,628
Distribution adjustments	A	55,395	25,720	55,395	25,720
Income available for distribution		127,995	161,348	127,995	161,348
Distributable income¹	19	127,991	161,348	127,991	161,348

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2019

		Group		Trust	
	Note	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Total comprehensive income for the financial year is made up as follows:					
Realised		122,796	134,519	122,796	134,519
Unrealised		(50,196)	1,109	(50,196)	1,109
		72,600	135,628	72,600	135,628
Earnings per unit (sen)	18				
– before Manager's management fee		4.60	7.73	4.60	7.73
– after Manager's management fee		3.55	6.64	3.55	6.64
Distribution per unit (DPU) (sen)					
– for the financial year	19	6.25	7.90	6.25	7.90
Income distribution²					
Distribution of 4.02 sen per unit relating to 1.1.2018 to 30.6.2018				–	82,034
Distribution of 3.88 sen per unit relating to 1.7.2018 to 31.12.2018				–	79,314
Distribution of 3.22 sen per unit relating to 1.1.2019 to 30.6.2019				65,822	–
Distribution of 3.03 sen per unit relating to 1.7.2019 to 31.12.2019 ³	19			62,169	–
				127,991	161,348

1 The difference between income available for distribution and distributable income is due to the rounding effect of DPU.

2 Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

3 The declared final income distribution will be recognised in the immediate subsequent financial year.

		Group		Trust	
	Note	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Note A					
Distribution adjustments comprise:					
Fair value loss/(gain) of investment properties (net)	4	30,701	(1,109)	30,701	(1,109)
Manager's management fee payable in units		7,583	8,297	7,583	8,297
Depreciation	3	1,100	1,162	1,100	1,162
Amortisation of transaction costs on borrowings	16	856	875	636	654
Deferred tax expense	17	19,495	–	19,495	–
Tax and other adjustments		(4,340)	16,495	(4,120)	16,716
		55,395	25,720	55,395	25,720

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

For the Financial Year Ended 31 December 2019

	Unitholders' capital RM'000	Undistributed profit RM'000	Total unitholders' funds RM'000
Group			
At 1 January 2018	2,172,216	514,980	2,687,196
Total comprehensive income for the financial year	–	135,628	135,628
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	8,916	–	8,916
– Distribution paid to unitholders	–	(165,174)	(165,174)
Increase/(Decrease) in net assets resulting from unitholders' transactions	8,916	(165,174)	(156,258)
At 31 December 2018/1 January 2019	2,181,132	485,434	2,666,566
Total comprehensive income for the financial year	–	72,600	72,600
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	7,896	–	7,896
– Distribution paid to unitholders	–	(145,136)	(145,136)
Increase/(Decrease) in net assets resulting from unitholders' transactions	7,896	(145,136)	(137,240)
At 31 December 2019	2,189,028	412,898	2,601,926
	Note 9		
Trust			
At 1 January 2018	2,172,216	514,995	2,687,211
Total comprehensive income for the financial year	–	135,628	135,628
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	8,916	–	8,916
– Distribution paid to unitholders	–	(165,174)	(165,174)
Increase/(Decrease) in net assets resulting from unitholders' transactions	8,916	(165,174)	(156,258)
At 31 December 2018/1 January 2019	2,181,132	485,449	2,666,581
Total comprehensive income for the financial year	–	72,600	72,600
Unitholders' transactions			
– Units issued as part satisfaction of the Manager's management fee	7,896	–	7,896
– Distribution paid to unitholders	–	(145,136)	(145,136)
Increase/(Decrease) in net assets resulting from unitholders' transactions	7,896	(145,136)	(137,240)
At 31 December 2019	2,189,028	412,913	2,601,941
	Note 9		

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2019

	Note	Group		Trust	
		2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Cash flows from operating activities					
Profit before taxation		92,095	135,628	92,095	135,628
Adjustments for:					
Manager's management fee paid/payable in units		7,583	8,297	7,583	8,297
Depreciation	3	1,100	1,162	1,100	1,162
Fair value loss/(gain) of investment properties (net)	4	30,701	(1,109)	30,701	(1,109)
Finance costs	16	61,989	61,116	61,989	61,116
Interest income		(2,932)	(4,770)	(2,932)	(4,770)
Plant and equipment written off		2	2	2	2
Operating profit before changes in working capital		190,538	200,326	190,538	200,326
Changes in working capital:					
Trade and other receivables		95	2,358	156	2,304
Trade and other payables		610	(7,744)	379	(7,748)
Tenants' deposits		125	(4,028)	125	(4,028)
Amount due to subsidiary		–	–	(12,961)	(12,863)
Net cash generated from operating activities		191,368	190,912	178,237	177,991
Cash flows from investing activities					
Acquisition of plant and equipment	3	(2,874)	(554)	(2,874)	(554)
Capital expenditure on investment properties		(56,542)	(35,717)	(56,542)	(35,717)
Interest received		2,932	4,770	2,932	4,770
Net cash used in investing activities		(56,484)	(31,501)	(56,484)	(31,501)
Cash flows from financing activities					
Distribution paid to unitholders		(145,136)	(165,174)	(145,136)	(165,174)
Interest paid		(60,602)	(59,780)	(47,732)	(46,910)
Payment of financing expenses		(736) ¹	(303)	(176)	(303)
Proceeds from interest-bearing borrowings		439,432	20,600	439,432	20,600
Repayment of interest-bearing borrowings		(384,638)	(39,697)	(384,638)	(39,697)
Withdrawal of pledged deposits from a licensed bank		253	–	–	–
Net cash used in financing activities		(151,427)	(244,354)	(138,250)	(231,484)
Net decrease in cash and cash equivalents		(16,543)	(84,943)	(16,497)	(84,994)
Cash and cash equivalents at 1 January		94,897	179,840	94,843	179,837
Cash and cash equivalents at 31 December		78,354	94,897	78,346	94,843
Cash and cash equivalents at end of the financial year comprise:					
Deposits placed with licensed banks		55,030	81,855	48,800	75,325
Cash and bank balances		29,554	19,525	29,546	19,518
	8	84,584	101,380	78,346	94,843
Less: Pledged deposits	8	(6,230)	(6,483)	–	–
		78,354	94,897	78,346	94,843

¹ Including transactions costs of RM560,000 relating to interest-bearing borrowings.

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2019

Reconciliation of movements of liabilities to cash flows arising from financing activities

	At 1 January 2018 RM'000	Net changes from financing cash flows RM'000	Other changes RM'000	At 31 December 2018/1 January 2019 RM'000	Net changes from financing cash flows RM'000	Other changes RM'000	At 31 December 2019 RM'000
Group							
Secured term loans	918,430	–	–	918,430	–	–	918,430
Secured revolving credit	64,400	(31,457)	–	32,943	(6,256)	–	26,687
Unsecured revolving credit	58,200	12,360	–	70,560	61,050	–	131,610
Unrated and secured MTN	300,000	–	–	300,000	–	–	300,000
Less: Unamortised transaction cost	(3,749)	–	875	(2,874)	(560)	856	(2,578)
Total liabilities from financing activities	<u>1,337,281</u>	<u>(19,097)</u>	<u>875</u>	<u>1,319,059</u>	<u>54,234</u>	<u>856</u>	<u>1,374,149</u>
Trust							
Secured term loans	918,430	–	–	918,430	–	–	918,430
Secured revolving credit	64,400	(31,457)	–	32,943	(6,256)	–	26,687
Unsecured revolving credit	58,200	12,360	–	70,560	61,050	–	131,610
Amount due to subsidiary	300,000	–	–	300,000	–	–	300,000
Less: Unamortised transaction cost	(2,896)	–	654	(2,242)	–	636	(1,606)
Total liabilities from financing activities	<u>1,338,134</u>	<u>(19,097)</u>	<u>654</u>	<u>1,319,691</u>	<u>54,794</u>	<u>636</u>	<u>1,375,121</u>

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

CapitaLand Malaysia Mall Trust (CMMT or the Trust) is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 5 October 2018) (the Deed) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 7 December 2018. CMMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

CMMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2019 relates to the Trust and its subsidiary (the Group).

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. There have been no significant changes in the nature of these activities during the financial year.

For financial reporting purposes, with effect from 28 June 2019, the intermediate and ultimate holding company of the Group are CapitaLand Limited (CL) and Temasek Holdings (Private) Limited respectively. The intermediate and ultimate holding company are incorporated in Singapore. Prior to 28 June 2019, the ultimate holding company of the Group was CL.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Financial Limited which is incorporated in the Republic of Singapore and is a wholly-owned subsidiary of CL.

The Manager's registered office and principal place of business are as follows:

Unit No.1-27, Level 27, Capital Tower
No.10, Persiaran KLCC
50088 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 14 February 2020.

NOTES TO THE FINANCIAL STATEMENTS

1. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards (MFRSs) and International Financial Reporting Standards.

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) but have not been adopted by the Group and the Trust:

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2020

- Amendments to MFRS 3, *Business Combinations – Definition of a Business*
- Amendments to MFRS 9, *Financial Instruments*, MFRS 139, *Financial Instruments: Recognition and Measurement* and MFRS 7, *Financial Instruments: Disclosures – Interest Rate Benchmark Reform*
- Amendments to MFRS 101, *Presentation of Financial Statements* and MFRS 108, *Accounting Policies, Changes in Accounting Estimates and Errors – Definition of Material*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2021

- MFRS 17, *Insurance Contracts*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after a date yet to be confirmed

- Amendments to MFRS 10, *Consolidated Financial Statements* and MFRS 128, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The Group and the Trust plan to apply the abovementioned accounting standards, amendments and interpretations from the annual period beginning on 1 January 2020 for those amendments that are effective for annual periods beginning on or after 1 January 2020.

The Group and the Trust do not plan to apply MFRS 17, *Insurance Contracts* that is effective for annual periods beginning on 1 January 2021 as it is not applicable to the Group and the Trust.

The initial application of the accounting standards, amendments or interpretations are not expected to have any material financial impact to the current and prior period financial statements of the Group and of the Trust.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

NOTES TO THE FINANCIAL STATEMENTS

1. BASIS OF PREPARATION (CONTINUED)

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

(d) Use of estimates and judgements

The preparation of the financial statements in conformity with MFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

There are no significant areas of estimation uncertainty and critical judgement in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than those disclosed in the following notes:

- Note 4 – valuation of investment properties
- Note 11 – deferred tax liability

2. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by Group entities, unless otherwise stated.

Arising from the adoption of MFRS 16, *Leases*, there are changes to the accounting policies applied to lease contracts entered into by the Group entities as compared to those applied in previous financial statements. However, there are no material impact arising from the adoption of MFRS 16 on the Group's and the Trust's financial statements.

(a) Basis of consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. The financial statements of the subsidiary are included in the consolidated financial statements from the date of which control commences until the date on which control ceases.

The Trust controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Investment in subsidiary is measured in the Trust's statement of financial position at cost less any impairment losses.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(a) Basis of consolidation (continued)

Business combinations

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of transaction. Foreign currency differences arising on retranslation are recognised in profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

The gain and loss on disposal of an item of plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and is recognised net within "other operating income" and "other operating expenses" respectively in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(c) Plant and equipment (continued)

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group or the Trust and its cost can be measured reliably. The carrying amount of the replaced part is derecognised and is charged to profit or loss. The costs of the day-to-day servicing of equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant parts of individual assets are assessed, and if a part has a useful life that is different from the remainder of that asset, then that part is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment from the date that they are available for use.

The estimated useful lives for the current and comparative periods are as follows:

Computer	2 – 3 years
Office equipment	3 – 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period, and adjusted as appropriate.

(d) Investment properties

Investment properties are properties which are owned or held under leasehold interest to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are measured initially at cost and subsequently at fair value with any changes therein recognised in profit or loss for the period in which they arise. Cost includes expenditure that is directly attributable to the acquisition of the investment properties.

Fair value is determined in accordance with the Deed and the REITs Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined once every six months based on internal valuation or independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in profit or loss in the year in which the item is derecognised.

Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or the Trust may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(e) Leases

The Group has applied MFRS 16 using the modified retrospective approach and therefore the comparative information has not been restated and continues to be reported under MFRS 117, *Leases* and related interpretations.

Current financial year

(i) As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property, the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commitment date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the lessee's incremental borrowing rate.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including office equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(e) Leases (continued)

(ii) As a lessor

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group leases out its investment properties. The Group has classified these leases as operating leases.

The Group recognises lease payments received from investment properties under operating leases as rental income on a straight-line basis over the lease term as part of revenue.

Previous financial year

Lessees of an operating lease

Leases, where the Group and the Trust did not assume substantially all the risks and rewards of ownership were classified as operating leases. Payments made under the operating leases were recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received were recognised in profit or loss as an integral part of the total lease expense over the term of the lease. Contingent rents were charged to profit or loss in the reporting period in which they were incurred.

(f) Financial instruments

(i) Recognition and initial measurement

A financial asset or a financial liability is recognised in the statement of financial position when, and only when, the Group or the Trust becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without significant financing component) or a financial liability is initially measured at fair value plus or minus, in the case for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issuance. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Financial instrument categories and subsequent measurement

Financial assets

Categories of financial assets are determined on initial recognition and are not reclassified subsequent to their initial recognition unless the Group or the Trust changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change of the business model.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(f) Financial instruments (continued)

(ii) Financial instrument categories and subsequent measurement (continued)

Amortised cost

Amortised cost category comprises financial assets that are held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The financial assets are not designated as fair value through profit or loss. Subsequent to initial recognition, these financial assets are measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Interest income is recognised by applying effective interest rate to the gross carrying amount except for credit impaired financial assets (see Note 2(g)(i)) where the effective interest rate is applied to the amortised cost.

All financial assets are subject to impairment assessment (see Note 2(g)(i)).

Financial liabilities

The financial liabilities at initial recognition of the Group and of the Trust are classified as amortised cost. Financial liabilities are subsequently measured at amortised cost using the effective interest method.

Interest expense and foreign exchange gains and losses are recognised in the profit or loss. Any gains or losses on derecognition are also recognised in the profit or loss.

(iii) Derecognition

A financial asset or part of it is derecognised when, and only when the contractual rights to the cash flows from the financial asset expire or transferred, or control of the asset is not retained or substantially all of the risks and rewards of ownership of the financial asset are transferred to another party. On derecognition of a financial asset, the difference between the carrying amount of the financial asset and the sum of consideration received (including any new asset obtained less any new liability assumed) is recognised in profit or loss.

A financial liability or a part of it is derecognised when, and only when, the obligation specified in the contract is discharged, cancelled or expires. A financial liability is also derecognised when its terms are modified and the cash flows of the modified liability are substantially different, in which case, a new financial liability based on modified terms is recognised at fair value. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

(iv) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group and the Trust currently have a legally enforceable right to set off the amounts and they intend either to settle them on a net basis or to realise the asset and liability simultaneously.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(g) Impairment

(i) Financial assets

The Group and the Trust recognise loss allowances for expected credit losses on financial assets measured at amortised cost. Expected credit losses are a probability-weighted estimate of credit losses.

The Group and the Trust measure loss allowances at an amount equal to lifetime expected credit loss, except for cash and bank balance for which credit risk has not increased significantly since initial recognition, which are measured at 12-month expected credit loss. Loss allowances for trade receivables are always measured at an amount equal to lifetime expected credit loss.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating expected credit loss, the Group and the Trust consider reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information, where available.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of the asset, while 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date. The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Group and the Trust are exposed to credit risk.

The Group and the Trust estimate the expected credit losses on trade receivables by assessing the risk of loss of each customer individually based on their financial information, past trend of payments and external credit ratings, where applicable.

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced through the use of an allowance account.

At each reporting date, the Group and the Trust assess whether financial assets carried at amortised cost are credit-impaired. A financial asset is credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

The gross carrying amount of a financial asset is written off (either partially or full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group or the Trust determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's or the Trust's procedures for recovery of amounts due.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(g) Impairment (continued)

(ii) Other assets

The carrying amounts of other assets, other than investment properties, are reviewed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment loss is recognised in profit or loss.

Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(h) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, bank balances and deposits placed with licensed banks. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(i) Equity instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently. Costs directly attributable to the issue of instruments classified as equity are recognised as a deduction from equity.

(j) Provisions

A provision is recognised if, as a result of a past event, the Group and the Trust have a present legal or constructive obligation that can be estimated reliably, and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance costs.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(k) Revenue recognition

(i) Rental income

Rental income from leasing out of shopping mall shops and space is recognised in profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fee. Contingent rents, which include gross turnover rent, are recognised as income in the financial year in which they are earned. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised as income in the financial year in which they are earned.

(iii) Other revenue

Other revenue consists of recovery of utilities charges from tenants, kiosk rental, advertising and other miscellaneous income. These are recognised as income in the financial year in which they are earned.

(l) Interest income

Interest income is recognised as it accrues, using the effective interest method in profit or loss.

(m) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of the Group or the Trust and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iii) Trustee's fee

Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 15.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in profit or loss using the effective interest method over the tenure of borrowings.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(n) Tax expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable or receivable in respect of previous financial years.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Where investment properties are carried at fair value in accordance with the accounting policy set out in Note 2(d), the amount of deferred tax recognised is measured using the tax rates that would apply on the sale of those assets at their carrying values at the reporting date unless the property is depreciable and is held with the objective to consume substantially all the economic benefits embodied in the property over time, rather than through sale. Deferred tax assets and liabilities are not discounted.

(o) Earnings per unit

The Group and the Trust present basic and diluted earnings per unit. Basic earnings per unit is calculated by dividing the total return by the weighted-average number of units outstanding during the year. Diluted earnings per unit is determined by adjusting the total return and the weighted-average number of ordinary units outstanding, for the effects of all dilutive potential units.

NOTES TO THE FINANCIAL STATEMENTS

2. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(p) Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' results are reviewed and used by the Group's Chief Operating Decision Makers for strategic decision making and resources allocation.

(q) Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

For non-financial asset, the fair value measurement takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair value are categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: unobservable inputs for the asset or liability.

The Group recognises transfers between the levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

NOTES TO THE FINANCIAL STATEMENTS

3. PLANT AND EQUIPMENT

	Computer RM'000	Office equipment RM'000	Total RM'000
Group and the Trust			
Cost			
At 1 January 2018	3,372	5,982	9,354
Additions	246	308	554
Write-off	(187)	(9)	(196)
At 31 December 2018/1 January 2019	3,431	6,281	9,712
Additions	217	2,657	2,874
Write-off	–	(263)	(263)
At 31 December 2019	3,648	8,675	12,323
Accumulated depreciation			
At 1 January 2018	2,931	4,384	7,315
Depreciation for the year	240	922	1,162
Write-off	(185)	(9)	(194)
At 31 December 2018/1 January 2019	2,986	5,297	8,283
Depreciation for the year	199	901	1,100
Write-off	–	(261)	(261)
At 31 December 2019	3,185	5,937	9,122
Carrying amounts			
At 1 January 2018	441	1,598	2,039
At 31 December 2018/1 January 2019	445	984	1,429
At 31 December 2019	463	2,738	3,201

NOTES TO THE FINANCIAL STATEMENTS

4. INVESTMENT PROPERTIES

	2019 RM'000	2018 RM'000
Group and the Trust		
At 1 January	4,019,000	3,966,000
Capital expenditure capitalised	46,701	51,891
Fair value (loss)/gain (net)	(30,701)	1,109
At 31 December	<u>4,035,000</u>	<u>4,019,000</u>

Investment properties refer to shopping malls and office block which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements generally contain an initial non-cancellable period of three years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM14,058,000 (2018 : RM12,853,000), which represents CMMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza, The Mines and 3 Damansara Property, collectively valued at RM2,920,000,000 (2018 : RM2,919,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall and CMMT's 205 strata titles in Sungei Wang are unencumbered as at the reporting date.

Details of the investment properties are as follows:

	Date of acquisition	Location	Tenure	Fair value at 31 December 2019 ¹ RM'000	Fair value at 31 December 2018 ² RM'000	% of fair value to NAV at 31 December 2019 ³ %	% of fair value to NAV at 31 December 2018 ³ %
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	Penang	Freehold	1,665,000	1,635,000	64.0	61.3
East Coast Mall	14 Nov 2011	Pahang	Leasehold ⁴	577,000	555,000	22.2	20.8
Sungei Wang ⁵	14 Jul 2010	Kuala Lumpur	Freehold	538,000	545,000	20.7	20.4
3 Damansara Property	10 Jul 2015	Selangor	Freehold	540,000	556,000	20.8	20.9
The Mines	14 Jul 2010	Selangor	Leasehold ⁴	715,000	728,000	27.5	27.3
				<u>4,035,000</u>	<u>4,019,000</u>		

1 Based on valuation carried out on 31 December 2019.

2 Based on valuation carried out on 31 December 2018.

3 This is computed based on market value of the investment properties over the NAV before income distribution as at 31 December 2019 and 31 December 2018. This is calculated in accordance with the REITs Guidelines.

4 The leases have unexpired lease periods of more than 50 years.

5 CMMT's interest in Sungei Wang comprises (i) 205 strata parcels within the mall represents approximately 61.9% of the aggregate retail floor area of Sungei Wang, and (ii) 100.0% of the car park bays in Sungei Wang.

NOTES TO THE FINANCIAL STATEMENTS

4. INVESTMENT PROPERTIES (CONTINUED)

All land/strata titles have been transferred and registered in the name of the Trustee.

The following are recognised in profit or loss in respect of investment properties:

	2019 RM'000	2018 RM'000
Group and the Trust		
Gross revenue	342,276	350,146
Less: Property operating expenses	(140,156)	(135,177)
Net property income	<u>202,120</u>	<u>214,969</u>

(a) Operating lease payments receivable

The operating lease payments to be received are as follows:

	2019 RM'000
Group and the Trust	
Less than one year	190,913
One to two years	94,600
Two to three years	33,087
Three to four years	625
Four to five years	522
More than five years	7,140
Total undiscounted lease payments	<u>326,887</u>

	2018 RM'000
Group and the Trust	
Less than one year	197,631
Between one and five years	142,979
More than five years	7,663
Total undiscounted lease payments	<u>348,273</u>

(b) Fair value information

The fair value of investment properties of the Group and of the Trust are categorised as Level 3. The properties are valued by independent external valuers using the income capitalisation approach, also known as investment approach. This valuation approach takes into account of the gross revenue and outgoings to estimate the net income for the properties. Capitalisation rates are then applied to the net income of the investment properties to determine the market value of the investment properties.

The significant unobservable input is the reversionary capitalisation rate used in the approach adopted above. The estimated fair value would increase (decrease) if the capitalisation rate was lower (higher). Reversionary capitalisation rates for the investment properties range from 6.5% to 7.3% (2018 : 6.5% to 7.3%).

NOTES TO THE FINANCIAL STATEMENTS

4. INVESTMENT PROPERTIES (CONTINUED)

(c) Valuation processes applied to the Group and the Trust for Level 3 fair value

The fair value of investment properties is determined by independent external valuers having appropriate recognised professional qualifications and recent experience in the location and category of the investment properties being valued. The external valuers provide fair value of the Group's and of the Trust's investment property portfolio every six months. Moving forward from next financial year, fair value of the Group's and the Trust's investment property portfolio shall be determined by external valuers once every twelve months to be in line with industry practices and CL Group's policies. The resultant fair value gain or loss arising from the change in valuation is assessed by the Manager after obtaining the valuation reports from the external valuers.

(d) Highest and best use

The Group's and the Trust's investment properties are currently valued at their highest and best use. The investment properties are situated within sizeable catchment populations with strong demand for shopping mall and office space.

5. INVESTMENT IN SUBSIDIARY

	Trust	
	2019	2018
	RM'000	RM'000

CMMT MTN Berhad

At cost

Unquoted shares

*

*

* Denotes RM2

CMMT holds 100.0% equity interest in CMMT MTN Berhad, a special purpose vehicle incorporated in Malaysia. Its principal activity is to raise financing on behalf of and on-lending to CMMT through the issuance of rated/unrated secured Medium Term Notes under the Medium Term Notes Programme as set out in Note 10(b).

NOTES TO THE FINANCIAL STATEMENTS

6. TRADE AND OTHER RECEIVABLES

	Group		Trust	
	2019	2018	2019	2018
	RM'000	RM'000	RM'000	RM'000
Trade				
Trade receivables	10,931	10,906	10,931	10,906
Less : Allowance for impairment losses	(2,775)	(2,587)	(2,775)	(2,587)
	8,156	8,319	8,156	8,319
Non-trade				
Deposits	1,071	937	1,071	937
Interest receivables	149	149	140	138
Prepayments	1,061	1,181	934	1,134
Other receivables	10,622	10,568	10,622	10,552
	12,903	12,835	12,767	12,761
	21,059	21,154	20,923	21,080

The following table provides information about the exposure to credit risk and expected credit losses for trade receivables.

	Gross carrying amount RM'000	Allowance for impairment losses RM'000	Net balance RM'000
Group and the Trust			
2019			
Not past due	4,310	(164)	4,146
Past due 1 – 30 days	1,681	(179)	1,502
Past due 31 – 90 days	791	(307)	484
Past due more than 90 days	4,149	(2,125)	2,024
	10,931	(2,775)	8,156
2018			
Not past due	5,082	(80)	5,002
Past due 1 – 30 days	1,260	(18)	1,242
Past due 31 – 90 days	442	(26)	416
Past due more than 90 days	4,122	(2,463)	1,659
	10,906	(2,587)	8,319

NOTES TO THE FINANCIAL STATEMENTS

6. TRADE AND OTHER RECEIVABLES (CONTINUED)

The movement in allowance for impairment losses of trade receivables during the financial year is as follows:

	2019 RM'000	2018 RM'000
Group and the Trust		
Balance at 1 January	2,587	2,104
Amounts written off	(1,033)	(210)
Net remeasurement of loss allowance	1,221	693
Balance at 31 December	<u>2,775</u>	<u>2,587</u>

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits held as collateral.

7. AMOUNT DUE FROM/(TO) SUBSIDIARY

The amount due from subsidiary of RM6,712,000 (2018 : RM6,818,000) is non-trade in nature, unsecured, and is repayable on demand. Included in the amount due from subsidiary is an interest-bearing loan from CMMT of RM6,230,000 (2018 : RM6,530,000) where the average interest rate of 3.7% (2018 : 3.7%) per annum is based on the prevailing deposit rates of licensed banks.

The amount due to subsidiary of RM300,000,000 (2018 : RM300,000,000) is pursuant to the REIT Trustee Financing Agreement (RTFA) entered into by the Trustee on behalf of CMMT and the subsidiary on 9 December 2019 (2018 : 6 December 2016) where the funds raised from the unrated and secured MTN, as detailed in Note 10(b), were advanced to CMMT. The amount due to subsidiary is secured, subject to interest at 4.07% (2018 : 4.29%) per annum which is payable semi-annually and the principal is repayable in 2023 (2018 : repayable in 2019).

8. CASH AND CASH EQUIVALENTS

	Group		Trust	
	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Deposits placed with licensed banks	55,030	81,855	48,800	75,325
Cash and bank balances	29,554	19,525	29,546	19,518
	<u>84,584</u>	<u>101,380</u>	<u>78,346</u>	<u>94,843</u>

Gurney Plaza maintains separate designated revenue account while The Mines and 3 Damansara Property maintain separate designated revenue and operating accounts with licensed banks as mentioned in Note 10. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The balance of the designated revenue and operating accounts at the end of the financial year that is included in the cash and cash equivalents is RM40,956,000 (2018 : RM56,539,000).

Included in the Group's cash and cash equivalents are pledged deposits of RM6,230,000 (2018 : RM6,483,000). This is in relation to a separate debt service reserves account and trustee reimbursement account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(b). The deposits are maintained with licensed banks and the funds are restricted in use.

NOTES TO THE FINANCIAL STATEMENTS

9. UNITHOLDERS' CAPITAL

	Amount 2019 RM'000	Number of units 2019 '000	Amount 2018 RM'000	Number of units 2018 '000
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Trust

Issued and fully paid:

At 1 January	2,181,132	2,044,176	2,172,216	2,037,753
Units issued as part satisfaction of the Manager's management fee	7,896	7,577	8,916	6,423
At 31 December	2,189,028	2,051,753	2,181,132	2,044,176

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2019, the Manager has no direct unitholdings in CMMT. However, the Directors of the Manager and parties related to the Manager held units in CMMT and the details are as follows:

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
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2019

Direct unitholdings of parties related to the Manager

CMMT Investment Limited	710,973	34.65	710,973
Menang Investment Limited	47,832	2.33	47,832

*Direct unitholdings of the Directors of
the Manager who held office at 31 December 2019*

Ms Low Peck Chen	12	N.M.	12
Mr Lim Cho Pin Andrew Geoffrey ¹	47	N.M.	47

2018

Direct unitholdings of parties related to the Manager

CMMT Investment Limited	710,973	34.78	718,083
Menang Investment Limited	40,256	1.97	40,658

*Direct unitholdings of the Directors of
the Manager who held office at 31 December 2018*

Ms Low Peck Chen	12	N.M.	12
Ms Tan Siew Bee	100	N.M.	101
Dr Peter Tay Buan Huat ¹	100	N.M.	101
Mr Lim Cho Pin Andrew Geoffrey ¹	47	N.M.	47

N.M. – Not meaningful

¹ Units held through nominees.

² The market value of the units for respective year is computed based on the closing market price of RM1.00 per unit as at 31 December 2019 and RM1.01 per unit as at 31 December 2018.

CMMT Investment Limited and Menang Investment Limited are indirect wholly-owned subsidiaries of CL who is the intermediate holding corporation of the Manager.

NOTES TO THE FINANCIAL STATEMENTS

10. BORROWINGS

	Group		Trust	
	2019	2018	2019	2018
	RM'000	RM'000	RM'000	RM'000
Non-current				
Secured term loans				
– Fixed rate	848,680	848,680	848,680	848,680
– Floating rate	69,750	69,750	69,750	69,750
Secured revolving credit	26,687	32,943	26,687	32,943
Unrated and secured MTN	300,000	–	–	–
Less: Unamortised transaction costs	(2,578)	(2,242)	(1,606)	(2,242)
	1,242,539	949,131	943,511	949,131
Current				
Unsecured revolving credit	131,610	70,560	131,610	70,560
Unrated and secured MTN	–	300,000	–	–
Less: Unamortised transaction costs	–	(632)	–	–
	131,610	369,928	131,610	70,560
	1,374,149	1,319,059	1,075,121	1,019,691

(a) Secured term loans and revolving credit

CMMT had entered into three separate secured facility agreements with two licensed banks on 10 June 2010 (Secured Facility 1), 17 March 2011 (Secured Facility 2) and 26 June 2015 (Secured Facility 3).

Secured Facility 1 comprises fixed and floating rate term loan facility of RM500.0 million and revolving credit facility of RM61.0 million. Secured Facility 2 comprises fixed and floating rate term loan facility of RM69.7 million and revolving credit facility of RM20.0 million. Both Secured Facilities 1 and 2 will mature between 2022 and 2028.

Secured Facility 3, comprises fixed rate term loan facility of RM348.7 million, revolving credit facility of RM100.0 million and bank guarantee facility of RM10.0 million. The term loan under the Secured Facility 3 will mature in 2022.

As at 31 December 2019, the principal amounts utilised under the Secured Facilities 1, 2 and 3 were RM521.2 million (2018 : RM527.5 million), RM75.2 million (2018 : RM75.2 million) and RM348.7 million (2018 : RM348.7 million) respectively, of which total secured revolving credit utilised under these facilities was RM26.7 million (2018 : RM32.9 million).

The average effective interest rate for the Secured Facilities 1, 2 and 3 was approximately 4.5% (2018 : 4.6%) per annum.

NOTES TO THE FINANCIAL STATEMENTS

10. BORROWINGS (CONTINUED)

(b) Secured Medium Term Notes Programme

The Group has a secured Medium Term Notes Programme of up to RM3.0 billion in nominal value (MTN Programme) under CMMT MTN Berhad (the Issuer), pursuant to which rated/unrated notes in series or tranches may be issued from time to time in Ringgit Malaysia. The MTN Programme has a tenure of twenty years from the date of first issuance of MTN, which was on 20 December 2012. The net proceeds from the issue of the MTN (after deducting issue expenses) will be on-lent to CMMT, which in turn will utilise such proceeds to refinance its existing and/or future borrowings and/or to finance investments, capital expenditure, asset enhancement initiatives and/or working capital of CMMT. The Issuer will also be allowed to use the proceeds to refinance maturing MTN on the respective maturity dates. The security trustee of the MTN Programme is Malaysian Trustees Berhad.

On 20 December 2019, the Issuer issued a RM300.0 million three and half-year unrated and secured MTN (3-TM) which will be maturing on 20 June 2023. The proceeds were used to redeem the outstanding RM300.0 million three years unrated and secured MTN which matured on 20 December 2019. 3-TM bears a coupon rate of 4.07% per annum for the first 2 years which is payable semi-annually. Upon expiration of the first 2 years, the Issuer may elect either floating rate or continue with another fixed rate.

(c) Unsecured revolving credit

As at 31 December 2019, the outstanding unsecured revolving credit was RM131.6 million (2018 : RM70.6 million) at an average effective interest rate of approximately 4.0% (2018 : 4.2%) per annum.

The secured borrowings are secured by charges on investment properties as disclosed in Note 4 with an amount of RM2,920,000,000 (2018 : RM2,919,000,000).

11. DEFERRED TAX LIABILITY

With effect from 1 January 2019, the applicable Real Property Gain Tax ("RPGT") rate under the Finance Act 2019 for disposal of real properties or shares in real properties companies which have been held for more than 5 years is 10%.

It is the business model of CMMT to hold investment properties to earn rental income and for long-term capital growth. Hence, there are no expected disposals of investment properties held for less than 5 years.

As a result of this, CMMT has recognised RM19,495,000 of deferred tax expense during the financial year, being the RPGT exposure on the net cumulative fair value gain of freehold investment properties that are expected to be realised through sale.

NOTES TO THE FINANCIAL STATEMENTS

12. TRADE AND OTHER PAYABLES

	Group		Trust	
	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Current				
Trade				
Trade payables	2,106	2,247	2,106	2,247
Amount due to related parties	7,586	7,780	7,586	7,780
	<u>9,692</u>	<u>10,027</u>	<u>9,692</u>	<u>10,027</u>
Non-trade				
Interest payables	5,445	5,121	5,044	4,698
Accruals	35,913	46,152	35,665	46,135
Other payables	1,159	1,416	1,159	1,416
Advances	6,643	5,325	6,643	5,325
	<u>49,160</u>	<u>58,014</u>	<u>48,511</u>	<u>57,574</u>
	<u>58,852</u>	<u>68,041</u>	<u>58,203</u>	<u>67,601</u>

Included in the amount due to related parties is an amount due to the Manager of RM7,365,000 (2018 : RM7,642,000) of which RM3,687,000 (2018 : RM4,001,000) is payable in units of CMMT as payment for the performance component of management fee for the period from 1 July 2019 to 31 December 2019 (2018 : for the period from 1 July 2018 to 31 December 2018), Trustee's fee of RM34,000 (2018 : RM101,000) and amount due to a related party of RM187,000 (2018 : RM37,000) for the project management fees for asset enhancement works. The relationship and transactions of the above are further disclosed in Note 26.

13. OTHER OPERATING EXPENSES

	2019 RM'000	2018 RM'000
Group and the Trust		
Property management fee and reimbursement	24,726	23,683
Marketing expenses	8,528	9,451
Quit rent and assessment	11,822	12,133
General and administrative expenses	6,254	5,363
	<u>51,330</u>	<u>50,630</u>

The property management fee is payable to the property managers, namely (1) Knight Frank Property Management Sdn. Bhd. for all CMMT's properties for the full year under review except for Sungei Wang; and (2) Zaharin Nexcap Property Consultants Sdn. Bhd., the property manager for CMMT's interest in Sungei Wang. Property management reimbursement includes reimbursable staff costs and other reimbursement for managing the investment properties.

The 2019 property management fee for Gurney Plaza, The Mines, East Coast Mall and 3 Damansara Property is based on a monthly fee of RM75,000 (2018 : RM75,000) as stipulated in the property management agreement dated 28 March 2019 (2018 : 17 March 2016). Property management fee for CMMT's interest in Sungei Wang is based on a monthly fee of RM19,000 (2018 : RM19,000) as stipulated in the property management agreement dated 1 April 2017.

NOTES TO THE FINANCIAL STATEMENTS

14. MANAGER'S MANAGEMENT FEE

	2019 RM'000	2018 RM'000
Group and the Trust		
Base management fee	12,000	12,006
Performance fee	9,601	10,211
	21,601	22,217

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1.0% per annum of the total asset value and a performance fee of up to 5.0% per annum of net property income. For the financial year ended 31 December 2019, the Manager has accounted for a base fee of 0.29% (2018 : 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (2018 : 4.75%) per annum of net property income, payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which was payable in cash.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1.0% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment.

During the financial year ended 31 December 2019, the Manager was paid 7,576,600 units (2018 : 6,423,500 units) in CMMT or equivalent to RM7,896,000 (2018 : RM8,916,000), as part settlement of its management fee for the period from 1 July 2018 to 30 June 2019. The Manager disposed 7,576,600 units (2018 : 2,882,300 and 3,541,200 units) in CMMT at cost to a related party, Menang Investment Limited, on 8 November 2019 (2018 : 21 June 2018 and 20 September 2018).

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

15. TRUSTEE'S FEE

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

Trustee's fee was at RM400,000 (2018 : RM400,000) per annum for the financial year ended 31 December 2019.

NOTES TO THE FINANCIAL STATEMENTS

16. FINANCE COSTS

	Group		Trust	
	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Interest expense on secured term loans	41,781	41,795	41,781	41,795
Interest expense on unrated and secured MTN	12,848	12,870	–	–
Interest expense on RTFA with subsidiary	–	–	12,848	12,870
Interest expense on secured and unsecured revolving credits	6,296	5,492	6,296	5,492
Amortisation of transaction costs on borrowings	856	875	636	654
Others	208	84	428	305
	61,989	61,116	61,989	61,116

17. TAX EXPENSE

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a REIT will be exempted from income tax provided that the REIT distributes 90.0% or more of its total income for that year of assessment. If the REIT is unable to meet the 90.0% distribution criteria, the entire taxable income of the REIT for the year would be subject to income tax.

As CMMT will distribute more than 90.0% of its distributable income for the financial year ended 31 December 2019 to its unitholders, no provision for tax expense has been made for the current year.

	2019 RM'000	2018 RM'000
Group and the Trust		
Current tax expense	–	–
Deferred tax expense		
– Effect of changes in real property gain tax rate	19,495	–
Tax expense for the financial year	19,495	–

Reconciliation of tax expense is as follows:

	2019 RM'000	2018 RM'000
Group and the Trust		
Profit before taxation	92,095	135,628
Income tax at Malaysian statutory tax rate of 24.0%	22,103	32,551
Effect of net fair value loss/(gain) of investment properties not subject to tax	7,368	(266)
Effect of income not subject to tax	(30,917)	(34,029)
Effect of expenses not deductible for tax purposes	1,446	1,744
	–	–
Effect of net cumulative fair value gain on investment properties subject to Real Property Gain Tax	19,495	–
Tax expense for the financial year	19,495	–

NOTES TO THE FINANCIAL STATEMENTS

18. EARNINGS PER UNIT

Basic and diluted earnings per unit

The calculation of earnings per unit is based on the weighted average number of units during the year and profit for the year.

	2019 RM'000	2018 RM'000
Group and the Trust		
Profit for the financial year	72,600	135,628
Add: Manager's management fee	21,601	22,217
Profit for the financial year before Manager's management fee	<u>94,201</u>	<u>157,845</u>
	2019 '000	2018 '000
Issued units at the beginning of the year	2,044,176	2,037,753
Weighted average number of units issued as part satisfaction of the Manager's management fee	2,470	3,308
Weighted average number of units at the end of the year	<u>2,046,646</u>	<u>2,041,061</u>
Earnings per unit (sen)		
– before Manager's management fee	4.60	7.73
– after Manager's management fee	<u>3.55</u>	<u>6.64</u>

Diluted earnings per unit equals to Basic earnings per unit as there are no potential dilutive units in issue.

NOTES TO THE FINANCIAL STATEMENTS

19. DISTRIBUTIONS TO UNITHOLDERS

	2019 RM'000	2018 RM'000
Group and the Trust		
Distributions to unitholders are from the following sources:		
Gross rental income	266,902	271,165
Interest income	2,932	4,770
Other income	75,374	78,981
Less: Expenses	(217,213)	(193,568)
Less: Adjustment for rounding difference	(4)	–
Distributable income	<u>127,991</u>	<u>161,348</u>
Distribution per unit (sen) of which:		
– taxable distribution of income (sen)	5.54	6.72
– tax exempt distribution of income (sen)	0.71	1.18
	<u>6.25</u>	<u>7.90</u>

The Manager declared a final income distribution of approximately RM62,169,000 or 3.03 sen per unit on 22 January 2020, for the period from 1 July 2019 to 31 December 2019. This final income distribution will be paid on 28 February 2020 (book closure date: 7 February 2020). In total, CMMT will be paying approximately RM127,991,000, which is more than 90.0% of its distributable income, to its unitholders for the financial year ended 31 December 2019.

The declared final income distribution will be recognised in the immediate subsequent financial year.

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CMMT level is as follows:

Resident unitholders

- | | | |
|-----|----------------------|--------------------------------------|
| (a) | Corporate | Tax flow through, no withholding tax |
| (b) | Other than corporate | Withholding tax at 10.0% |

Non-resident unitholders

- | | | |
|-----|-------------------------|--------------------------|
| (c) | Corporate | Withholding tax at 24.0% |
| (d) | Institutional investors | Withholding tax at 10.0% |
| (e) | Individuals | Withholding tax at 10.0% |

NOTES TO THE FINANCIAL STATEMENTS

20. PORTFOLIO TURNOVER RATIO

There were neither acquisitions nor disposals of investments during the financial year. The Group portfolio turnover ratio (PTR) for the financial year is nil (2018 : nil).

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

21. MANAGEMENT EXPENSE RATIO

	2019	2018
Group		
Management expense ratio (MER) (%)	<u>0.9</u>	<u>0.9</u>

MER is calculated based on the total fees of CMMT, including Manager's management fee, Trustee's fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CMMT with other REITs which may use different basis of calculation may not be an accurate comparison.

22. CAPITAL COMMITMENTS

Capital commitments in relation to capital expenditure of the existing portfolio of CMMT are as follows:

	2019 RM'000	2018 RM'000
Group and the Trust		
Contracted but not provided for	<u>12,181</u>	<u>33,681</u>

NOTES TO THE FINANCIAL STATEMENTS

23. OPERATING LEASE

The Group and the Trust have the following commitments at the end of the financial year:

Operating lease rental payable

Future minimum lease payments of the Group and of the Trust on non-cancellable operating leases are as follows:

	2019 RM'000	2018 RM'000
Group and the Trust		
Less than one year	–	82
Between one and five years	–	112
	–	194

24. FINANCIAL INSTRUMENTS

24.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Carrying amount Group		Carrying amount Trust	
	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Financial assets categorised as amortised cost:				
Trade and other receivables	19,998	19,973	19,989	19,946
Amount due from subsidiary	–	–	6,712	6,818
Cash and cash equivalents	84,584	101,380	78,346	94,843
	104,582	121,353	105,047	121,607
Financial liabilities categorised as amortised cost:				
Borrowings	1,374,149	1,319,059	1,075,121	1,019,691
Tenants' deposits	89,422	89,297	89,422	89,297
Amount due to subsidiary	–	–	300,000	300,000
Trade and other payables	52,209	62,716	51,560	62,276
	1,515,780	1,471,072	1,516,103	1,471,264

NOTES TO THE FINANCIAL STATEMENTS

24. FINANCIAL INSTRUMENTS (CONTINUED)

24.2 Net gains and losses arising from financial instruments

	2019 RM'000	2018 RM'000
Group and the Trust		
Net gains/(losses) on:		
Financial assets at amortised cost		
– Allowance for impairment losses on trade receivables	(1,221)	(693)
– Interest income	2,932	4,770
	<u>1,711</u>	<u>4,077</u>
Financial liabilities at amortised cost		
– Finance costs	(61,989)	(61,116)
– Realised foreign exchange loss	(2)	(1)
– Unrealised foreign exchange loss	*	*
	<u>(61,991)</u>	<u>(61,117)</u>

* less than RM1,000

24.3 Financial risk management

Financial risk management is integral to the whole business of the Group and Trust. The Group and Trust adopt an integrated approach to manage the financial risks arising in the normal course of business.

The Group and the Trust have identified the following financial risk exposure from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which set its tolerance of risk and its general risk management philosophy.

24.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due. In addition, the Manager diligently monitors and observes financing covenants to ensure compliance.

The health and sentiments of the debt markets in Malaysia directly affects the liquidity position of the Group and Trust as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives besides the need to refinance the existing borrowings when they mature.

NOTES TO THE FINANCIAL STATEMENTS

24. FINANCIAL INSTRUMENTS (CONTINUED)

24.4 Liquidity risk (continued)

At the reporting date, RM131,610,000 (2018 : RM70,560,000) of outstanding revolving credit will be subject to annual review within the next twelve months. Other than that, there is no immediate refinancing need as the tranches of the Group's and Trust's borrowings have remaining tenures ranging from about 3 to 9 years. The Group and Trust will continue to manage their capital structure proactively by spreading out its debt maturity to a manageable size and maintaining an optimal gearing level.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
Group							
2019							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	1,076,727	3.8 – 4.6	1,299,494	176,328	40,140	456,116	626,910
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.07	342,718	12,210	12,210	318,298	–
Tenants' deposits	89,422	–	89,422	53,930	20,803	14,560	129
Trade and other payables	52,209	–	43,077	43,077	–	–	–
	<u>1,518,358</u>		<u>1,856,605</u>	<u>297,042</u>	<u>83,903</u>	<u>820,504</u>	<u>655,156</u>
2018							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	1,021,933	4.1 – 4.6	1,271,835	114,167	45,069	484,978	627,621
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.29	312,870	312,870	–	–	–
Tenants' deposits	89,297	–	89,297	47,480	25,766	15,929	122
Trade and other payables	62,716	–	53,594	53,594	–	–	–
	<u>1,473,946</u>		<u>1,727,596</u>	<u>528,111</u>	<u>70,835</u>	<u>500,907</u>	<u>627,743</u>

NOTES TO THE FINANCIAL STATEMENTS

24 FINANCIAL INSTRUMENTS (CONTINUED)

24.4 Liquidity risk (continued)

Maturity analysis (continued)

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 – 1 year RM'000	1 – 2 years RM'000	2 – 5 years RM'000	More than 5 years RM'000
Trust							
2019							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,076,727	3.8 – 4.6	1,299,494	176,328	40,140	456,116	626,910
Tenants' deposits	89,422	–	89,422	53,930	20,803	14,560	129
Amount due to subsidiary	300,000	4.07	342,718	12,210	12,210	318,298	–
Trade and other payables	51,560		42,829	42,829	–	–	–
	<u>1,517,709</u>		<u>1,856,357</u>	<u>296,794</u>	<u>83,903</u>	<u>820,504</u>	<u>655,156</u>
2018							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	1,021,933	4.1 – 4.6	1,271,835	114,167	45,069	484,978	627,621
Tenants' deposits	89,297	–	89,297	47,480	25,766	15,929	122
Amount due to subsidiary	300,000	4.29	312,870	312,870	–	–	–
Trade and other payables	62,276	–	53,577	53,577	–	–	–
	<u>1,473,506</u>		<u>1,727,579</u>	<u>528,094</u>	<u>70,835</u>	<u>500,907</u>	<u>627,743</u>

NOTES TO THE FINANCIAL STATEMENTS

24. FINANCIAL INSTRUMENTS (CONTINUED)

24.4 Liquidity risk (continued)

Maturity analysis (continued)

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- (a) an amount of RM5,445,000 (2018 : RM5,121,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and unrated and secured MTN; and
- (b) an amount of RM3,687,000 (2018 : RM4,001,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

For the Trust:

- (a) an amount of RM5,044,000 (2018 : RM4,698,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings; and
- (b) an amount of RM3,687,000 (2018 : RM4,001,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

24.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from its trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. In addition, there is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, the Group and Trust also have vigilant monitoring and debt collection procedures. Debt turnover of CMMT Group as at 31 December 2019 was approximately 16 days (2018 : 16 days).

For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meet the appropriate credit criteria and of high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

NOTES TO THE FINANCIAL STATEMENTS

24. FINANCIAL INSTRUMENTS (CONTINUED)

24.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

24.6.1 Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flows due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk. Of these instruments, the primary interest rate risk exposure of the Group and the Trust relates to interest-bearing borrowings.

In line with the Group's overall enterprise risk management framework, the Manager adopts a proactive interest rate management policy to manage the risk associated with changes in interest rates on the Group's and the Trust's loan facilities and also seeking to ensure a competitive level of ongoing cost of debt. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates.

To mitigate the Group's exposure to fluctuation in interest rates, the Manager has locked in a proportion of the Group's and the Trust's borrowings at fixed interest rates. As at 31 December 2019, the Group's and the Trust's borrowings at fixed rates are 83.4% (2018 : 86.9%) and 83.4% (2018 : 86.9%) respectively while the balance is on a floating rate basis.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but are mainly placed in as deposits with licensed banks which yield better returns than cash at bank.

NOTES TO THE FINANCIAL STATEMENTS

24. FINANCIAL INSTRUMENTS (CONTINUED)

24.6 Market risk (continued)

24.6.1 Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

	Group		Trust	
	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
Financial assets				
<i>Fixed rate instruments</i>				
Deposits placed with licensed banks	55,030	81,855	48,800	75,325
Amount due from subsidiary	–	–	6,230	6,530
	55,030	81,855	55,030	81,855
Financial liabilities				
<i>Fixed rate instruments</i>				
Secured term loans	848,680	848,680	848,680	848,680
Unrated and secured MTN	300,000	300,000	–	–
Amount due to subsidiary	–	–	300,000	300,000
	1,148,680	1,148,680	1,148,680	1,148,680
<i>Floating rate instruments</i>				
Secured term loans	69,750	69,750	69,750	69,750
Secured and unsecured revolving credit	158,297	103,503	158,297	103,503
	1,376,727	1,321,933	1,376,727	1,321,933

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would have increased the finance costs by RM2,280,000 (2018 : RM1,733,000) per annum. A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables remain constant.

24.6.2 Currency risk

As the assets of the Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. The Group borrows in Malaysian Ringgit from domestic banks and debt capital market hence creating a perfect currency match for the Group's and the Trust's assets and liabilities. At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

NOTES TO THE FINANCIAL STATEMENTS

24. FINANCIAL INSTRUMENTS (CONTINUED)

24.7 Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables, amount due from subsidiary and trade and other payables approximate their fair values due to the relatively short term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the non-derivative financial liabilities, together with the carrying amounts shown in the statements of financial position, are as follows:

	Carrying amount 2019 RM'000	Fair value 2019 RM'000	Carrying amount 2018 RM'000	Fair value 2018 RM'000
Group				
Tenants' deposits	89,422	87,352	89,297	86,719
Fixed rate secured term loans	848,680	849,637	848,680	844,783
Unrated and secured MTN	300,000	297,285	300,000	300,000
Trust				
Tenants' deposits	89,422	87,352	89,297	86,719
Fixed rate secured term loans	848,680	849,637	848,680	844,783
Amount due to subsidiary	300,000	297,285	300,000	300,000

The fair values of the non-derivative financial liabilities are categorised as Level 2.

The above fair values, which are determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2019	2018
Tenants' deposits	3.1%	3.4%
Fixed rate secured term loans	4.4%	4.8%
Unrated and secured MTN	4.4%	4.8%
Amount due to subsidiary	4.4%	4.8%

NOTES TO THE FINANCIAL STATEMENTS

25. CAPITAL MANAGEMENT

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening their capital structure and competitive position.

The Manager maintains an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REITs Guidelines, gearing ratio of the Group should not exceed 50.0% at the time the borrowings or financing facilities or deferred payment arrangements are incurred. The Group has complied with the SC's requirement during the financial year. The gearing level of the Group stood at 33.7% (2018 : 32.5%).

	Note	2019 RM'000	2018 RM'000
Group			
Total asset value (after income distribution)		4,081,675	4,063,649
Total borrowings (excluding unamortised transaction costs)	10	1,376,727	1,321,933
Gearing ratio (%)		33.7	32.5

There was no change in the Group's approach to capital management during the year.

NOTES TO THE FINANCIAL STATEMENTS

26. RELATED PARTIES

Identity of and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

	Group		Trust	
	2019 RM'000	2018 RM'000	2019 RM'000	2018 RM'000
The Manager				
CapitaLand Malaysia Mall REIT Management Sdn. Bhd.				
– Management fee (Note 14)	21,601	22,217	21,601	22,217
The Trustee				
MTrustee Berhad				
– Trustee's fee (Note 15)	400	400	400	400
Related company of a material unitholder and of the Manager				
Malayan Banking Berhad				
– Rental income from leasing of space	–	40	–	40
CapitaLand Retail Malaysia Sdn. Bhd.				
– Project management fee for asset enhancement works	298	1,437	298	1,437
Alliance Bank Malaysia Berhad				
– Rental income from leasing of space	13	19	13	19
Storhub Self Storage (SWP) Sdn. Bhd.				
– Pre-termination/ Rental income from leasing of space	–	727	–	727
U Mobile Sdn. Bhd.				
– Rental income from leasing of space	185	183	185	183

NOTES TO THE FINANCIAL STATEMENTS

27. OPERATING SEGMENTS

The Group has two reportable segments, Retail and Office. For each of the segment, the Group's Chief Operating Decision Makers (CODM) review internal/management reports for the assessment of segment performance.

Segment revenue comprises mainly income generated from its tenants. Segment net property income represents the income earned by each segment after allocating property operating expenses. Segment performance is measured based on the segment net property income.

Segment result include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated expenses comprise mainly non-operating and trust expenses.

	Retail RM'000	Office RM'000	Total RM'000
Group			
Segment profit for the year ended 31 December 2019			
Gross revenue	335,558	6,718	342,276
Net property income	197,614	4,506	202,120
Interest income			2,932
Other non-operating income			3,325
Fair value loss of investment properties (net)			(30,701)
Unallocated expenses			(23,592)
Finance costs			(61,989)
Profit before taxation			92,095
Taxation			(19,495)
Profit for the year			72,600
Segment profit for the year ended 31 December 2018			
Gross revenue	344,232	5,914	350,146
Net property income	211,230	3,739	214,969
Interest income			4,770
Fair value gain of investment properties (net)			1,109
Unallocated expenses			(24,104)
Finance costs			(61,116)
Profit before taxation			135,628
Taxation			—
Profit for the year			135,628

No segment assets and liabilities information is prepared as the Group's CODM assess the segment performance based on the segment's net property income.

Geographical information

No geographical segment information is prepared as the Group's properties are all located in Malaysia.

MANAGER'S REPORT

CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the Manager for CapitaLand Malaysia Mall Trust (CMMT or the Trust), has pleasure in presenting its report together with the audited financial statements of the Group and of the Trust for the financial year ended 31 December 2019.

CMMT is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 5 October 2018) (the Deed) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 7 December 2018. CMMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth.

The Manager is of the view that it has achieved the investment objective for the financial year ended 31 December 2019. There was no change in the strategies and policies employed during the financial year.

Directors

The Directors of the Manager who have held office during the financial year until the date of this report are as follows:

David Wong Chin Huat
Dato' Mohammed bin Haji Che Hussein (appointed on 1 April 2019)
Lim Cho Pin Andrew Geoffrey
Low Peck Chen
Ng Chih Kaye
Tan Boon Peng (appointed on 1 April 2019)
Ronald Tay Boon Hwee
Tuan Haji Rosli bin Abdullah
Tan Siew Bee (resigned on 1 April 2019)
Peter Tay Buan Huat (resigned on 1 April 2019)

Directors' benefits

Neither at the end of the financial year, nor at any time during that year, did there subsist any arrangement to which the Manager was a party, whereby the Directors of the Manager might acquire benefits by means of the acquisition of units in or debentures of CMMT.

Since the end of the previous financial year, no Director of the Manager has received or become entitled to receive any benefit (other than a benefit included in the aggregated amount of remuneration received or due and receivable by the directors), by reason of a contract made by the Manager or a related corporation with any Director of the Manager or with a firm of which the Director of the Manager is a member of, or with a company in which the Director of the Manager has substantial financial interest.

MANAGER'S REPORT

Directors' interests

According to the register of Directors' shareholdings kept by the Manager under Section 59 of the Companies Act 2016 in Malaysia, the interests of Directors of the Manager in office at the end of the financial year in units in CMMT during the financial year were as follows:

	At 1.1.2019 Unit	Acquired Unit	Sold Unit	At 31.12.2019 Unit
Low Peck Chen	12,000	–	–	12,000
Lim Cho Pin Andrew Geoffrey ¹	47,000	–	–	47,000

1 Units held through nominees

The other Directors of the Manager in office at the end of the financial year did not have any interests in units in CMMT during the financial year.

Soft commission

There was no soft commission received by the Manager during the financial year from any broker or dealer by virtue of transactions conducted for CMMT.

Other information

- (a) Before the financial statements of the Group and of the Trust were made out, the Manager took reasonable steps:
 - (i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that there were no known bad debts and that adequate allowance had been made for doubtful debts; and
 - (ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business have been written down to an amount which the current assets might be expected so to realise.
- (b) At the date of this report, the Manager is not aware of any circumstances:
 - (i) that would render it necessary to write off any bad debts or provide for any doubtful debts, or
 - (ii) that would render the values attributed to the current assets in the financial statements of the Group and of the Trust misleading, or
 - (iii) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Group and of the Trust misleading or inappropriate, or
 - (iv) not otherwise dealt with in this report or financial statements that would render any amount stated in the financial statements of the Group and of the Trust misleading.

MANAGER'S REPORT

Other information (continued)

- (c) As at the date of this report, there does not exist:
- (i) any charge on the assets of the Group and of the Trust that has arisen since the end of the financial year end which secures the liabilities of any other person; and
 - (ii) any contingent liability of the Group or of the Trust that has arisen since the end of the financial year.
- (d) In the opinion of the Manager:
- (i) the results of the operations of the Group and of the Trust during the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature; and
 - (ii) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Group or of the Trust for the financial year in which this report is made; and
 - (iii) no contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which will or may affect the ability of the Group or of the Trust to meet their obligations as and when they fall due, except as disclosed in Note 10.

Other significant events

There are no significant events during the financial year and up to the date of this report.

Changes in material litigation

The Manager is not aware of any pending litigation which is material since 31 December 2019 up to the date of this report.

Auditors

The auditors, KPMG PLT, have expressed their willingness to continue in office.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 14 February 2020.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

Kuala Lumpur, Wilayah Persekutuan

Date: 14 February 2020

STATEMENT BY THE MANAGER

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CapitaLand Malaysia Mall Trust and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the financial statements set out on pages 119 to 163 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 5 October 2018), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2019 and of their financial performance and cash flows for the financial year then ended.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 14 February 2020.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

Kuala Lumpur, Wilayah Persekutuan

Date: 14 February 2020

STATUTORY DECLARATION

I, **Soon Yeong Chyan**, the officer of CapitaLand Malaysia Mall REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaLand Malaysia Mall Trust, do solemnly and sincerely declare that the financial statements set out on pages 119 to 163, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the declaration to be true, and by virtue of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed Soon Yeong Chyan, MIA CA12084, at Kuala Lumpur, Wilayah Persekutuan on 14 February 2020.

Soon Yeong Chyan

Before me:

TRUSTEE'S REPORT

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

We have acted as Trustee of CapitaLand Malaysia Mall Trust (CMMT) for the financial year ended 31 December 2019. In our opinion and to the best of our knowledge, CapitaLand Malaysia Mall REIT Management Sdn. Bhd., the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (which was amended and restated on 5 October 2018) (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have ensured that the procedures and processes employed by the Manager to value/price the units of CMMT are adequate and that such valuation/pricing is carried out in accordance with the Deed and other regulatory requirements.

We also confirm that the income distributions declared and paid during the financial year ended 31 December 2019 are in line with and are reflective of the objectives of CMMT.

For and on behalf of the Trustee,
MTrustee Berhad

Nurizan Binti Jalil
Chief Executive Officer

Date: 14 February 2020

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Capitaland Malaysia Mall Trust (CMMT), which comprise the statements of financial position as at 31 December 2019 of the Group and of CMMT, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of CMMT for the year then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out on pages 119 to 163.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of CMMT as at 31 December 2019, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our auditors' report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of CMMT in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants (By-Laws) and the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of CMMT for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of CMMT as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of investment properties

Refer to Note 2(d) – Significant accounting policy: Investment properties and Note 4 – Investment properties.

The key audit matter

The Group owns a portfolio of investment properties comprising shopping malls and an office block located in Malaysia. Investment properties represent the single largest category of assets on the statements of financial position, at RM4,035,000,000 as at 31 December 2019.

These investment properties are stated at their fair values based on independent external valuations.

The valuation process involves significant judgement in determining the appropriate valuation methodology to be used, and in estimating the underlying assumptions to be applied. The valuations are highly sensitive to key assumptions applied in deriving at the capitalisation rates i.e. a small change in the assumptions can have a significant impact to the valuation.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

How the matter was addressed in our audit

We performed the following audit procedures, among others:

We assessed the Manager's processes for the selection of the external valuers, the determination of the scope of work of the valuers, and the review and acceptance of the valuations reported by the external valuers.

We considered the qualifications and competence of the external valuers vis-a-vis the expert's qualifications, membership of a professional body or industry association, and license to practice.

We considered the valuation methodologies used against those applied by other valuers for similar property types. We also considered other alternative valuation methods commonly used by external valuers. We tested the integrity of inputs of the projected cash flows used in the valuation to supporting leases agreements and other documents.

We challenged the capitalisation rates used in the valuation by comparing them against historical rates and available industry data, taking into consideration comparability and market factors. Where the rates were outside the expected range, we undertook further procedures to understand the effect of additional factors and, when necessary, held further discussions with the valuers.

We also considered the adequacy of the disclosures in the financial statements, in describing the inherent degree of subjectivity and key assumptions in the estimates. This includes the relationships between the key unobservable inputs and fair values, in conveying the uncertainties.

Information Other than the Financial Statements and Auditors' Report Thereon

CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (Manager) is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements of the Group and of CMMT and our auditors' report thereon.

Our opinion on the financial statements of the Group and of CMMT does not cover the annual report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of CMMT, our responsibility is to read the annual report and, in doing so, consider whether the annual report is materially inconsistent with the financial statements of the Group and of CMMT or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of the annual report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of the financial statements of the Group and of CMMT that give a true and fair view in accordance with the provision of the Deed dated 7 June 2010 (which was amended and restated on 5 October 2018), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Manager is also responsible for such internal control as the Manager determines is necessary to enable the preparation of financial statements of the Group and of CMMT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of CMMT, the Manager is responsible for assessing the ability of the Group and of CMMT to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or CMMT or to cease operations, or has no realistic alternative but to do so.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of CMMT as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of CMMT, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.
- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group or of CMMT to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements of the Group and of CMMT or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group or CMMT to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of CMMT, including the disclosures, and whether the financial statements of the Group and of CMMT represent the underlying transactions and events in a manner that gives a true and fair view.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of Capitaland Malaysia Mall Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements (continued)

We also provide the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of CMMT for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditors' report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

This report is made solely to the unitholders of CMMT and for no other purpose. We do not assume responsibility to any other person for the content of this report.

KPMG PLT
(LLP0010081-LCA & AF 0758)
Chartered Accountants

Ow Peng Li
Approval Number: 02666/09/2021 J
Chartered Accountant

Petaling Jaya,

Date: 14 February 2020

STATISTICS OF UNITHOLDERS

As at 31 January 2020

Issued and Fully Paid Units	2,051,752,800 units (voting rights: 1 vote per unit)
Public Spread	As at 31 January 2020, the public shareholding spread of CMMT was 63.01 ¹

¹ The figures were derived at after excluding unitholdings held by CMMT Investment Limited, Menang Investment Limited and Directors of the Manager, pursuant to the definition of "public" under the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	194	2.53	2,446	0.00
100 – 1,000	1,429	18.62	959,216	0.05
1,001 – 10,000	3,923	51.11	20,505,326	1.00
10,001 – 100,000	1,789	23.31	58,069,853	2.83
100,001 – less than 5% of approved fund size	336	4.38	589,047,459	28.71
5% and above the approved fund size	4	0.05	1,383,168,500	67.41
Total	7,675	100.00	2,051,752,800	100.00

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT INVESTMENT LIMITED	710,973,600	34.65
2	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM BUMIPUTERA	244,467,200	11.92
3	KUMPULAN WANG PERSARAAN (DIPERBADANKAN)	231,415,600	11.28
4	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD	196,312,100	9.57
5	MENANG INVESTMENT LIMITED	47,832,300	2.33
6	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 2 – WAWASAN	45,000,000	2.19
7	CARTABAN NOMINEES (ASING) SDN BHD GIC PRIVATE LIMITED FOR GOVERNMENT OF SINGAPORE (C)	44,763,200	2.18
8	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA	42,117,000	2.05
9	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (AFFIN-HWG)	39,243,700	1.91
10	CITIGROUP NOMINEES (TEMPATAN) SDN BHD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 1)	33,872,100	1.65
11	PERMODALAN NASIONAL BERHAD	33,340,500	1.62

STATISTICS OF UNITHOLDERS

As at 31 January 2020

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS (CONTINUED)

No	Name of Unitholder	Holdings	%
12	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 3	19,952,900	0.97
13	CITIGROUP NOMINEES (TEMPATAN) SDN BHD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 3)	16,204,200	0.79
14	AMANAHRAYA TRUSTEES BERHAD PUBLIC SMALLCAP FUND	14,150,000	0.69
15	AMANAHRAYA TRUSTEES BERHAD ASN UMBRELLA FOR ASN EQUITY 3	13,843,900	0.67
16	CARTABAN NOMINEES (TEMPATAN) SDN BHD PAMB FOR PRULINK EQUITY FUND	13,104,500	0.64
17	CITIGROUP NOMINEES (ASING) SDN BHD CBNY FOR DFA INTERNATIONAL REAL ESTATE SECURITIES PORTFOLIO OF DFA INVESTMENT DIMENSIONS GROUP INC	12,816,000	0.62
18	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EXEMPT AN FOR AIA BHD.	12,551,200	0.61
19	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM BUMIPUTERA 2	11,465,000	0.56
20	HSBC NOMINEES (TEMPATAN) SDN BHD HSBC (M) TRUSTEE BHD FOR ZURICH LIFE INSURANCE MALAYSIA BERHAD (LIFE PAR)	8,467,800	0.41
21	HSBC NOMINEES (TEMPATAN) SDN BHD HSBC (M) TRUSTEE BHD FOR MANULIFE INVESTMENT ASIA-PACIFIC REIT FUND (5956-401)	8,133,500	0.40
22	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (VCAM EQUITY FD)	7,022,100	0.34
23	CARTABAN NOMINEES (ASING) SDN BHD GIC PRIVATE LIMITED FOR MONETARY AUTHORITY OF SINGAPORE (H)	5,913,100	0.29
24	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (AFFIN AM A EQ)	5,698,700	0.28
25	AMANAHRAYA TRUSTEES BERHAD ASN IMBANG (MIXED ASSET BALANCED) 1	5,479,800	0.27
26	CITIGROUP NOMINEES (ASING) SDN BHD EXEMPT AN FOR OCBC SECURITIES PRIVATE LIMITED (CLIENT A/C-NR)	5,332,900	0.26
27	DB (MALAYSIA) NOMINEE (ASING) SDN BHD SSBT FUND ZYEF FOR VANGUARD GLOBAL EX-U.S. REAL ESTATE INDEXFUND	5,174,000	0.25
28	CITIGROUP NOMINEES (TEMPATAN) SDN BHD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (LEEF)	4,643,800	0.23
29	CITIGROUP NOMINEES (TEMPATAN) SDN BHD VALUECAP SDN BHD	4,618,600	0.23
30	AMANAHRAYA TRUSTEES BERHAD ASN UMBRELLA FOR ASN IMBANG (MIXED ASSET BALANCED) 2	4,617,800	0.23
Total		1,848,527,100	90.09

STATISTICS OF UNITHOLDERS

As at 31 January 2020

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Mr David Wong Chin Huat	Chairman / Non- Executive Independent Director	Singaporean	–	–	–
Ms Low Peck Chen	Executive Non- Independent Director	Malaysian	12,000	–	12,000
Tuan Haji Rosli bin Abdullah	Non-Executive Independent Director	Malaysian	–	–	–
Mr Ng Chih Kaye	Non-Executive Independent Director	Malaysian	–	–	–
Dato' Mohammed bin Haji Che Hussein	Non-Executive Independent Director	Malaysian	–	–	–
Mr Tan Boon Peng	Non-Executive Independent Director	Malaysian	–	–	–
Mr Ronald Tay Boon Hwee	Non-Executive Non- Independent Director	Singaporean	–	–	–
Mr Lim Cho Pin Andrew Geoffrey	Non-Executive Non- Independent Director	Singaporean	–	47,000	47,000
Total			12,000	47,000	59,000

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	710,973,600	–	710,973,600	34.65
2	Employees Provident Fund Board Employees Provident FD BD (AFFIN HWG) Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>	–	196,312,100 39,243,700	235,555,800	11.48
3	Amanah Saham Bumiputera Registered with: <i>AmanahRaya Trustees Berhad</i>	–	244,467,200	244,467,200	11.92
4	Kumpulan Wang Persaraan (Diperbadankan) Kumpulan Wang Persaraan (Diperbadankan) (VCAM Equity FD) Kumpulan Wang Persaraan (Diperbadankan) (AFFIN AM A EQ) Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>	231,415,600	– 7,022,100 5,698,700	244,136,400	11.89
Total		942,389,200	492,743,800	1,435,133,000	69.94

NOTICE OF ANNUAL GENERAL MEETING

CAPITALAND MALAYSIA MALL TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 5 October 2018) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

NOTICE IS HEREBY GIVEN that the Annual General Meeting ("**AGM**") of the holders of units ("**Units**") ("**Unitholders**") of CapitaLand Malaysia Mall Trust ("**CMMT**") will be held on Thursday, 2 April 2020 at 10.00 a.m. at Grand Ballroom, Level 3, Pullman Kuala Lumpur City Centre Hotel & Residences, Jalan Conlay, 50450 Kuala Lumpur, Malaysia to transact the following businesses:

ORDINARY BUSINESS

1. To receive the report of MTrustee Berhad, as trustee of CMMT (the "**Trustee**"), the report by CapitaLand Malaysia Mall REIT Management Sdn. Bhd., as manager of CMMT (the "**Manager**"), and the Audited Financial Statements of CMMT for the financial year ended 31 December 2019 and the Auditors' Report attached thereon.

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolutions:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO PARAGRAPH 6.59 OF THE MAIN MARKET LISTING REQUIREMENTS OF BURSA MALAYSIA SECURITIES BERHAD ("PROPOSED AUTHORITY")**

**Ordinary
Resolution 1**

"**THAT** pursuant to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("**Bursa Securities**"), provisions of the trust deed dated 7 June 2010 (as amended and restated on 5 October 2018) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue new units in CapitaLand Malaysia Mall Trust ("**CMMT**") ("**New Units**") from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of CMMT, provided that the aggregate number of New Units issued pursuant to this resolution, when aggregated with the number of units in CMMT issued during the preceding 12 months, must not exceed 20% of the total number of units issued of CMMT for the time being comprising of 2,051,752,800 Units;

AND THAT the Proposed Authority shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority is revoked or varied by the Unitholders in a Unitholders' meeting,

whichever occurs first ("**Validity Period**");

NOTICE OF ANNUAL GENERAL MEETING

AND THAT the New Units to be issued pursuant to the Proposed Authority shall, upon allotment and issuance, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to give effect to the aforesaid Proposed Authority with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of CMMT and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to take all such steps and do all acts, deeds and things in any manner (including execute such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority."

(Please see Explanatory Note 1)

3. **PROPOSED RENEWAL OF UNIT BUY-BACK AUTHORITY TO REPURCHASE UP TO TEN PERCENT (10%) OF THE TOTAL NUMBER OF UNITS ISSUED ("PROPOSED RENEWAL OF UNIT BUY-BACK MANDATE")**

**Ordinary
Resolution 2**

"**THAT** subject to the Main Market Listing Requirements of Bursa Malaysia Securities Berhad ("**Bursa Securities**") ("**Listing Requirements**"), provisions of the trust deed dated 7 June 2010 (as amended and restated on 5 October 2018), and any prevailing laws, guidelines, rules and regulations issued by the relevant authorities, the Board of the Manager shall be authorised to repurchase the units in CapitaLand Malaysia Mall Trust ("**CMMT**") ("**Units**") for and on behalf of CMMT through Bursa Securities, subject to the following:

- (a) the aggregate number of Units in CMMT which may be repurchased shall not exceed ten percent (10%) of the total number of Units issued at the time of purchase and the compliance with the public unitholding spread requirements as stipulated under the Listing Requirements;
- (b) the maximum funds to be allocated by CMMT for the purpose of repurchasing the Units shall not exceed the aggregate of the retained profits of CMMT based on the latest audited financial statements of CMMT available at the time of purchase;
- (c) the authority conferred by this resolution shall be effective and continue to be in force from the date the Unitholders pass this resolution, whichever may be the later, until:
 - (i) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
 - (ii) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
 - (iii) the authority is revoked or varied by the Unitholders in a Unitholders' meeting, whichever occurs first;

NOTICE OF ANNUAL GENERAL MEETING

THAT where the Manager has repurchased the Units, the Board shall cancel the Units so repurchased immediately.

AND THAT authority be and is hereby given to the Board of the Manager, for and on behalf of CMMT, to sign and execute all documents, and do all acts and things as may be required for or in connection with and to give effect to, and to implement the Proposed Renewal of Unit Buy-Back Mandate with full power to do all such acts as they may consider necessary or expedient in the best interest of CMMT so as to give full effect to the same with further power to assent to any condition, modification, variation and/or amendment as may be required or imposed by the relevant authorities."

(Please see Explanatory Note 2)

BY ORDER OF THE BOARD

CAPITALAND MALAYSIA MALL REIT MANAGEMENT SDN. BHD.

(Registration No. 200801018055 (819351-H))

as manager of CapitaLand Malaysia Mall Trust

Khoo Ming Siang (MAICSA No. 7034037)

Teo Mee Hui (MAICSA No. 7050642)

Company Secretaries

Kuala Lumpur

28 February 2020

Enclosures :

1. **Explanatory Notes**

2. **Proxy Form**

cc : MTrustee Berhad

Securities Commission Malaysia

NOTICE OF ANNUAL GENERAL MEETING

Notes:

1. Only Unitholders whose names appear in the Record of Depositors on 26 March 2020 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint maximum of two proxies (whether a Unitholder or not).
3. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
4. Where the Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.
5. Where a Unitholder appoints two proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.
6. Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
7. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarised certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd., Unit No. 1-27, Level 27, Capital Tower, No. 10, Persiaran KLCC, 50088 Kuala Lumpur, Malaysia, not less than 24 hours before the time appointed for holding the meeting or any adjournment thereof, by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.

Personal Data Privacy:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to attend, speak and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and the Trustee (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and the Trustee (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the Purposes), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and the Trustee (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and the Trustee (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and the Trustee in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

NOTICE OF ANNUAL GENERAL MEETING

Explanatory Notes:

1. Ordinary Resolution 1 – Proposed Authority

The Proposed Ordinary Resolution 1, if passed, would enable the Manager to allot and issue New Units from time to time provided that the aggregate number of the New Units to be issued during the Validity Period, when aggregated with the number of units issued during the preceding 12 months must not exceed 20% of the total number of units issued of CMMT for the time being comprising of 2,051,752,800 Units.

The Proposed Authority will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CMMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

Any allotment and issuance of New Units pursuant to the Proposed Authority will be subject to the approval of Bursa Malaysia Securities Berhad.

2. Ordinary Resolution 2 – Proposed Renewal of Unit Buy-Back Mandate

Unitholders are advised to refer to the Statement to Unitholders dated 28 February 2020, which is available on CMMT website at www.cmmt.com.my for further information.

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CAPITALAND MALAYSIA MALL TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 5 October 2018) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

PROXY FORM

ANNUAL GENERAL MEETING

IMPORTANT:

Personal Data Privacy

By submitting an instrument appointing proxy(ies) and/or representative(s), the Unitholder accepts and agrees to the personal data privacy terms set out in the Notice of Annual General Meeting dated 28 February 2020.

I/We, _____ (Name(s) and NRIC no./Passport no./Company

Registration no.) of _____ (Address)

being a unitholder/unitholders of CapitaLand Malaysia Mall Trust ("CMMT"), hereby appoint:

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			

and/or (delete as appropriate)

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			

or, failing whom, the Chairman of the Annual General Meeting, as my/our proxy/proxies to attend and to vote for me/us on my/our behalf at the Annual General Meeting of CMMT to be held on Thursday, 2 April 2020 at Grand Ballroom, Level 3, Pullman Kuala Lumpur City Centre Hotel & Residences, Jalan Conlay, 50450 Kuala Lumpur, Malaysia at 10.00 a.m., and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolutions to be proposed at the Annual General Meeting as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they may on any other matter arising at the Annual General Meeting.

No.	Ordinary Resolution:	For*	Against*
SPECIAL BUSINESS			
1	Proposed Authority		
2	Proposed Renewal of Unit Buy-Back Mandate		

* If you wish to exercise all your votes "For" or "Against", please tick [✓] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2020

Total number of Units held

Signature(s) of unitholder(s) / Common Seal[^]

[^] Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Manager together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

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Affix
postage
stamp

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.
(Registration No. 200801018055 (819351-H))
(as manager of CapitaLand Malaysia Mall Trust)

Unit No. 1-27, Level 27, Capital Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur

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IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

Notes to Proxy Form:

1. Only unitholders of CMMT (Unitholders) whose names appear in the Record of Depositors on 26 March 2020 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two proxies (whether a Unitholder or not).
3. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
4. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.
5. Where a Unitholder appoints two proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.
6. Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
7. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd., Unit No. 1-27, Level 27, Capital Tower, No. 10, Persiaran KLCC, 50088 Kuala Lumpur, Malaysia, not less than 24 hours before the time appointed for holding the meeting or any adjournment thereof by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.

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General

The Manager shall be entitled to reject any Proxy Form which is incomplete, improperly completed, illegible or where the true intentions of the appointor are not ascertainable from the Proxy Form submitted. The Manager may reject any Proxy Form if the Unitholder, being the appointor, is not shown to have Units entered against his/her name in the Record of Depositors on 26 March 2020.

CORPORATE INFORMATION

CAPITALAND MALAYSIA MALL TRUST

REGISTERED ADDRESS

MTrustee Berhad

(Registration Number: 198701004362
(163032-V))
B-2-9 (2nd Floor),
Pusat Perdagangan Kuchai
No. 2, Jalan 1/127
Off Jalan Kuchai Lama
58200 Kuala Lumpur
Telephone No.: +60 3 7983 1088
Facsimile No.: +60 3 7984 9612

Stock Exchange Listing

Main Market of Bursa Malaysia
Securities Berhad
Stock Name: CMMT
Stock Code: 5180

TRUSTEE

MTrustee Berhad

(Registration Number: 198701004362
(163032-V))

Business Address

Level 15, Menara AmFirst
No. 1, Jalan 19/3
46300 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7954 6862
Facsimile No.: +60 3 7954 3712

MANAGER

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.

(Registration Number: 200801018055
(819351-H))

Manager's Registered Office /

Principal Place of Business

Unit No. 1-27, Level 27, Capital Tower,
No. 10, Persiaran KLCC
50088 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889

Website

www.cmmt.com.my

BOARD OF DIRECTORS OF THE MANAGER

Mr David Wong Chin Huat

Chairman and Non-Executive
Independent Director

Ms Low Peck Chen

Chief Executive Officer and Executive
Non-Independent Director

Tuan Haji Rosli bin Abdullah

Non-Executive Independent Director

Mr Ng Chih Kaye

Non-Executive Independent Director

Dato' Mohammed Bin Haji

Che Hussein

Non-Executive Independent Director

Mr Tan Boon Peng

Non-Executive Independent Director

Mr Ronald Tay Boon Hwee

Non-Executive Non-Independent
Director

Mr Lim Cho Pin Andrew Geoffrey

Non-Executive Non-Independent
Director

Executive Committee

Mr Ronald Tay Boon Hwee (Chairman)
Mr Lim Cho Pin Andrew Geoffrey
Ms Low Peck Chen

Audit Committee

Tuan Haji Rosli bin Abdullah
(Chairman)
Mr Ng Chih Kaye
Dato' Mohammed Bin Haji
Che Hussein
Mr Lim Cho Pin Andrew Geoffrey

COMPANY SECRETARIES OF THE MANAGER

Khoo Ming Siang

(MAICSA 7034037)
Unit No. 1-27, Level 27, Capital Tower,
No. 10, Persiaran KLCC
50088 Kuala Lumpur

Teo Mee Hui

(MAICSA 7050642)
10th Floor, Menara Hap Seng
No. 1 & 3, Jalan P. Ramlee
50250 Kuala Lumpur

AUDITORS

KPMG PLT

(Firm No: LLP0010081-LCA & AF 0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7721 3388
Facsimile No.: +60 3 7721 3399
Partner-In-Charge: Ms Ow Peng Li

UNIT REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.

(Registration Number: 197101000970
(11324-H))
Unit 32-01, Level 32, Tower A
Vertical Business Suite, Avenue 3
Bangsar South, No. 8 Jalan Kerinchi
59200 Kuala Lumpur, Malaysia
Telephone No.: +60 3 2783 9299
Facsimile No.: +60 3 2783 9222

PROPERTY MANAGERS

Knight Frank Property Management Sdn. Bhd.

(Registration Number: 201601040834
(1211775-H))
Suite 10.01, 10th Floor
Centrepont South, Mid Valley City
Lingkaran Syed Putra
59200 Kuala Lumpur
Telephone No.: +60 3 2289 9688
Facsimile No.: +60 3 2289 9788

Zaharin Nexcap Property Consultants Sdn. Bhd.

(Registration Number: 201401017278
(1093365-D))
Suite 23-5, Oval Tower Damansara
Menara Permata Damansara
No. 685, Jalan Damansara
60000 Kuala Lumpur
Telephone No.: +60 3 7733 2122
Facsimile No.: +60 3 7733 2103

PRINCIPAL BANKERS

Alliance Bank Malaysia Berhad
CIMB Bank Berhad
HSBC Bank Malaysia Berhad
Malayan Banking Berhad
Public Bank Berhad
RHB Bank Berhad
United Overseas Bank (Malaysia) Bhd



**CAPITALAND MALAYSIA MALL REIT
MANAGEMENT SDN. BHD.**

As Manager of CapitaLand Malaysia Mall Trust
Company Registration Number: 200801018055 (819351-H)

Unit No. 1-27, Level 27
Capital Tower
No.10, Persiaran KLCC
50088 Kuala Lumpur
Tel: +60 3 2279 9888
Fax: +60 3 2279 9889
Email: ask-us@cmmmt.com.my

www.cmmmt.com.my